

FORTIFYING THE FUTURE



CapitaLand Malaysia Mall Trust

Annual Report 2016



Corporate Profile

Listed on the Main Market of Bursa Malaysia Securities Berhad (Bursa Securities) on 16 July 2010, CapitaLand Malaysia Mall Trust (CMMT) is a shopping mall-focused real estate investment trust (REIT) in Malaysia with an income and geographically-diversified portfolio of five shopping malls and a complementary office block.

As at 31 December 2016, CMMT had a market capitalisation of approximately RM3.1 billion and its portfolio was independently valued at approximately RM3.9 billion.

CMMT invests, on a long-term basis, in income-producing real estate which is primarily used for retail purposes and these quality assets are strategically located in key urban centres across Malaysia; Gurney Plaza in Penang; three in Klang Valley – a majority interest in Sungei Wang Plaza¹ in Kuala Lumpur, Tropicana City Mall and Tropicana City Office Tower in Petaling Jaya, The Mines in Seri Kembangan and East Coast Mall in Kuantan, Pahang. The portfolio has a total net lettable area of over 3.1 million square feet (sq ft). As at 31 December 2016, the total asset size of CMMT is about RM4.1 billion.

CMMT is managed by CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (the Manager) – a joint venture between CapitaLand Limited, one of Asia's largest real estate companies headquartered and listed in Singapore, and Malaysian Industrial Development Finance Berhad (MIDF). MTrustee Berhad (formerly known as AmTrustee Berhad) (the Trustee) is the trustee for CMMT.

Vision

To be Malaysia's leading shopping mall real estate investment trust through value creation and continuous innovation.



Cover photo:

Gurney Plaza, Penang's premier lifestyle shopping mall

Mission

To deliver long-term and sustainable distribution of income and potential capital growth to Unitholders.

For Investors

Deliver sustainable total returns

For Tenants

Create profitable opportunities

For Shoppers

Create delightful shopping and lifestyle experiences

For Employees

Provide opportunities to realise personal potential and achieve professional growth

For the Community

Promote social responsibility and environmental sustainability

¹ CMMT's interest in Sungei Wang Plaza comprises (i) 205 strata parcels within the mall which represents approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza, and (ii) 100.0% of the car park bays in Sungei Wang Plaza.

FORTIFYING THE FUTURE

Committed to value creation, CMMT's income and geographically-diversified portfolio across key urban centres in Malaysia continued to deliver steady results, maintaining sustainable distributions for our Unitholders in the face of challenging market conditions. On the back of our prudent capital management and active retail management, we continue to optimise our portfolio for long-term growth. As we fortify our foundation, CMMT strives to enhance value through asset enhancement initiatives, seizing strategic opportunities for future growth as we forge ahead and augment our position in Malaysia's retail landscape.

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2016 Highlights

Gross Revenue

RM372.6 million

Net Property Income

RM242.5 million

Property Valuation

RM3.9 billion

Net Lettable Area

3.1 million sq ft

No. of Committed Leases

1,390

Portfolio Occupancy Rate

96.5%

Annual Shopper Traffic

59.9 million

Distribution Per Unit

8.43 sen

Distribution Yield

5.51%

Market Capitalisation

RM3.1 billion

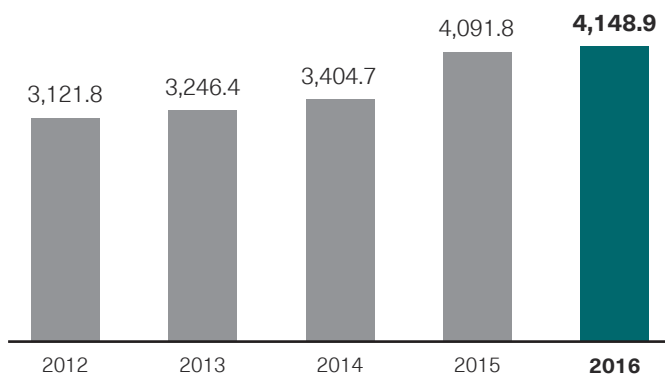


Financial Highlights

Total Assets

(RM million)

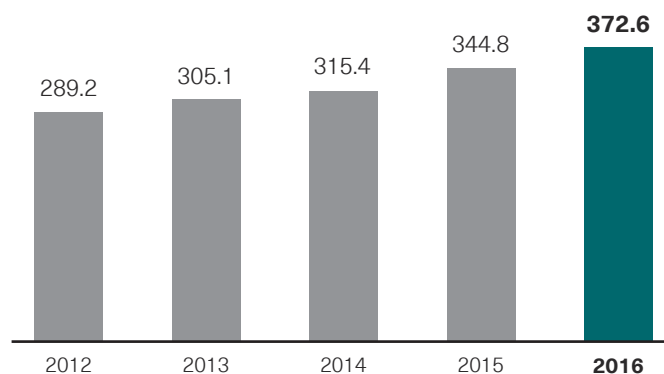
+1.4%



Gross Revenue

(RM million)

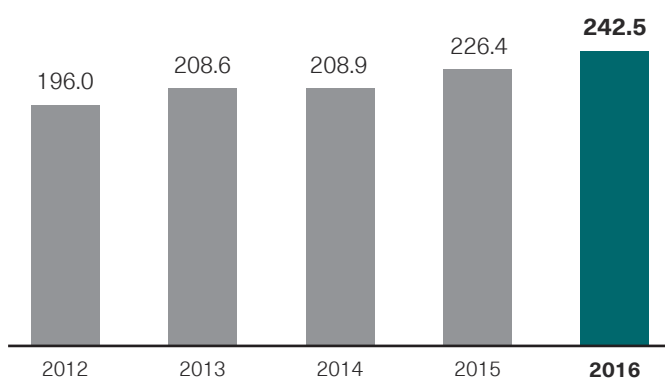
+8.1%



Net Property Income

(RM million)

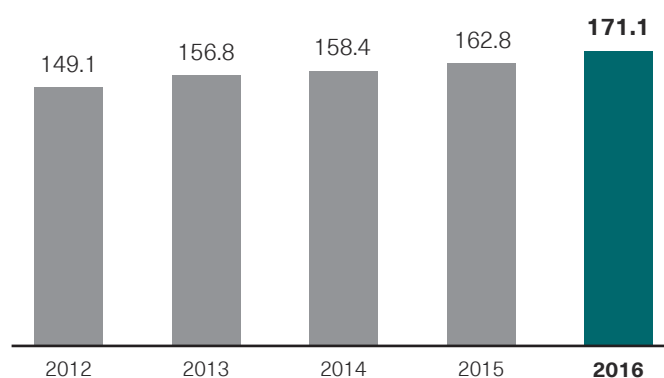
+7.1%



Distributable Income

(RM million)

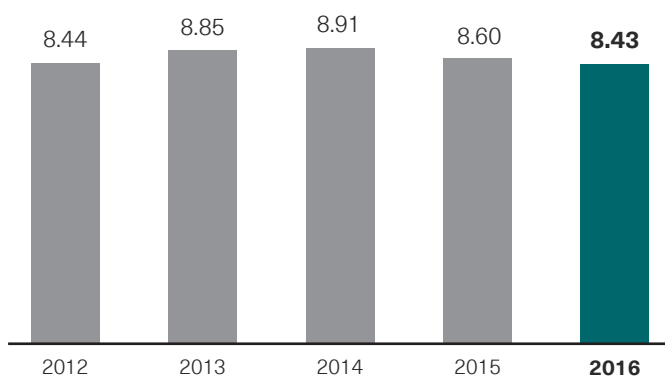
+5.1%



Distribution Per Unit

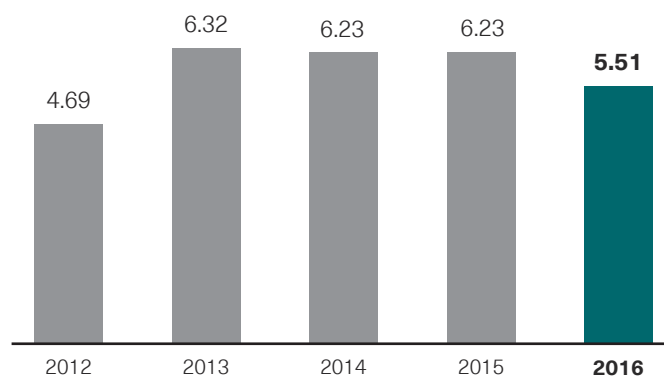
(sen)

-2.0%



Distribution Yield¹

(%)



¹ Based on the closing unit price of RM1.80 on 31 December 2012, RM1.40 on 31 December 2013, RM1.43 on 31 December 2014, RM1.38 on 31 December 2015 and RM1.53 on 30 December 2016.

Portfolio at a Glance

CMMT's portfolio consists of five quality properties that are strategically located in Penang, Kuala Lumpur, Selangor and Pahang, thus providing investors with income and geographical diversification within Malaysia.

The properties are:

- Gurney Plaza, which is located along Gurney Drive in Penang, is a popular destination for both tourists and locals. It is the premier lifestyle shopping mall in Penang and is connected to G Hotel, a modern concept designer hotel.
- Sungei Wang Plaza, which is positioned as a one-stop shopping mall 'For All Kinds of Everything', is a well-known shopping mall located in Kuala Lumpur's Bukit Bintang shopping precinct. It is well-known for its specialty stores offering shoppers a wide range of products and services.
- Tropicana City Mall and Tropicana City Office Tower are part of an integrated development that is strategically located at the intersection of two major highways – the Sprint and Lebuhraya Damansara Puchong highways – in Petaling Jaya, Selangor.

Surrounded by established and affluent residential catchments, Tropicana City Mall is positioned as the preferred dining, education-entertainment and gourmet shopping destination.

- The Mines, which is located in Seri Kembangan's Mines Resort City, is a suburban lifestyle family shopping mall, provides shoppers with a complete offering of retail, entertainment and dining options.
- East Coast Mall, which is located in Kuantan, Pahang, is a modern family lifestyle shopping mall with established domestic and international retailers. It is a popular destination among the locals as well as people from the neighbouring states of Kelantan and Terengganu. It is regarded as the leading shopping mall in the east coast of Peninsular Malaysia.

Knight Frank Malaysia Sdn. Bhd. is the property manager for Gurney Plaza, Tropicana City Mall and Tropicana City Office Tower, The Mines and East Coast Mall. Meanwhile, Zaharin Nexcap Property Management Sdn. Bhd. manages CMMT's interest in Sungei Wang Plaza.



Property Portfolio Summary

(as at 31 December 2016)

Portfolio Valuation:	RM3,938 million
Net Lettable Area:	3,132,957 sq ft
Committed Occupancy Rate:	96.5%
Number of Committed Leases:	1,390
Total Annual Shopper Traffic:	59.9 million



More dining options are now available on Level 7



Jo Malone, a British luxury fragrance brand

Gurney Plaza

Penang's premier lifestyle shopping mall destination

First shopping mall in Malaysia to receive Singapore's Building and Construction Authority (BCA) Green Mark Gold certification in 2011

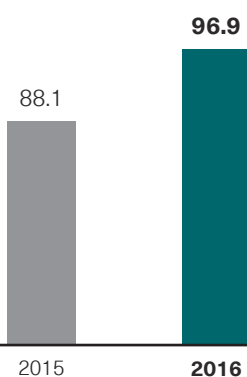
Gross Revenue

(RM million)



Net Property Income

(RM million)



Key Highlights

- o Numerous prestigious awards and certifications received:
 - BrandLaureate Best Brands Award Signature Brand – Retail (Shopping Mall) 2015-2016
 - Penang Green Office Certification 2016-2018
 - Penang Clean Toilet Competition 2015 (Shopping Mall Category - champion)
 - Pinnacle International Excellence Awards 2014 (National Category: Lifestyle Retail Winner)
- o Well-established international brands include Omega, Rado, Montblanc, Bell & Ross, Tissot, Thomas Sabo, Pandora, Swarovski, CK Jeans, AIX Armani Exchange, Sacoor Brothers, SuperDry, Warehouse, Miss Selfridge, Mango Man, Fossil, Red Army Watches, Chanel, Dior Parfum, Jo Malone, Make Up For Ever, Benefit Cosmetics, Bobbi Brown, Shu Uemura, Laura Mercier, Marks & Spencer, Jatomi Fitness, DRAGON-i and Din Tai Fung

Portfolio at a Glance



FoodZania on Level 3 offers affordably-priced meals



A new destination for toys and hobbies enthusiasts on Level 2



Blastacars offers the first indoor kart drifting experience

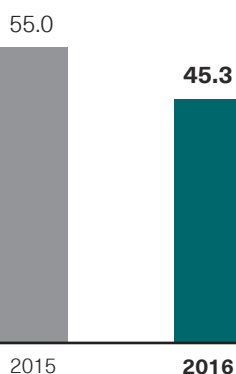
Sungei Wang Plaza¹

Strategically located within the established Bukit Bintang shopping district

Positioned as one-stop destination “for all kinds of everything”

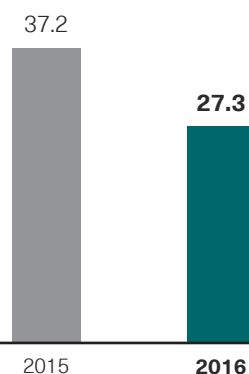
Gross Revenue

(RM million)



Net Property Income

(RM million)



Key Highlights

- o Numerous prestigious awards received:
 - Kuala Lumpur Mayor's Tourism Award 2011 (Shopping Mall Category)
 - BrandLaureate – SMEs Brand Specialty Award 2009 (Best Brand in Brand Strategy)
 - BrandLaureate – Best Brands in Retail 2007-2008 (Shopping Centre)
 - FIABCI Prix d'Excellence 1996 (Special Award–Retail Properties Category)
- o Incubating toys and hobbies cluster on Level 2 supported by various marketing initiatives to attract new shopper profile
- o Introduced FoodZania, a new food and beverage concept on Level 3, with affordably priced menu

Opening soon in 2017

- o The newest entertainment offering is Blastacars, the first indoor drift karting in a shopping mall with a 208-m track

¹ CMMT's interest in Sungei Wang Plaza comprises (i) 205 strata parcels within the mall which represents approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza, and (ii) 100.0% of the car park bays in Sungei Wang Plaza.



New standalone food and beverage cluster adjacent to Tropicana City Office Tower



Kids and teenagers can work it out at RockStar Gym on Level 2



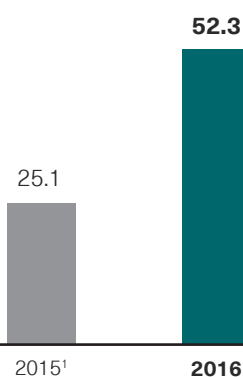
CHEER 2016 competition finals at Tropicana City Mall

Tropicana City Mall and Tropicana City Office Tower

Strategically located at the intersection of two major highways, making it easily accessible from Kuala Lumpur and various parts of Petaling Jaya.

Gross Revenue

(RM million)



Net Property Income

(RM million)



Key Highlights

- o Tropicana City Mall is the winner of Petaling Jaya Universal Design Award 2016 shopping mall category for implementing user-friendly features in building design
- o Since acquiring the asset in July 2015, the mall has completed several asset enhancement works and tenant mix changes to improve shopper offerings
- o New brands include Caffe Pascucci, Okashi World, Daiso, RockStar Gym and MusicZON

Opening soon in 2017

- o Cotton On
- o S'mores Bar & Restaurant
- o Brussels Beer Café
- o Oliver Gourmet, the first Malaysian gourmet food hall

¹ For the period between 10 July 2015 and 31 December 2015.

Portfolio at a Glance



More dining options at the secondary entrance at Jalan Balakong



Engaging shoppers with an interactive kiosk during the launch of CapitaStar



The Starbucks' drive-thru outlet at the main entrance

The Mines

Strategically located at the south of Kuala Lumpur in Seri Kembangan's Mines Resort City that is well known for its Venetian-like internal water canal that links two former tin mine lakes

Positioned as a suburban lifestyle family mall

Key Highlights

- o Received Singapore's BCA Green Mark Gold certification in 2014
- o Houses the first RockStar Gym from Indonesia, a physical education centre for children and teenagers, in Malaysia
- o Other brands include Spotlight, TGV Cinemas, Celebrity Fitness, SenQ, ACE Hardware, Uniqlo, Voir Gallery, F.O.S, Daiso and Mines Cruise

Opening soon in 2017

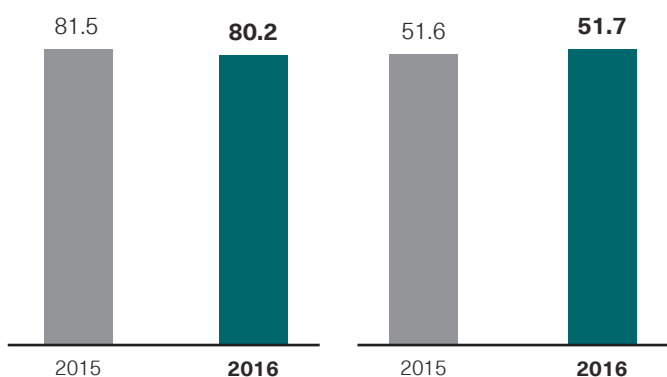
- o Oliver Gourmet

Gross Revenue

(RM million)

Net Property Income

(RM million)





Shoppers were rewarded with exciting gifts during the launch of CapitaStar



Children from various charity homes spent an enjoyable time at East Coast Mall in conjunction with My Schoolbag



Lucky shoppers and the cast of Ola Bola during the meet-and-greet session

East Coast Mall

Located in the heart of Kuantan's city centre in Pahang and is within walking distance to local attractions and amenities

Positioned as a modern family lifestyle mall and widely regarded as the market leader in East Coast of Peninsular Malaysia

Gross Revenue

(RM million)

55.1 57.1

2015

2016

Net Property Income

(RM million)

35.0 36.6

2015

2016

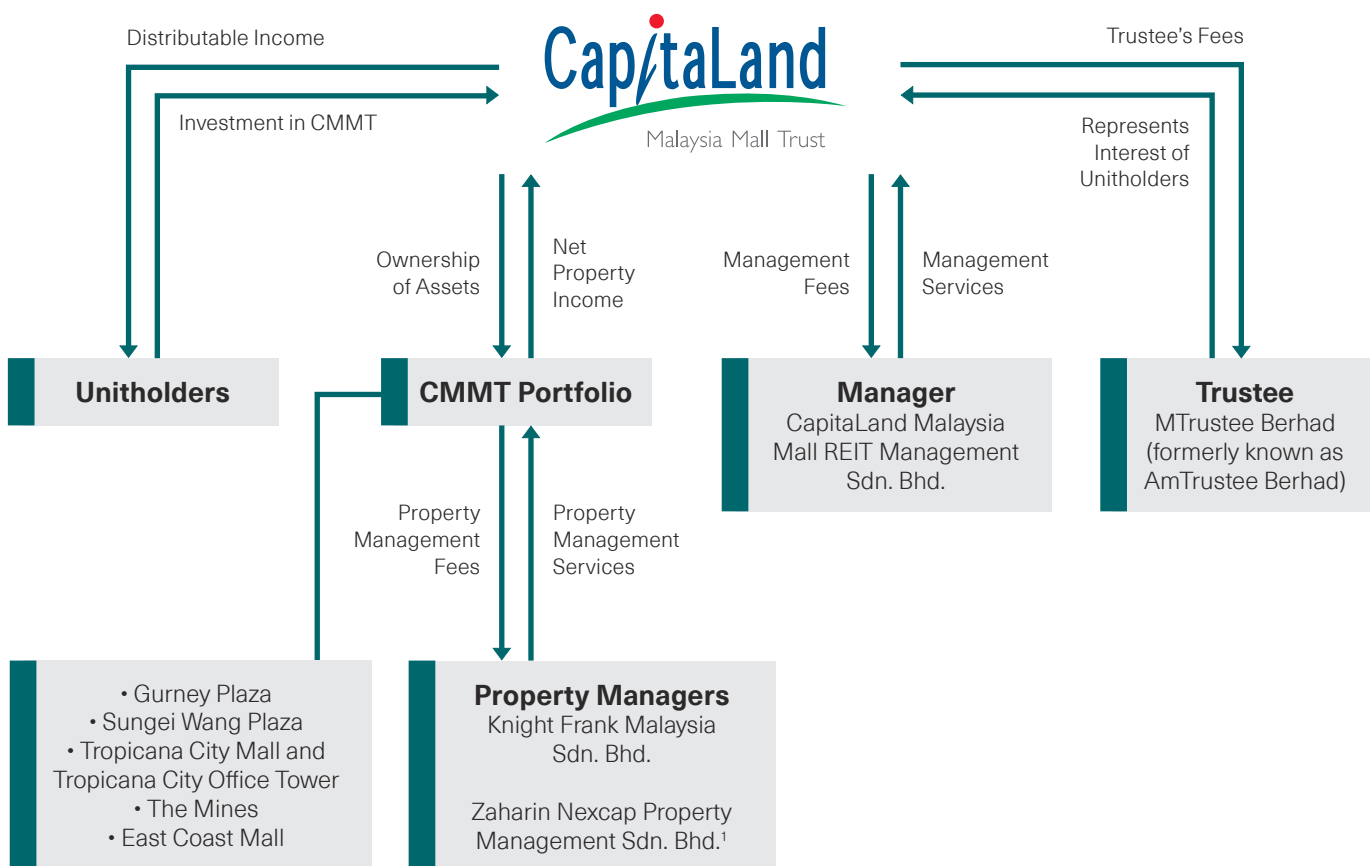
Key Highlights

- o Received Singapore's BCA Green Mark Gold certification in 2015
- o Upon the completion of a major two-year asset enhancement exercise of RM60.0 million, more attractive array of fashion, lifestyle and food and beverage offerings have been introduced
- o Household brands include Golden Screen Cinemas, Uniqlo, Padini Concept Store, Guess, M.A.C, Pandora, Birkenstock, L'Occitane, Daiso, The Coffee Bean & Tea Leaf, Starbucks Coffee, Manhattan Fish Market, Seoul Garden HotPot and Rip Curl

Opening soon in 2017

- o Boat Noodle

Trust Structure



Organisation Structure



¹ Zaharin Nexcap Property Management Sdn. Bhd. only manages CMMT's interest in Sungei Wang Plaza.

Value Creation

Retail Real Estate Management



Integrated Retail and Capital Management Platform

CMMT enjoys access to CapitaLand's integrated shopping mall business model, with in-house capabilities in retail real estate investment, development, mall operations, asset management and fund management.

Investment Strategies

ENHANCING value through proactive asset management and asset enhancement initiatives (AEIs)



LEVERAGING on CapitaLand's extensive retailer network across 103 shopping malls in 52 cities in five countries



Actively **PURSuing** acquisition opportunities



OPTIMISING capital management

Investment Objective and Strategies

Investment Objective

The principal investment objective of CMMT is to invest, on a long-term basis, in a portfolio of income-producing real estate primarily used for retail purposes and located primarily in Malaysia or such other non-real estate investments as may be permitted under the Deed, the REITs Guidelines and/or by the Securities Commission Malaysia (SC), with a view to providing Unitholders with long-term and sustainable distribution of income and potential capital growth.

The Manager believes that CMMT has achieved its investment objective for the financial year ended 31 December 2016 (FY 2016).

Investment Strategies

The key financial objective is to provide Unitholders with long-term and sustainable distribution of income and potential capital growth. Specifically, the aim is to seek the increase of cash flow, income and the value of CMMT's properties and consequently, continued growth through the following strategies:

- enhancing the value of CMMT's portfolio through proactive asset management and AEIs;
- actively pursuing acquisition opportunities;
- leveraging on CapitaLand's extensive network of strategic and local partners, including its retailer network across 103 shopping malls in 52 cities spanning five countries as well as its local industry knowledge through its experienced staff in Malaysia; and
- optimising capital management.

Future Prospects of the Market

The Manager views the Malaysian retail sector to be resilient and will continue to pursue the abovementioned investment strategies. For more information on the market in which CMMT invests in, refer to the section 'Independent Retail Market Overview'.

Board of Directors



David Wong Chin Huat

Chairman & Non-Executive
Independent Director



Low Peck Chen

Chief Executive Officer & Executive
Non-Independent Director



Tan Siew Bee

Non-Executive Independent Director



Dr Peter Tay Buan Huat

Non-Executive Independent Director



Foo Wei Hoong

Non-Executive Non-Independent
Director



Tuan Haji Rosli bin Abdullah

Non-Executive Independent Director



Ng Chih Kaye

Non-Executive Independent Director



Jason Leow Juan Thong

Non-Executive Non-Independent
Director



Ng Kok Siong

Non-Executive Non-Independent
Director



Lee Hui Yeow

Non-Executive Non-Independent
Director
(Alternate Director to Ng Kok Siong)

Letter to Unitholders

Dear Unitholders,

For the financial year ended 31 December 2016 (FY 2016), CapitaLand Malaysia Mall Trust (CMMT) continued to deliver a steady set of results amid challenging operating conditions and global economic environment. Net property income (NPI) for FY 2016 was RM242.5 million, an increase of 7.1% over the RM226.4 million for FY 2015. The better performance in FY 2016 was mainly due to the full year contribution from Tropicana City Mall and Tropicana City Office Tower acquired in July 2015, and higher rental income from Gurney Plaza and East Coast Mall. CMMT's unit price appreciated 10.9% in the year. Including the distribution per unit (DPU) of 8.43 sen declared in FY 2016, CMMT generated a total return of 17.0% for Unitholders in FY 2016.

2016 was yet another challenging year with macro-economic and industry pressures that led to heightened uncertainties, thereby affecting business confidence and consumer sentiment. The domino effect of the Goods & Services Tax regime, implemented since April 2015, was compounded by the weakening domestic currency. As a result, consumer sentiment turned cautious while businesses, in general, tightened on spending. Driven by momentum in private consumption, Malaysia's Gross Domestic Product (GDP) for 2016 was expected to grow by 4.0% to 4.5%¹.

Notwithstanding the uncertainties in the operating environment, CMMT's resilient business fundamentals continued to support our goal to deliver sustainable income distribution to Unitholders. Comprising five shopping malls and a complementary office tower located in the key urban centres across Malaysia and about 1,400 leases, CMMT's quality portfolio provides Unitholders with stable cash flow, income and geographical diversification, as well as exposure to Malaysia's retail sector.

CMMT also benefits from our close relationship with CapitaLand Mall Asia, a wholly owned subsidiary of CapitaLand Limited and is the region's leading shopping mall developer, owner and manager with 103 malls in 52 cities in Singapore, China, Malaysia, Japan and India. CapitaLand is CMMT's largest Unitholder and the majority shareholder of CapitaLand

Malaysia Mall REIT Management Sdn. Bhd. (CMRM), the Manager of CMMT. With this strong relationship, we are able to benefit from CapitaLand's industry-leading tenant network and proven integrated retail and capital management platforms. CMMT also benefits from our other close relationship with Malaysian Industrial Development Finance Berhad (MIDF), which is part of the Permodalan Nasional Berhad group of companies and a leading financial services provider in Malaysia. MIDF is the other shareholder of CMRM.

Steady Performance

For the year under review, CMMT recorded gross revenue of RM372.6 million and distributable income of RM171.1 million, 8.1% and 5.1% higher than FY 2015 respectively. Total DPU was 8.43 sen, which translated to a distribution yield of 5.5% based on CMMT's closing price of RM1.53 on 30 December 2016. As at 31 December 2016, CMMT's property portfolio was valued at RM3.9 billion.

By proactively refreshing our trade mix in tandem with ever-changing consumer trends, our malls continue to attract a strong following among shoppers and retailers. Despite the temporary impact on Sungei Wang Plaza from the ongoing Mass Rapid Transit (MRT) works and the closure of adjoining Bukit Bintang Plaza, CMMT sustained healthy operating metrics, registering a portfolio occupancy of 96.5% as at 31 December 2016 and an annual shopper traffic of 59.9 million for 2016. When the Sungai Buloh-Kajang MRT line commences operation, estimated to be in the second half of 2017, we expect Sungei Wang Plaza, which is located near Bukit Bintang station, to experience higher shopper traffic. As at 31 December 2016, CMMT's portfolio registered negative rental reversions of 3.5%. Excluding Sungei Wang Plaza, the figure would have been a positive 3.9%.

CMMT's distribution policy is to pay out at least 90.0% of its distributable income in each financial year on a half-yearly basis. During the year under review, CMMT made two distributions to Unitholders totalling RM166.0 million for the periods 9 July 2015 to 31 December 2015 and 1 January 2016 to 30 June 2016. CMMT's final income distribution for FY 2016 for the period from 1 July 2016 to 31 December 2016

¹ Source: Bank Negara Malaysia, November 2016.

Letter to Unitholders

will be distributed to its Unitholders on 28 February 2017. This represents a payout of approximately 100.0% of CMMT's FY 2016 distributable income of RM171.1 million.

Growth Through Asset Enhancements

With the growing competition in the market, it is necessary for CMMT to constantly look for creative ways to enhance the value of our assets and deliver sustainable growth. Asset enhancement initiatives (AEI) continued to be one of CMMT's growth drivers by raising the attractiveness of the shopping malls.

As part of ongoing repositioning efforts to further strengthen Gurney Plaza as Penang's premier lifestyle shopping mall, we brought in Jo Malone, a British luxury fragrance brand, and Sacoor Brothers, an international fashion lifestyle brand. The units at Gurney Plaza's carpark entrance in Basement 1 were reconfigured into smaller and higher yielding units while the common walkway on Level 7 was converted to leasable space to provide shoppers with new Chinese and Japanese dining options.

We continuously refine our strategies and innovate at Sungei Wang Plaza to attract new shoppers and enhance shopper traffic. A new toys and hobbies cluster, with about 10 tenants, has been introduced on Level 2 offering a wide variety of toys and other collectibles. The CubeZ, a new artisan cluster offering handmade goods on Level 2, has been introduced as part of the efforts to attract online retailers to set up a physical presence in Sungei Wang Plaza. To widen the mall's food and beverage (F&B) selection, FoodZania on Level 3 has added affordably-priced meal options ranging from Arabian, Thai, Nyonya and even popular street food.

As part of our initiatives to strengthen the education-cum-entertainment (edutainment) zone at The Mines, we brought in a physical education centre for children and teenagers from Indonesia, RockStar Gym, to anchor Level 5. The first drive-thru Starbucks in a shopping mall has also opened at the main entrance.

After the acquisition of Tropicana City Mall in July 2015, several refinements have been made to enhance its offerings to better cater to the aspirations and needs

of shoppers and retailers. In 2016, we completed four standalone units adjacent to the Tropicana City Office Tower to improve the variety of F&B offerings. The mall's edutainment zone on Level 2 has been strengthened with the opening of RockStar Gym, the brand's second outlet in CMMT malls, and MusicZON, a music school.

Following the RM60.0 million AEI which was completed in 2014, East Coast Mall has been repositioned as a modern family lifestyle shopping mall and is now regarded as the market leader in Kuantan. Several chain F&B operators were added in 2016 to provide shoppers with more dining options, including Seoul Garden HotPot, Sangkaya coconut ice-cream and Hokkaido Baked Cheese Tart.

CapitaStar

We extended CapitaStar, CapitaLand's card-less loyalty programme that was launched in Gurney Plaza in 2015, to Tropicana City Mall, The Mines and East Coast Mall in 2016 and the launch events' experiential elements were well-received by shoppers who engaged with an interactive kiosk and flash mob dance performance. CapitaStar now has a network of more than 1,000 participating retailers across the five CapitaLand malls in Malaysia.

Fortifying the Future

Looking ahead, the macroeconomic environment remains challenging and the Malaysian economy is expected to grow by 4.5% to 5.0%² this year. Uncertainties in the global and domestic economies could dent business and consumer sentiments. Furthermore, the scheduled completion of new retail space supply in 2017 is expected to intensify the competition level for the shopping mall sector while the rising popularity of e-commerce is reshaping the traditional retail and consumer shopping behaviour.

With strong economic fundamentals as well as good fiscal and monetary policies, we believe that Malaysia will continue to offer ample opportunities for growth as the fragmented ownership of shopping malls offers possibilities for acquisition and we continually evaluate our portfolio and explore opportunities to enhance value for our Unitholders. We will implement asset enhancement, tenant remixing and other operating initiatives with the goal of improving yields and

2 Source: Ministry of Finance, 27 January 2017.

returns, while continuing to seek inorganic growth opportunities. With our portfolio of well-located malls catering predominantly to necessity shopping, we are confident that CMMT is well positioned to sustain our performance through an increasing challenging environment.

In response to shoppers' growing desire to engage in more enriching and interactive experiences, we will introduce more experiential elements within our tenant mix as well as entertainment facilities in our malls as we continue to refresh, rejuvenate and reinforce our portfolio. To illustrate, a new Malaysian gourmet food hall operator, Oliver Gourmet, will open its first outlet in Tropicana City Mall, to be followed by a second outlet in The Mines. In addition, new-to-market Blastacars indoor kart drifting will be debuting in Sungei Wang Plaza.

We are confident that our Malls will remain relevant and attractive in engaging customers and driving loyalty. We will also continue to leverage on CapitaStar to improve shoppers' satisfaction through constant innovation of shopper-centric initiatives to strengthen shoppers' affinity with our Malls, and bring continued satisfaction to their shopping experiences.

Acknowledgements

We would like to thank our Unitholders, business partners, fellow colleagues, tenants and shoppers for their strong support this year. We would also like to extend our appreciation to both the Trustee and our fellow Directors in the Board of Directors of CapitaLand Malaysia Mall REIT Management Sdn. Bhd., as the Manager of CMMT, for their unstinting guidance and commitment. We look forward to all our stakeholders' continued support as we strive to forge ahead and grow on CMMT's success.

David Wong Chin Huat
Chairman

Low Peck Chen
Chief Executive Officer

8 February 2017

Financial and Trading Highlights

Trading Highlights	FY 2016	FY 2015	FY 2014	FY 2013	FY 2012
Opening Market Price (RM per unit)	1.380	1.430	1.400	1.800	1.440
Closing Market Price (RM per unit)	1.530	1.380	1.430	1.400	1.800
Highest Traded Price (RM per unit)	1.610	1.660	1.540	1.960	1.980
Lowest Traded Price (RM per unit)	1.350	1.240	1.320	1.330	1.330
Average Closing Price (RM per unit)	1.550	1.414	1.441	1.684	1.590
Total Trading Volume (million units)	427.8	279.5	279.1	297.8	273.2
Average Daily Trading Volume (million units)	1.135	1.136	1.135	1.206	1.115
Capital Appreciation¹ (%)	10.9	(3.5)	2.1	(22.2)	25.0
Market Capitalisation² (RM million)	3,108.1	2,794.2	2,543.9	2,481.9	3,182.5
Units in Circulation³ ('000)	2,031,458	2,024,799	1,778,976	1,772,820	1,768,038

Group Performance Highlights (RM Million)	FY 2016	FY 2015	FY 2014	FY 2013	FY 2012
Gross Rental Income	292.9	272.8	250.6	246.5	233.4
Car Park Income	24.6	21.5	18.5	18.4	18.4
Other Revenue	55.1	50.5	46.3	40.2	37.4
Gross Revenue	372.6	344.8	315.4	305.1	289.2
Net Property Income	242.5	226.4	208.9	208.6	196.0
Distributable Income	171.1	162.8	158.4	156.8	149.1
Distribution per Unit (sen)	8.43	8.60	8.91	8.85	8.44
Distribution Yield² (%)	5.51	6.23	6.23	6.32	4.69
Annual Total Return⁴ (%)	17.0	2.5	8.5	(17.3)	30.9
Earnings per Unit (sen)	8.27	11.92	13.31	12.98	14.19
Management Expense Ratio⁵ (%)	0.9	1.0	1.0	1.1	1.0

1 Based on the opening market price and closing market price of the respective financial year.

2 Based on the closing market price of the respective financial year.

3 Units in circulation at the end of the financial year.

4 Annual total return is equal to the DPU plus capital appreciation (in sen) during the year divided by the opening unit price at the beginning of the financial year. The annual total return is also equal to the average total return for one year and the average total return for three and five years to the date of the report are 9.3% and 8.3% respectively.

5 Refers to the expenses of CMMT excluding property operating expenses and interest expense but including the Manager's management fees, expressed as a percentage of average net assets.

Group Financial Position Highlights (RM Million)	As at 31 Dec 2016	As at 31 Dec 2015	As at 31 Dec 2014	As at 31 Dec 2013	As at 31 Dec 2012
Portfolio Property Valuation	3,938.0	3,886.0	3,233.0	3,079.0	2,936.0
Total Assets	4,148.9	4,091.8	3,404.7	3,246.4	3,121.8
Total Borrowings ^{1,2}	1,316.7	1,264.1	965.2	910.7	873.7
Unitholders' Funds	2,685.6	2,674.8	2,287.5	2,202.6	2,116.6
Net Asset Value (NAV) (Before Income Distribution)	2,685.6	2,674.8	2,287.5	2,202.6	2,116.6
Net Asset Value (NAV) (After Income Distribution)	2,599.7	2,594.0	2,209.5	2,122.8	2,041.6
NAV per Unit (Before Income Distribution) (RM)	1.3220	1.3210	1.2858	1.2424	1.1971
NAV per Unit (After Income Distribution) (RM)	1.2797	1.2811	1.2420	1.1974	1.1547

	FY 2016	FY 2015	FY 2014	FY 2013	FY 2012
Highest NAV per Unit (After Income Distribution) (RM)	1.2803	1.2811	1.2420	1.1974	1.1547
Lowest NAV per Unit (After Income Distribution) (RM)	1.2797	1.2410	1.1960	1.1532	1.0946

Group Capital Management Highlights	As at 31 Dec 2016	As at 31 Dec 2015	As at 31 Dec 2014	As at 31 Dec 2013	As at 31 Dec 2012
Gearing Ratio (%)	32.4	31.5	29.0	28.8	28.7
Unencumbered Assets as % of Total Assets	30.4	34.1	40.4	40.8	42.0
Average Term to Maturity ² (years)	6.8	7.3	2.0	3.1	4.1

	FY 2016	FY 2015	FY 2014	FY 2013	FY 2012
Interest Coverage (times)	3.8	4.0	4.6	4.8	4.5
Net Debt/EBITDA ³ (times)	6.0	6.2	5.1	4.9	5.0
Average Cost of Debt (%)	4.5	4.5	4.3	4.4	4.7

The Group refers to the consolidation of the Trust and its wholly owned subsidiary, CMMT MTN Berhad. Unitholders are advised that past performance is not necessarily indicative of future performance and unit prices and investment returns may fluctuate.

1 Before unamortised costs.

2 Excludes bank guarantee facility.

3 Net debt comprises gross debt less temporary cash intended for refinancing, if any, and EBITDA refers to earnings before interest, tax, depreciation and amortisation.

Salient Features of CMMT

Fund Name	CapitaLand Malaysia Mall Trust (CMMT)
Fund Category	Real Estate Investment Trust
Fund Type	Income
Fund Duration	CMMT shall terminate on the earlier of: - the occurrence of any of events listed in Clause 25.2 of the Deed¹; or - the expiration of a period of twenty-one (21) years after the death of the last survivor of the issue now living of His Majesty, the current Yang di-Pertuan Agong of Malaysia or until such further period as the law may permit.
Authorised Investments	Real estate, single-purpose companies, real estate-related assets, non-real estate-related assets, cash, deposits, money market instruments and any investments permitted by SC, the REITs Guidelines ² and the Deed.
Authorised Investments Limits	- At least 50.0% of CMMT's total asset value must be invested in real estate and/ or single-purpose companies at all times; - Not more than 25.0% of CMMT's total asset value may be invested in non-real estate related assets and/or cash, deposits and money market instruments; and - Such other investments or limits as may be permitted by SC and/or the REITs Guidelines
Distribution Policy	Payout policy ratio: - At least 90.0% of CMMT's distributable income of each financial year. Distribution payment: - Semi-annual basis for each six-month period ending 30 June and 31 December of each year.
Borrowing Limitations	Up to 50.0% of CMMT's total asset value at the time the borrowings are incurred or such higher amount with the prior approval of CMMT's Unitholders.
Performance Benchmarks	- FTSE Bursa Malaysia Kuala Lumpur Composite Index (KLCI) - FTSE Bursa Malaysia EMAS Index
Revaluation Policy	Investment properties are valued: - Semi-annually based on internal valuation or independent professional valuation; and - At least once every three years based on an independent professional valuation pursuant to the REITs Guidelines.
Management Fee	- Base Fee: up to 1.0% per annum of the value of Deposited Property³ (FY 2016 actual: 0.29%) - Performance Fee: up to 5.0% per annum of NPI (before Management Fee) (FY 2016 actual: 4.75%) - Acquisition Fee: up to 1.0% of the purchase price of any Authorised Investments directly or indirectly acquired by the Trustee on behalf of CMMT - Divestment Fee: up to 0.5% of the sale price (after deducting the interest of any co-owners or co-participants) of any Authorised Investments directly or indirectly sold or divested by the Trustee on behalf of CMMT.
Financial Year	1 January 2016 – 31 December 2016
Quotation	Main Market of Bursa Malaysia Securities Berhad
Minimum Investment	100 units per board lot
Bursa Securities Stock Number	CMMT 5180

¹ The trust deed dated 7 June 2010 (as amended and restated on 15 September 2015) entered into between the Manager and the Trustee.

² Guidelines on Real Estate Investment Trusts.

³ As defined in the Deed, the value of Deposited Property is equal to all the assets of CMMT (total asset value).

Year in Brief

February

- A distribution of 3.99 sen per unit for the period from 9 July 2015 to 31 December 2015 was paid to Unitholders.

March

- During the Annual General Meeting, Unitholders approved the proposed authority to allot and issue up to 404,959,840 new units of CMMT.

April

- CMMT obtained a new unsecured revolving credit facility of RM50.0 million.

June

- Gurney Plaza was awarded 'The BrandLaureate Best Brands Award Signature Brand 2015/16' – Retail (Shopping Mall).

July

- Gurney Plaza was awarded Penang Green Office Certification by Penang Green Council.

August

- A distribution of 4.20 sen per unit which pertained to the period from 1 January to 30 June 2016 was paid to Unitholders.

September

- In conjunction with Malaysia Day on 16 September, the Biggest Offer Bash campaign was held at several CMMT malls and another CapitaLand mall. Lucky shoppers stood a chance of winning cash prizes totalling RM25,000.

October

- CapitaLand's convenient, card-less CapitaStar rewards programme was extended to three CMMT malls.
- Gurney Plaza was awarded Penang state consolation award in conjunction with World Toilet Day campaign.
- CMMT tightened the credit margin of an existing floating rate credit facility by 20 basis points.

November

- CMMT carried out the philanthropic initiative "My Schoolbag" – a key annual CapitaLand corporate social responsibility programme.

December

- Tropicana City Mall is the shopping mall category winner of the inaugural Petaling Jaya Universal Design Award 2016 organised by Petaling Jaya City Council.
- CMMT MTN Berhad issued 3-year unrated and secured Medium Term Notes (MTN) of RM300.0 million at a lower coupon rate of approximately 4.3% per annum to redeem the outstanding MTN.

Board of Directors

David Wong Chin Huat, 68, Singaporean (Male) Chairman

Non-Executive Independent Director

Bachelor of Laws, University of Singapore
Master of Laws, University of London

Date of first appointment as a director and deputy chairman:
6 July 2012

Date of appointment as chairman:
1 November 2012

Length of service as a director (as at 31 December 2016):
4 years 5 months

Board committee served on

- Corporate Disclosure Committee (Chairman)

Present directorship of public company and listed issuer

- Nil

Present principal commitments (other than directorship in other listed company)

- Ramdas and Wong, Singapore (Consultant)
- National Trades Union Congress ("NTUC")
- U Care Fund, Singapore (Chairman of the Board of Trustees)
- NTUC Endowment Fund Management Committee (Chairman)
- Justice of the Peace Singapore

Background and working experience

- Director of Singapore Labour Foundation (From 2001 to 2010)
- Chairman of Bedok Citizen's Consultative Committees (From 1989 to 2007)
- Member of Public Service Commission, Singapore (From 17 August 1998 to 16 August 2015)

Award

- Public Service Star (BBM) in 1991 and BBM(L) in 2005 awarded in conjunction with the Singapore National Day

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- Nil

Low Peck Chen, 42, Malaysian (Female) Chief Executive Officer

Executive Non-Independent Director

Bachelor of Accounting (First Class Honours), University of Malaya
Member of the Malaysian Institute of Accountants

Date of first appointment as an alternate director and deputy chief executive officer:

19 September 2014

Date of appointment as a director and chief executive officer:
1 November 2014

Length of service as a director (as at 31 December 2016):
2 years 2 months

Board committee served on

- Executive Committee (Member)

Present directorships of public companies and listed issuers

- CMMT MTN Berhad
- Milky Way Properties Berhad

Background and working experience

- Head of Finance of CapitaMalls Malaysia REIT Management Sdn. Bhd. (now known as CapitaLand Malaysia Mall REIT Management Sdn. Bhd.) (From June 2010 to September 2014)
- Finance Manager of CapitaLand Retail Malaysia Sdn. Bhd. (From September 2008 to June 2010)
- Finance Manager/Accountant of Halim Mazmin Berhad (From February 2004 to August 2008)
- Finance Executive of UEM World Berhad (From August 2002 to February 2004)
- Finance Officer of AmFinance Berhad (From May 2000 to July 2002)
- Auditor of Moores Rowland (From August 1999 to May 2000)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- Nil

Tan Siew Bee, 57, Malaysian (Female)

Non-Executive Independent Director

Barrister at Law, Lincoln's Inn
LL.B (Honours) Degree, University of East Anglia
LL.M, University College, London

Date of first appointment as a director:

10 June 2010

Length of service as a director (as at 31 December 2016):

6 years 6 months

Board committee served on

- Audit Committee (Member)

Present directorship of public company and listed issuer

- Nil

Background and working experience

- Senior Partner & Head, Finance & Property Department of Messrs Shahrizat Rashid & Lee (From 2003 to 2007)
- Senior Partner & Head, Finance & Property Department of Messrs Shahrizat & Tan (From 1993 to 2003)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- Nil

Dr Peter Tay Buan Huat, 68, Singaporean (Male)

Non-Executive Independent Director

Bachelor of Engineering (Honours), Industrial Engineering, University of Newcastle, Australia
Bachelor of Arts, Economics, University of Newcastle, Australia
Master of Science in Management (Sloan Fellows Program), Massachusetts Institute of Technology, US
Doctor of Engineering honoris causa (Hon DEng), University of Newcastle, Australia
Fellow of the Chartered Institute of Management Accountants (CIMA), United Kingdom

Date of first appointment as a director:

10 June 2010

Length of service as a director (as at 31 December 2016):

6 years 6 months

Present directorship of public company and listed issuer

- Nil

Present principal commitment (other than directorship in other listed company)

- Koufu Pte. Ltd. (Corporate Advisor on part-time basis)

Background and working experience

- Corporate Advisor of Temasek Holdings Pte. Ltd. (From 2007 to 2008)
- President and Chief Executive Officer of Singapore Food Industries (From 1989 to 2006)
- Concurrent Secondary Appointment, Group Director, Strategic Development of Singapore Technologies Group (From 1998 to 2004)
- Concurrent Secondary Appointment, Group Coordinator, Human Resource of Singapore Technologies Group (From 1992 to 1994)
- Director, Planning & Human Resource of Singapore Technologies Group (From 1986 to 1989)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- Nil

Board of Directors

Foo Wei Hoong, 56, Malaysian (Male)

Non-Executive Non-Independent Director

Chartered Accountant (Malaysia), Member of the Malaysian Institute of Accountants
Fellow of the Association of Chartered Certified Accountants, United Kingdom
Certified Financial Planner, Financial Planning Association of Malaysia

Date of first appointment as a director:

1 June 2012

Length of service as a director (as at 31 December 2016):

4 years 7 months

Present directorships of public companies and listed issuers

- Oriental 1936 Berhad
- MIDF DFI Berhad

Present principal commitment (other than directorship in other listed company)

- Malaysian Industrial Development Finance Berhad (Chief Financial Officer/Head, Finance & Information Technology Division)

Background and working experience

- Vice President of Financial Services of Malaysian National Insurance Berhad (now known as Etiqa Insurance Berhad) (From 2001 to 2006)
- Financial Controller of PanGlobal Insurance Berhad (From 1996 to 2001)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- Nil

Tuan Haji Rosli Bin Abdullah, 63, Malaysian (Male)

Non-Executive Independent Director

Post-Graduate, Diploma in Accounting, Universiti Malaya
Bachelor in Economics (Honours), Universiti Malaya
Master in Business Administration, Universiti Kebangsaan Malaysia
Chartered Accountant (Malaysia), Member of the Malaysian Institute of Accountants

Date of first appointment as a director:

6 July 2012

Length of service as a director (as at 31 December 2016):

4 years 5 months

Board committee served on

- Audit Committee (Chairman)

Present directorships of public companies and listed issuers

- Keretapi Tanah Melayu Berhad
- Dagang NeXchange Berhad
- Malaysia Airports Holdings Berhad
- I-VCAP Management Sdn. Bhd

Background and working experience

- Chief Executive Officer and Registrar of Malaysian Institute of Accountants (From 2009 to 2012)
- Adviser to Economic Planning Unit of Government of Malaysia (2008)
- Senior General Manager of Putrajaya Holdings Sdn. Bhd. (From 1996 to 2007)
- Financial Controller/General Manager of Finance of Kuala Lumpur International Airport Berhad (From 1994 to 1996)
- Director of Corporate Services at the Accountant General Department of Ministry of Finance (From 1993 to 1994)
- Bursar of Universiti Putra Malaysia (From 1991 to 1993)
- Chief Accountant at the Government Pension Department of Public Service Department (From 1989 to 1991)
- Chief Accountant in the Ministry of Education of Government of Malaysia (From 1983 to 1987)
- Chief Accountant in the Ministry of Works of Government of Malaysia (From 1981 to 1983)
- State Treasurer of the State of Kelantan (From 1978 to 1980)
- Accountant, Accountant General's office, Federal Treasury in the Ministry of Finance of Government of Malaysia (From 1976 to 1977)

Tuan Haji Rosli Bin Abdullah, 63, Malaysian (Male)
Non-Executive Independent Director
 (continued)

Award

- Johan Setia Mahkota (J.S.M.), awarded by His Majesty Yang DiPertuan Agong on 1 June 2002

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- Nil

Ng Chih Kaye, 61, Malaysian (Male)
Non-Executive Independent Director

Chartered Accountant (Malaysia), Member of the Malaysian Institute of Accountants
 Fellow of the Association of Chartered Certified Accountants, United Kingdom

Date of first appointment as a director:

6 July 2012

Length of service as a director (as at 31 December 2016):

4 years 5 months

Board committee served on

- Audit Committee (Member)

Present directorship of public companies and listed issuers

- Agrobank (Bank Pertanian Malaysia Berhad)
- Malaysia Debt Ventures Berhad

Background and working experience

- Various positions, Executive Vice President being the last position of Malayan Banking Berhad (From 1985 to 2010)
- Audit Senior of KPMG Kuala Lumpur (From 1983 to 1984)
- Audit Senior of Blinkhorn, Lyon & Golding, London (From 1978 to 1982)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- Nil

Jason Leow Juan Thong, 50, Singaporean (Male)
Non-Executive Non-Independent Director

Executive Master in Business Administration, Fudan University
 Chartered Accountant of Singapore and a member of the Institute of Singapore Chartered Accountants
 Advanced Management Program, Harvard Business School

Date of first appointment as an alternate director:

19 September 2014

Date of appointment as a director:

1 December 2014

Length of service as a director (as at 31 December 2016):

2 years 1 month

Board committees served on

- Executive Committee (Chairman)
- Corporate Disclosure Committee (Member)

Present directorship of public company and listed issuer

- Nil

Present principal commitment (other than directorships in other listed company)

- CapitaLand Mall Asia Limited (CEO)

Background and working experience

- CEO of CapitaLand China Holdings Pte. Ltd. (From July 2009 to September 2014)
- Deputy CEO of CapitaLand China Holdings Pte. Ltd. (From July 2005 to June 2009)
- General Manager, Business Development of CapitaLand Residential Limited (From July 2002 to June 2005)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- Nil

Board of Directors

Ng Kok Siong, 45, Singaporean (Male)

Non-Executive Non-Independent Director

Bachelor of Accountancy (Honours), Nanyang Technological University of Singapore

Date of first appointment as a director:

10 June 2010

Length of service as a director (as at 31 December 2016):

6 years 6 months

Board committees served on

- Audit Committee (Member)
- Corporate Disclosure Committee (Member)
- Executive Committee (Member)

Present directorship of public company and listed issuer

- Nil

Present principal commitment (other than directorship in other listed company)

- CapitaLand Limited (Chief Corporate Development Officer)

Background and working experience

- Chief Financial Officer of CapitaLand Mall Asia Limited (From November 2009 to August 2014)
- Senior Vice President, Strategic Finance of CapitaLand Limited (From October 2008 to September 2009)
- Senior Vice President, CapitaLand Eurasia of CapitaLand Limited (From January 2007 to October 2008)
- Vice President, Office of the President of CapitaLand Limited (From September 2005 to January 2007)
- Strategy and Portfolio Manager of Shell Oil Products East (From August 2003 to September 2005)
- Planning and Appraisal Advisor of Shell Oil Products East (From July 2001 to August 2003)
- Regional Advisor of Exxon Mobil Asia Pacific Pte Ltd (From May 2000 to July 2001)
- Global Analyst of Esso Coordination Centre N.V. (From January 1999 to May 2000)
- Senior Planning Analyst of Esso Singapore Private Limited (From July 1998 to January 1999)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- Nil

Lee Hui Yeow, 43, Malaysian (Male)

Alternate Director to Ng Kok Siong

Non-Executive Non-Independent Director

Bachelor of Science in Accounting (First Class Honors) from University of Wales College of Cardiff
Fellow of the Association of Chartered Certified Accountants, United Kingdom

Date of appointment as an alternate director:

1 January 2017

Present directorship of public company and listed issuer

- Milky Way Properties Berhad

Present principal commitment (other than directorship in other listed company)

- CapitaLand Mall Asia Limited (Head of Finance)

Background and working experience

- Financial Controller of CapitaLand Mall Asia Limited (From 2011 to 2014)
- Head of Finance & Corporate Services of CapitaMalls Malaysia REIT Management Sdn. Bhd. (now known as CapitaLand Malaysia Mall REIT Management Sdn. Bhd.) (From 2008 to 2011)
- Deputy Head of Finance of CapitaLand Retail China Trust Management Limited (From 2007 to 2008)
- Finance Manager of CapitaLand Limited (From 2005 to 2006)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- Nil

Trust Management Team

Low Peck Chen **Chief Executive Officer**

Please refer to description under the section on 'Board of Directors'.

Yue Pei San, 41, Singaporean (Female) **Head, Finance**

Ms Yue has about 20 years of experience in finance and accounting covering private companies, public listed corporations and real estate fund management. Prior to her current role, she was with CapitaLand Mall Fund Management Private Limited, a wholly owned subsidiary of CMA since June 2011 where she was responsible for the finance and accounting functions of the Private Real Estate Funds investing in retail properties in China. In 2012, she was involved in the establishment of a new Private Fund to invest in the development of shopping malls and properties predominantly used for retail purposes in China. Her responsibilities also include finance-related support for acquisitions and divestments of retail properties in China directly held by CMA. Before joining CMA, she worked with IMC Pan Asia Alliance Group and Singapore Press Holdings Ltd.

Ms Yue holds a Bachelor of Accountancy from Nanyang Technological University, Singapore and is a member of the Institute of Singapore Chartered Accountants.

Tng Wei Chien, 43, Singaporean (Male) **Head, Investment & Asset Management**

Mr Tng has close to 10 years of real estate investment and asset management experience, and is responsible for acquisitions and divestments, fund raising and overall performance of CMMT's assets. He led the acquisitions of Tropicana City Mall and Tropicana City Office Tower in 2015; Gurney Plaza Extension and East Coast Mall in 2011 and participated actively in the fund raising for these acquisitions. Through major asset enhancement initiatives for Gurney Plaza and East Coast Mall, the capital value and performance of these assets have improved vastly. He was also part of the core team that spearheaded the listing of CMMT on the Main Market of Bursa Securities in 2010. Prior to the listing of CMMT, he was Manager, Investment & Asset Management for CMA Malaysia, and was responsible for the performance of CMA's properties in Malaysia. Prior to joining CMA, Mr Tng held various appointments in Singapore's civil service at the Ministry of Transport, Ministry of Education and DSO National Laboratories.

Mr Tng holds a Master of Science in Wealth Management from the Singapore Management University and a Bachelor of Science in Electrical and Computer Engineering (Honours) from Carnegie Mellon University.

Fern Tan Feng Ching, 44, Malaysian (Female) **General Manager, Retail Management**

Ms Tan has more than 20 years of experience in the retail property industry covering leasing, leasing administration, advertising and promotions, human resources and mall operations. Prior to joining the Manager, Ms Tan was with CMA Malaysia and responsible for the financial and operational performance of The Mines. She formulated and executed the major asset enhancement initiatives at The Mines in 2008 and 2009, which resulted in significant growth of the asset's income, occupancy and shopper traffic. Before this, she was Deputy Leasing Head of CapitaRetail China and Group Leasing Manager for CMA in Singapore. Prior to joining CMA, Ms Tan worked for Crimson Berhad and Sungei Wang Plaza Sdn Bhd, which was under Landmark Bhd, and was also previously involved in marketing and leasing activities at Endah Parade and Sungei Wang Plaza.

Ms Tan holds a Bachelor of Science (Travel Industry Management) from Hawaii Pacific University, USA.

Lawrence Teh Cheng Poh, 53, Malaysian (Male) **General Manager, Mall Management**

Mr Teh has close to 30 years of work experience in both retailing and retail real estate industry with vast exposure to retail operations, centre management and mall management. Mr Teh was previously Centre Manager of Gurney Plaza before being re-designated as the General Manager, Mall Management of the Manager. Prior to joining CMA, Mr Teh was the General Manager, Group Complexes for Berjaya Land Berhad. He has also previously been involved in the operations of shopping malls such as Sunway Pyramid and Sunway Carnival; hypermarket player Carrefour as well as food and beverage brands like KFC.

Mr Teh holds a Bachelor of Commerce (Accounting, Finance & System) from the University of New South Wales, Australia and was an Associate of Australian Society of Practicing Accountants from 1988 till 1991.

Trust Management Team

Grace Yap Mei Wan, 49, Malaysian (Female)

Compliance Officer

Head, Legal, Secretariat & Compliance

With more than 20 years of work experience, Ms Yap served as a practicing lawyer for seven years and was an in-house legal counsel in both public listed and private limited companies for 16 years. Prior to joining the Manager, she was initially a legal practitioner involved in concessions/privatization; management buy-outs; public listing; due diligence exercises; joint ventures, and mergers and acquisitions practices. Subsequently, Ms Yap pursued her career as an in-house legal counsel whereby she was instrumental in assisting large and diversified corporations with asset acquisitions; corporate finance; property development; conveyancing; project management as well as corporate advisory matters.

Ms Yap holds an LLB (Honours) degree from the University of Nottingham, England and was admitted to the English Bar and Malaysian Bar in 1991 and 1993 respectively.

Choo Wee Chyn, 42, Singaporean (Male)

Head, Design Management

Mr Choo has more than 15 years of experience in the design and development of housing and commercial developments. Prior to joining the Manager, Mr Choo was Design Manager of CMA Malaysia and oversaw the design management and tenancy design for the portfolio of CMA shopping malls in Malaysia. Mr Choo has also been involved in conducting feasibility assessments and due diligence exercises for asset acquisitions; and the planning, design and execution of the various AEs for the malls in the CMA portfolio. Responsible for establishing and implementing shop fit-out design standards and guidelines, he also ensures that shop designs are of a standard befitting the respective mall's positioning. Before relocating to Malaysia, Mr Choo participated in CMA's project bids and AEs in Singapore. Prior to joining CMA, he was a practicing architect and worked for various large architectural companies where he focused on commercial and residential building design and construction.

Mr Choo holds a Master of Architecture and a Bachelor of Arts (Architecture Studies) from the National University of Singapore, and is a registered Architect with the Board of Architects (Singapore).

Mah Kok Foon, 44, Malaysian (Male)

Head, Human Resources

With about 20 years of experience in human resource management, Mr Mah is highly experienced in manpower planning and recruitment; training and development;

compensation and benefit; performance management; talent management as well as industrial and employee relations. Prior to his present position, Mr Mah led the Human Resources department of CMA Malaysia when he came on board in 2009. In this capacity, he has successfully rolled out series of enhanced employees' benefit programmes, implemented human resources-related policies and procedures in Malaysia, and also coordinated the rationalisation of salary and benefits packages for new staff during acquisition-related due diligence exercises. Prior to joining CMA, he has worked with Prudential Services Asia Sdn. Bhd., GCH Retail Malaysia Sdn. Bhd. and Gurney Plaza Sdn. Bhd.

Mr Mah holds a Master of Business Administration and a Bachelor of Economics (Hons) from Northern University of Malaysia.

Ibrahim Ahmad, 56, Singaporean (Male)

Head, Operations

Mr Ibrahim has over 25 years of experience in real estate in both project and property management. Prior to joining the Manager, he was the Head of Engineering and Technical Services of CMA Malaysia, and was responsible for the implementation of the standard operating procedures and emergency response procedures for the respective shopping malls. He was also involved in the preparation of operations and maintenance budgets; review of equipment performance, and procurement of service contracts. In addition to the above, he led the implementation of systems that resulted in the award of ISO9000, ISO14000 and ISO18000, as well as Singapore's Building and Construction Authority Green Mark certification, for malls within the portfolio.

Mr Ibrahim graduated with a Bachelor of Science (Real Estate Management) from Oxford Brookes University, United Kingdom and is a qualified Fire Safety Manager registered with the Fire Safety Bureau of Singapore.

Jasmine Loo Pik Kwan Abdullah, 38, Malaysian (Female)

Senior Manager, Investor Relations

Ms Loo gained experience in corporate communications during her tenure with one of the oldest, listed property developers in Malaysia for more than five years. Prior to that, she established herself as a writer for several well regarded publications in the media industry, e.g. The New Straits Times Press and The Edge Communications.

Ms Loo holds a Bachelor of Arts (English Language) from Universiti Putra Malaysia.

Corporate Governance

The Manager

The primary role as the Manager of CMMT is to set the strategic direction of CMMT and make recommendations to the Trustee on the acquisition of new assets and divestment or enhancement of CMMT's assets in accordance with its stated investment strategy. The research, evaluation and analysis required for this purpose are coordinated and carried out by the Manager. The Manager is also responsible for the system of risk management and internal controls for CMMT.

The Manager has general powers of management over the assets of CMMT. The Manager's primary responsibility is to manage the assets and liabilities of CMMT for the benefit of the Unitholders of CMMT. This is done with a focus on generating rental income and enhancing asset values over time so as to maximise the returns from the investments and ultimately, the distribution and total returns to Unitholders.

Other functions and responsibilities of the Manager include:

- (a) Using its best endeavours to conduct CMMT's business in a proper and efficient manner and to conduct all transactions on behalf of CMMT at arm's length.
- (b) Preparing annual property plans for review by the Manager's Directors, including forecasts on revenue, net income and capital expenditure, reasons for major variances in previous years' numbers, written commentaries on key issues and underlying assumptions for rental rates, operating expenses and other relevant assumptions.
- (c) Ensuring compliance with relevant laws and regulations, including but not limited to the Companies Act 1965, the Capital Markets and Services Act 2007 (CMSA), the Main Market Listing Requirements of Bursa Malaysia Securities Berhad (Bursa Malaysia) (Listing Requirements), the Securities Commission's (SC) Guidelines on Real Estate Investment Trusts (REITs Guidelines), Licensing Handbook, written directions, notices, codes and other applicable guidelines issued by SC and/or Bursa Malaysia from time to time and the tax rulings issued by the Inland Revenue Board of Malaysia on the taxation of CMMT and its Unitholders as well as any updates and amendments to such relevant laws and regulations.
- (d) Attending to all regular communications with Unitholders.
- (e) Supervising Knight Frank Malaysia Sdn. Bhd. and Zaharin Nexcap Property Management Sdn. Bhd. (the Property Managers), which pursuant to the property management agreements, perform the day-to-day property management functions (including leasing, accounting, marketing and promotions, property management and operations) for CMMT's properties namely Gurney Plaza, Sungei Wang Plaza¹, Tropicana City Mall and Tropicana City Office Tower, The Mines and East Coast Mall.

The Manager also considers sustainability issues (including environmental and social factors) as part of its responsibility. CMMT's Sustainability Management section is set out on pages 56 to 60.

CMMT, constituted as a trust, is externally managed by the Manager. The Manager appoints experienced and well qualified individuals to run its day-to-day operations. All Directors and employees of the Manager are remunerated by the Manager and not CMMT.

The Manager was appointed in accordance with the terms of the trust deed dated 7 June 2010 (as amended and restated on 15 September 2015) (the Deed). The Deed outlines certain circumstances under which the Manager can be removed; through a special resolution passed by a majority consisting of not less than three-fourths of the Unitholders present and voting at a meeting of Unitholders duly convened and held in accordance with the provisions of the Deed, on grounds of a breach of its obligations under the Deed which the Manager failed to remedy despite the request to remedy from the Trustee.

¹ CMMT's interest in Sungei Wang Plaza comprises (i) 205 strata parcels within the mall which represents approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza, and (ii) 100.0% of the car park bays in Sungei Wang Plaza.

Corporate Governance

The Manager is a subsidiary of CapitaLand Limited (CapitaLand) which holds a significant unitholding interest in CMMT. CapitaLand is a long-term real estate developer and investor and has strong inherent interests in the performance of CMMT. CapitaLand's retention of a significant unitholding interest in CMMT ensures its commitment to CMMT and aligns its interests with other Unitholders. The Manager's association with CapitaLand provides the following benefits, amongst other things, to CMMT:

- (a) a stable pipeline of property assets through CapitaLand's development activities;
- (b) wider and better access to banking and capital markets on favourable terms;
- (c) fund raising and treasury support; and
- (d) access to a bench of experienced management talent.

Our Corporate Governance Culture

Strong corporate governance has always been the priority of the Manager. The Manager recognises that an effective corporate governance culture is critical to the performance and consequently, to the success of CMMT.

The Manager (the Company, and together with CMMT and its subsidiary, the Group) is committed to high standards of corporate governance and transparency in the management of CMMT and operates in the spirit of the Malaysian Code on Corporate Governance 2012 (the Code), wherever applicable, in discharging responsibilities of the Manager in dealings with Unitholders and the other stakeholders. The following paragraphs describe corporate governance policies and practices of the Manager in 2016, with specific references to the Code. They encompass proactive measures adopted by the Manager to best safeguard the Unitholders' interests by avoiding situations of conflict and potential conflicts of interest, including prioritising the interests of Unitholders over the Manager's and ensuring that applicable laws and regulations are complied with. For ease of reference, the same provisions referred to in the Code are identified below in *italics*.

PRINCIPLE 1: ESTABLISH CLEAR ROLES AND RESPONSIBILITIES

Board's Roles and Responsibilities

The Board of Directors of the Manager (the Board) oversees the affairs of the Manager in furtherance to the Manager's primary responsibility to manage the assets and liabilities of CMMT for the benefit of Unitholders. Each Director must act honestly, with due care and diligence. Decisions are taken objectively in the interest of CMMT's Unitholders. The Manager has adopted guidelines, details of which are set out on pages 42 to 44 for Related Party Transactions (as defined herein) and dealings with conflicts of interest.

The Board provides leadership to the Chief Executive Officer (CEO) and the management team (Management) of the Manager, and sets the strategic vision, direction and long-term objectives for CMMT. The CEO, assisted by Management, is responsible for the execution of the strategy for CMMT and the day-to-day operation of CMMT's business. The Board establishes goals for Management and monitors the achievement of these goals. It ensures that proper and effective controls are in place to assess and manage business risks and compliance with the Listing Requirements, REITs Guidelines as well as any other applicable guidelines prescribed by Bursa Malaysia, the SC or other relevant authorities and any other applicable laws. It also sets the disclosure and transparency standards for CMMT and ensures that obligations to Unitholders and other stakeholders are understood and met.

The Board has established various committees to assist it in the discharge of its functions. These committees are the Audit Committee (AC), the Corporate Disclosure Committee (CDC) and the Executive Committee (EXCO). The composition of the various committees is set out under Corporate Information of this Annual Report.

Each of these committees operates under delegated authority from the Board and is governed by its own terms of reference, with the Board retaining overall oversight. The Board may form other committees as dictated by business imperatives. Membership in the various committees is managed to ensure an equitable distribution of responsibilities among Board members, to maximise the effectiveness of the Board and to foster active participation and contribution from Board members. Diversity of experience and appropriate skills are considered in the composition of the respective committees.

The Board meets regularly to discuss and review the Manager's key activities, including its business strategies and policies for CMMT. Board meetings are scheduled in advance, and are held at least once every quarter to deliberate on matters of strategic significance for CMMT, including any significant acquisitions and disposals, the annual budget, CMMT's and the Manager's business and financial performance reviews and approval for release of the quarterly and full-year results. Additional Board meetings are held, where necessary, to address significant transactions or issues. The Articles of Association of the Manager permit Board meetings to be held by way of tele-conference and video conference.

The Board's duties and responsibilities are guided by a Board Charter and include:

- (a) approving the Group's broad policies, strategies and objectives;
- (b) approving annual budgets, major funding, including capital management proposals, investment and divestment proposals;
- (c) reviewing at least annually the adequacy and effectiveness of the Group's risk management and internal control systems including financial, operational, compliance and information technology controls;
- (d) reviewing and approving succession plans for Directors;
- (e) reviewing and approving the appointment of and succession plans for the CEO; and
- (f) reviewing and approving Board compensation.

Specific matters which are reserved for the Board's approval include:

- (a) material acquisitions, investments, disposals, and divestments;
- (b) corporate and financial restructuring;
- (c) share issuance, dividends and other returns to shareholders;
- (d) review of the targets for and assessing the performance of the CEO and reviewing the compensation package for the CEO; and
- (e) matters which involve conflict of interest for a substantial shareholder, major Unitholder or a Director.

The AC is established by the Board from among the Directors of the Manager and comprises four members, all non-executive, the majority of whom (including the Chairman of the AC) are independent.

The AC members have the relevant expertise to discharge the functions of an audit committee. At present, two members of the AC are members of the Malaysian Institute of Accountants. The principal responsibilities of the AC under its terms of reference include the following:

- (a) Monitoring and evaluating the effectiveness of internal control processes (including financial, operational, compliance controls, information technology and risk management policies and systems) by reviewing internal and external audit reports to ensure that where deficiencies in internal controls have been identified, appropriate and prompt remedial action is taken by Management;
- (b) Reviewing significant financial reporting issues and judgements so as to ensure the integrity of the financial statements of CMMT Group and any announcements relating to CMMT Group's financial performance;
- (c) Reviewing the adequacy and effectiveness of the internal audit function;
- (d) Monitoring the procedures established to regulate Related Party Transactions (as defined herein) including ensuring compliance with applicable provisions of the Listing Requirements and the REITs Guidelines;
- (e) Reviewing the appointment and re-appointment of both internal and external auditors (including remuneration and terms of engagement) before recommending them to the Board for approval and reviewing the adequacy of existing audits in respect of cost, scope and performance;
- (f) Reviewing the scope and results of the audit and its cost effectiveness, the independence and objectivity of the external auditors, non-audit services provided by the external auditors and confirming that they would not, in the AC's opinion, impair the independence of the external auditors; and
- (g) Monitoring the procedures in place to ensure general compliance with applicable legislation, the Listing Requirements and the REITs Guidelines.

Corporate Governance

The AC is authorised to investigate any matters within its terms of reference. The AC has full access to and has the co-operation of Management and the internal auditors with full discretion to invite any alternate director, executive officer and employee to attend its meetings. The internal auditors and CMMT's external auditors have unrestricted access to the AC. Reasonable resources have been made available to the AC to enable it to discharge its duties.

The AC meets CMMT's external auditors, without the presence of Management, at least twice a year. In its review of the audited financial statements for FY 2016, the AC discussed with Management and external auditors the accounting principles that were applied. Based on the review and discussions with Management and the external auditors, the AC is of the view that the financial statements are fairly presented, and conform to generally accepted accounting principles in all material aspects. The AC has also conducted a review of all non-audit services provided by the external auditors during the financial year and is satisfied that the nature and extent of such services will not prejudice the independence and objectivity of the external auditors. The aggregate amount of fees paid and payable to the external auditors for FY 2016 was RM200,000 of which audit fees amounted to RM191,000 and non-audit fees amounted to RM9,000.

Management closely monitors changes to accounting standards and other similar issues which may potentially have an impact on financial statements, and provides the AC with relevant briefings and updates during quarterly AC meetings and/or at specially convened sessions conducted by professionals or via circulation of AC papers.

AC meetings are generally held after the end of every quarter in every financial year. During FY 2016, the AC met a total of four times.

The CDC pursues best practices concerning transparency and reviews corporate disclosure matters relating to CMMT including announcements made to Bursa Malaysia.

The EXCO which may comprise of directors and/or individuals who are not directors of the Manager, oversees the day-to-day activities of the Manager on behalf of the Board. The principal responsibilities of the EXCO under its terms of reference include the following:

- (a) Approving or making recommendations to the Board on write-offs of investments;
- (b) Approving or making recommendations to the Board on new investments and acquisitions;
- (c) Approving specific budgets for capital expenditure involving development projects, acquisitions and enhancements/upgrading of properties;
- (d) Reviewing management reports and operating budgets;
- (e) Awarding contracts for development projects;
- (f) Reviewing the adequacy and completeness of the overall risk management framework of CMMT;
- (g) Evaluating and making recommendations for the Board's approval of the risk guidelines and limits for CMMT;
- (h) Reviewing CMMT's risk portfolio mix and risk levels as and when required;
- (i) Reporting to the Board on decisions made by the EXCO; and
- (j) Performing such other functions as delegated by the Board.

During FY 2016, the EXCO met formally for a total of four times. The members of the EXCO also meet informally during the course of the year.

The Board has adopted a set of internal controls which sets out approval limits for, among other things, capital expenditure, new investments and divestments, bank borrowings and minimum signatory requirements for cheques at the Board level. Apart from matters that specifically require the Board's approval such as the issue of new Units and income distribution, the Board, while approving certain transactions exceeding certain threshold limits, delegates authority for transactions below those limits to its committees and Management. Appropriate delegation of authority and approval of sub-limits are also provided at the management level to facilitate operational efficiency.

Supply and Access to Information

Management provides the Board with complete and adequate information in a timely manner. This is done through regular updates on financial results, market trends and business developments. Changes to regulations, policies and accounting standards are also monitored closely.

To keep pace with regulatory changes, where these changes have an important and significant bearing on CMMT and its disclosure obligations, the Directors are briefed by Management during Board meetings, at specially convened sessions or via circulation of Board papers. Information provided to the Board includes explanatory background information relating to matters to be brought before the Board, budgets, forecasts and management accounts. In relation to budgets, any material variance between projections and actual results are disclosed and explained.

The Board is supported by a suitably qualified and competent Secretary. The Secretary of the Manager works with the Chairman and Management to ensure that Board papers and agendas are provided to each Director in advance of the Board meetings so that they can familiarise themselves with the matters prior to the Board meetings. Senior executives who can provide additional insights into matters to be discussed are requested to also attend the Board meetings so as to be at hand to provide clarifications and/or additional information. Board meetings are usually half-day affairs and include presentations by senior executives, external consultants and experts on strategic issues relating to specific business areas. The Board is entitled to have separate and independent access to the Management and the Secretary, and vice versa. The Secretary provides the Board with necessary assistance and is also responsible for assisting the Chairman in ensuring adherence to Board procedures and compliance with applicable laws and regulations. Under the direction of the Chairman, the Secretary’s responsibilities include ensuring good information flow within the Board and its committees and between Management and Independent Directors, as well as facilitating orientation of new directors and assisting with the professional development of the Directors as and when required. The Secretary attends Board meetings and committee meetings to take minutes.

Where necessary, the Manager will, upon request of the Directors (whether as a group or individually), provide them with independent professional advice, at the Manager’s expense, to enable them to discharge their duties. The Secretary assists the Directors in obtaining such advice.

PRINCIPLE 2: STRENGTHEN COMPOSITION

The Manager is led by the Board which presently comprises a majority of Independent Directors. This exceeds the requirement of the Code. Currently, the Board consists of nine Directors of whom five are Non-Executive Independent Directors. The Board determines that Mr David Wong Chin Huat, Tuan Haji Rosli bin Abdullah, Ms Tan Siew Bee, Dr Peter Tay Buan Huat and Mr Ng Chih Kaye are considered to be Independent Directors under the Listing Requirements and REITs Guidelines.

Non-Executive Directors actively participate in setting and developing strategies and goals for Management, reviewing and assessing Management’s performance. This enables Management to benefit from their external and diverse perspectives on issues that are brought before the Board.

It also enables the Board to interact and work with Management through a healthy exchange of ideas and views to help shape the strategic process. A clear separation of the roles between the Chairman and CEO is further described on page 36.

The composition of the Board is reviewed regularly to ensure that the Board has the appropriate size and mix of expertise and experience. The Board comprises persons who, as a group, provide the necessary core competencies and the current Board size is appropriate, taking into consideration the nature and scope of CMMT’s operations. The profiles of the Directors are set out on pages 20 to 24.

Corporate Governance

Board Membership

The Board undertakes the function of a nominating committee and therefore, the Manager does not have a nominating committee. The Board performs the functions that such a committee would otherwise perform, namely, it administers nominations to the Board, reviews the structure, size and composition of the Board, and reviews the performance and independence of Board members. The Board seeks to ensure that the composition of the Board provides an appropriate balance and diversity of skills, experience and knowledge of the industry and that the Directors, as a group, have the necessary core competencies relevant to CMMT's business. The current Board comprises individuals who are business leaders and professionals with financial, banking, legal, engineering and accounting backgrounds. The varied backgrounds of the Directors enable Management to benefit from their respective expertise and diverse background.

As part of its commitment towards improving its corporate governance, the Board recently undertook a review of the matter and has determined that it shall continue to undertake the functions of a nominating committee. The following considerations were taken into account:

- (a) The Manager is a dedicated manager to only CMMT and has a more focused scope and scale of business compared to those of listed companies. For this reason, the Board's capacity would not be unduly stretched if the responsibilities of a nominating committee were also undertaken by the Board as the Board would be able to give adequate attention to such issues;
- (b) The focused scope of the business of CMMT also means a manageable competency requirement for the Board such that the Board is able to manage the duties of a nominating committee; and
- (c) That Independent Directors form a majority of the Board and the Chairman as an Independent Director demonstrates that the Independent Directors play a substantive role and assures the objectivity and independence of the decision-making process concerning nomination. This also mitigates any concerns of conflict which can be managed by having the conflicted directors abstain from the decision-making process. Further, conflict situations are less likely to arise in matters of nomination.

In view of the criteria and process put in place for selecting, appointing and reappointing Directors and for reviewing the performance of Directors, the Board has adopted the following for FY 2016 and thereafter:

- (a) The Board will at least annually carry out a review of the Board composition as well as on each occasion when an existing Independent Director gives notice of his intention to retire or resign. This is to assess the collective skills, knowledge and experience of the Directors represented on the Board to determine whether the Board, as a whole, has the skills, knowledge and experience required to achieve the Manager's objectives for CMMT.
- (b) The Board will review the suitability of any candidates put forward by any director for appointment, having regard to the skills required and the skills represented on the Board as to whether a candidate's skills, knowledge and experience will complement the existing Board and whether he has sufficient time available to commit to his responsibilities as a Director, and if he is fit and proper person for the office in accordance with the Licensing Handbook issued by the SC and the CMSA (which require the candidate to be, among other things, competent, honest and with integrity).
- (c) External consultants may be engaged from time to time to access a wide base of potential directors.
- (d) No member of the Board will be involved in any decision of the Board relating to his own appointment, reappointment or assessment of independence.
- (e) A newly appointed Director will receive a formal appointment letter and a copy of the Director's Manual (which includes information on a broad range of matters relating to the role and responsibilities of a director).
- (f) All Directors on appointment will undergo an induction programme to help familiarize them with matters relating to CMMT's business and the Manager's strategy for CMMT.
- (g) The performance of the Board, the various committees and Directors will be reviewed annually.
- (h) The Board will proactively address any issues identified in the board performance evaluation.

The adopted process takes into account the requirements in the Code that the composition of the Board, including the selection of candidates for new appointments to the Board is part of the Board's renewal process and will be determined using the following principles:

- (a) The Board should comprise Directors with a broad range of commercial experience, including expertise in fund management, the property industry, banking and legal fields; and
- (b) At least one-third of the Board should comprise of Independent Directors. Where, among other things, the Chairman of the Board is not an Independent Director, at least half of the Board should comprise of Independent Directors.

Presently a majority of the Board comprises Independent Directors and the Chairman of the Board is presently an Independent Director. The Board intends to continue with the Principle that at least half of the Board shall comprise Independent Directors.

Board Evaluation

The Manager believes that oversight from a strong and effective board goes a long way in guiding a company to achieving success.

The Board strives to ensure that there is an optimal blend in the Board of background, experience and knowledge in business, finance and management skills critical to CMMT's business, and that each Director can bring to the Board an independent and objective perspective to enable balanced and well-considered decisions to be made in the interests of CMMT.

Whilst board performance is ultimately reflected in the long-term performance of CMMT, the Board believes that engaging in a regular process of self-assessment and evaluation of board performance in order to identify key strengths and areas for improvement is essential towards effective stewardship and attaining success for CMMT.

As part of the Manager's commitment towards improving corporate governance, the Board has implemented a process to evaluate the effectiveness of the Board as a whole and the committees on an annual basis. As part of the process, questionnaires were sent to the Directors, and the results were aggregated and reported to the Chairman of the Board. The areas of evaluation covered in the survey questionnaire included Board composition, Board processes, strategy, performance and governance, access to information and committees effectiveness. The results of the survey were deliberated upon by the Board, and the necessary follow up action will be taken with a view to enhancing its effectiveness of the Board in the discharge of its duties and responsibilities.

In respect of individual Directors, their contributions can take different forms including providing objective perspectives on issues, facilitating business opportunities and strategic relationships, and accessibility to Management outside of the formal environment of Board and/or committee meetings.

The Manager also believes that the collective board performance and the contributions of individual Board members are also reflected in, and evidenced by, the collective and synergistic performance of the Board in discharging its responsibilities as a whole by providing proper guidance, diligent oversight and able leadership, and lending support to Management in steering CMMT in the appropriate direction, as well as the long-term performance of CMMT whether under favourable or challenging market conditions.

Pursuant to the Listing Requirements, the limit on the number of directorships in listed issuers is five. A Director with multiple directorships is expected to ensure that sufficient attention is given to the affairs of the Manager and CMMT.

Corporate Governance

Remuneration

The Manager believes that a framework of remuneration for the Board and the Management should not be taken in isolation. It should be linked to the building of management bench strength and the development of key executives. This is to ensure continual development of talent and renewal of strong and sound leadership for a sustainable business and a lasting company in the best interest of CMMT. The other additional factors considered were:

- (a) By tapping on the compensation framework of CapitaLand, the Manager is placed in a better position to attract better qualified management talent, who may otherwise not be attracted to a standalone REIT manager; and
- (b) The association with CapitaLand provides an intangible benefit of allowing its employees to associate themselves with an established corporate group which can offer them the depth and breadth of experience and career horizon and this enables the Manager to attract and retain qualified individuals.

As part of its commitment towards improving its corporate governance, the Board recently undertook a review of the matter and has determined that it shall undertake the functions of a remuneration committee. The Board will take into consideration the same criteria as considered earlier in undertaking the function of a nominating committee, which are (a) the Manager is a dedicated manager for CMMT only; and (b) the independence of the Board which consists of a majority of Independent Directors together with the Chairman mitigate concerns of conflict.

During FY 2016, the Board undertook the functions of a remuneration committee and the Manager will continue not to have a separate remuneration committee. The Board performs the functions that such a committee would otherwise perform, namely, overseeing the design and implementation of the remuneration policy and the specific remuneration packages for each Director and key executives including the CEO. No member of the Board will be involved in any decision of the Board relating to its own remuneration.

In terms of the process to be put in place by the Manager for developing policies on remuneration and determining the remuneration packages for Directors and executive officers, the Manager will, through an independent remuneration consultant, take into account benchmarking within the industry, as appropriate. It may also consider the compensation framework of CapitaLand as a point of reference.

The principles governing the Manager's key executives remuneration policy are as follows:

Business Alignment

- Focus on generating rental income and enhancing asset value over time so as to maximize returns from investments and ultimately the distribution and total return to Unitholders.
- Provide sound, structured funding to ensure affordability and cost-effectiveness in line with performance goals
- Enhance retention of key talent to build strong organisational capabilities

Motivate Right Behaviour

- Pay for performance – align, differentiate and balance rewards according to multiple dimensions of performance
- Strengthen line-of-sight by linking rewards with performance goals

Fair & Appropriate

- Ensure competitive remuneration relative to the appropriate external talent markets
- Manage internal equity such that the remuneration systems are viewed as fair
- Significant and appropriate portion of pay-at-risk, taking into account risk policies for CMMT, symmetrical with risk outcomes and sensitive to the risk time horizon

Effective Implementation

- Maintain rigorous corporate governance standards
- Exercise appropriate flexibility to meet strategic business needs and practical implementation considerations
- Facilitate employee undertakings to maximize the value of the remuneration programmes

The remuneration of Directors for FY 2016 is shown in the following table. The CEO does not receive Directors' fees. Non-Executive Directors have no service contracts with the Manager. They receive Directors' fees which comprise a basic retainer fee as a Director, an additional fee for serving on any of the various committees and an attendance fee for participation in meetings of the Board and any of the various committees. In determining the quantum of such fees, factors such as frequency of meetings, time spent and responsibilities undertaken by directors are considered. The Chairman and members of the AC receive additional fees to take into account the nature of their responsibilities and the increased frequency of these meetings.

Ultimately, the Directors' fees of CMRM is subject to approval of the shareholders of the Manager.

Directors' Remuneration for FY 2016		
Board Members	FY 2016¹ (RM)	FY 2015² (RM)
David Wong Chin Huat	205,000	205,000
Tuan Haji Rosli Bin Abdullah	150,000	152,000
Foo Wei Hoong ³	80,000	85,000
Jason Leow Juan Thong ⁴	145,000	139,000
Ng Chih Kaye	130,000	126,000
Ng Kok Siong ⁴	200,000	182,000
Tan Siew Bee	130,000	130,000
Dr Peter Tay Buan Huat	89,000	97,000
Low Peck Chen	–	–

1 Inclusive of attendance fees of (a) RM5,000 (local director) and RM8,000 (foreign director) per meeting attendance in person, (b) RM2,000 per meeting attendance via tele-conference or video conference, and (c) RM2,000 per project or verification meeting subject to a maximum of RM20,000 per Director per annum. Directors' fees are subject to the approval of the Manager's shareholders.

2 Inclusive of attendance fees of (a) RM4,000 (local director) and RM6,000 (foreign director) per meeting attendance in person, (b) RM2,000 per meeting attendance via tele-conference or video conference, and (c) RM2,000 per project or verification meeting subject to a maximum of RM20,000 per Director per annum. Directors' fees are subject to the approval of the Manager's shareholders.

3 The Director's fees (excluding attendance fees) to Foo Wei Hoong are payable to Malaysian Industrial Development Finance Berhad (MIDF).

4 In respect of Directors who are nominees of CapitaLand or CapitaLand Mall Asia Limited (CMA), the Directors' fees are payable to CapitaLand and CMA.

PRINCIPLE 3: REINFORCE INDEPENDENCE

Annual Assessment of Independence

The independence of each Director is reviewed by the Board upon appointment, and thereafter annually as and when circumstances require. An Independent Director is one who has no relationship with the Manager, its related parties, its shareholders who hold 10% or more of the voting shares in the Manager or Unitholders who hold 10% or more units in issue of CMMT or its officers that could interfere, or be reasonably perceived to interfere with the exercise of independent judgement or the ability to act in the best interest of CMMT.

The Manager applies the Listing Requirements, the REITs Guidelines and the Code in determining if a Director is independent. In making the determination, a questionnaire (that contains, amongst others, disclosures of interest by the Director) completed by the director before his/her appointment is taken into consideration. Each year all Directors are asked to reaffirm their status as an Independent Director.

Tenure of Independent Directors

Recommendation 3.2 of the Code states that the tenure of an independent director should not exceed a cumulative term of nine years. None of the Independent Directors has served on the Board beyond nine years.

Corporate Governance

Chairman and CEO

To maintain an appropriate balance of power, increased accountability and greater capacity of the Board for independent decision making, the roles and responsibilities of Chairman and CEO are held by separate individuals. The division of responsibilities between the Chairman and the CEO facilitates effective oversight and a clear segregation of duties. The Chairman and the CEO are not related to each other and the Chairman is a Non-Executive Independent Director.

The Chairman plays a significant leadership role by providing clear oversight, advice and guidance to the CEO and Management on strategies and business operations.

The Chairman leads the Board to ensure the effectiveness on all aspects of its role and sets its agenda. He ensures that members of the Board receive accurate, clear and timely information, facilitates the contribution of Non-Executive Directors, encourages constructive relationships between Executive Directors, Non-Executive Directors and Management, ensures effective communication with Unitholders and promotes a high standard of corporate governance.

The Chairman also ensures that the Board works together with Management with integrity, competency and moral authority, and that the Board constructively engages Management in deliberations on strategy, business operations and enterprise risks.

The CEO is a Board member and has full executive responsibilities over the business direction and operational decisions in managing CMMT.

The Chairman and the CEO are not immediate family members. The separation of roles of the Chairman and the CEO and the resulting clarity of roles provide a healthy professional relationship between the Board and Management, and facilitate robust deliberations on the business activities of CMMT and the exchange of ideas and views to help shape the strategic process.

PRINCIPLE 4: FOSTER COMMITMENT

Time Commitment

Currently, the directorships held by each Board member are disclosed to the Secretary in accordance with the law and regulations. All Directors are aware that they should devote sufficient time to carry out their responsibilities to the Manager and CMMT. Policies and procedures are in place and strictly complied by the Board before acceptance of any new directorships by any member of the Board.

Board and Committee Attendance

The matrix of Board members' participation and attendance records at meetings of the Board and the various committees during the year are provided below. The participation and attendance records also reflect each Board member's additional responsibilities and special focus on the respective committees.

Four Board meetings were held during FY 2016. The table contains the attendance record of Directors at Board and various committee meetings during the year, and details of their memberships in the Board and various committees.

Composition and Meeting Attendance

Board Members	Composition			Meeting Attendance		
	Audit Committee	Executive Committee	Corporate Disclosure Committee	Board Number of Meetings Held: 4	Audit Committee Number of Meetings Held: 4	Executive Committee Number of Meetings Held: 4
David Wong Chin Huat	–	–	Chairman	4	N.A.	N.A.
Tuan Haji Rosli Bin Abdullah	Chairman	–	–	4	4	N.A.
Foo Wei Hoong	–	–	–	3	N.A.	N.A.
Jason Leow Juan Thong	–	Chairman	Member	4	N.A.	4
Ng Chih Kaye	Member	–	–	4	4	N.A.
Ng Kok Siong	Member	Member	Member	4	4	4
Tan Siew Bee	Member	–	–	4	4	N.A.
Dr Peter Tay Buan Huat	–	–	–	3	N.A.	N.A.
Low Peck Chen	–	Member	–	4	N.A.	4

N.A. – Not applicable

Directors' Training

All Directors attended the Mandatory Accreditation Programme (MAP) and as prescribed by Bursa Securities, within four months of their appointments. Mr Lee Hui Yeow was appointed as alternate director to Mr Ng Kok Siong on 1 January 2017 and has until 30 April 2017 to attend the MAP.

The Manager provides suitable training for Directors. Upon appointment each Director is provided with a formal letter of appointment and is also given a copy of the Directors' Manual (which includes information on a broad range of matters relating to the role of a director). All Directors on appointment are required to undertake an induction programme to familiarise themselves with matters relating to the business activities of CMMT, its strategic directions and policies, the regulatory environment in which CMMT operates and the Manager's corporate governance practices. The Manager also provides appropriate training for first time Directors including industry-specific knowledge.

Following their appointment, Directors are provided with opportunities for continuing education in areas such as directors' duties and responsibilities, risk management and corporate governance matters, changes to regulations and accounting standards and industry-related matters, so as to be updated on matters that affect or may enhance their performance as Directors or the various committee members.

During the year under review, the Directors attended various conferences/programmes to enhance their knowledge and expertise and to keep abreast with the relevant changes in law, regulations and the business environment. In this regard, the Board will continue to evaluate and determine the training needs of its Directors on an ongoing basis.

Corporate Governance

All Directors had undergone training programmes during FY 2016. Directors had attended/participated individually or collectively in one or more of the following training programmes, conferences and workshops:

Training Programmes, Seminars and Workshops attended by Directors:

- EMTech Asia – Emerging Technology Singapore Conference (MIT Technology)
- FIDE Forum on Directors' Remuneration (Financial Institutions Directors' Education, Bank Negara Malaysia (FIDE))
- Corporate Governance Breakfast Series entitled "Improving Board Risk Oversight Effectiveness" (Bursa Securities)
- Event on "Ring the Bell for Gender Equality" (Bursa Securities)
- FIDE Forum on Cyber Risk Oversight (FIDE)
- 8th Annual Corporate Governance Summit – Decoding Uncertainties, Delivering Value (Asian World Summit)
- Audit Committee Conference 2016: Setting the Right Tone (Malaysian Institute of Accountants (MIA))
- FIDE Forum on Directors And Officers Liability Insurance (FIDE)
- Seminar on Managing the Value of Assets under IFRS/MFRS (MIA)
- FIDE Forum on Avoiding Financial Myopia (FIDE)
- Seminar on GLC Litigation (Lee Hishammuddin Allen & Gledhill)
- FST's Future of Banking and Financial Services Conference (FST Media)
- Workshop on Managing the Media in Emergencies (WorldComm Training & Consultancy)
- Sustainability Engagement Series for Directors/Chief Executive Officer (Bursa Securities)
- Singapore Institute of Directors (SID): The Secrets and Art of Cyber Security (SID)
- Seminar on Latest Updates on Directors' Remuneration Sectors 2016 (Federation of Public Listed Companies Bhd)
- Workshop on Trans Pacific Partnership Agreement (TPPA) (Khazanah Research Institute)
- Seminar on "Strategy & Risks – Managing Uncertainties" (MINDA)
- Seminar on "Fintech – Business Opportunity or Disruptor" (FIDE)
- In-house Talk on Financial Technology and Crowd Funding in Malaysia for Directors and Senior Management (MIDF)
- Conference on "The Future of Digital Finance 2016" (Thomvell International)
- Advocacy Sessions on Management Discussion & Analysis for CEO and CFO of Listed Issuers (Bursa Securities)
- Conference on "Talent, Technology and Tomorrow's Workplace" (Asian Institute of Finance)
- In-house training on Anti Money Laundering Act (iVCAP)
- Global Symposium on Innovative Financial Inclusion (BNM)
- Khazanah Megatrend (Khazanah Nasional Berhad)
- Capital Market Directors Programme for Fund Management (Securities Industry Development Corporation)
 - Module 1: Directors as Gatekeepers of Market Participants
 - Module 2B: Business Challenges and Regulatory Expectations – What Directors Need to Know (Fund Management)
 - Module 3: Risk Oversight and Compliance – Action Plan for Board of Directors
 - Module 4: Emerging and Current Regulatory Issues in the Capital Market
- Examiners Seminar on Bloom's Taxonomy (Asian Institute of Chartered Bankers)
- 2016 National Conference – Navigate Waves of the Digital Revolution (The Institute of Internal Auditors Malaysia)
- Empowering Women Series - For Women Leaders in Senior Management (Bursa Securities)
- Seminar on "Strategy To Leverage Technology for Business Solutions" (FIDE)
- MIA International Accountants Conference 2016 (MIA)
- CG Breakfast Series: Cybersecurity Threat and How Boards Should Mitigate the Risks (Bursa Securities)

PRINCIPLE 5: UPHOLD INTEGRITY IN FINANCIAL REPORTING

Financial Reporting

The Manager has implemented quarterly financial reporting for CMMT since inception. Financial results and other price sensitive public announcements are presented in a balanced and understandable format for the assessment of CMMT's performance, position and prospects.

As reported on page 29, the AC has ensured that the financial statements comply with applicable financial reporting standards and assessed the suitability and independence of the external auditors.

Suitability and Independence of External Auditors

The Manager adopted the External Auditor's Independence Guidelines to enable the AC to assess the suitability and independence of the external auditor.

The AC meets CMMT's external auditors, without the presence of Management at least twice annually in order to have unfettered access to any information it may require.

PRINCIPLE 6: RECOGNISE AND MANAGE RISKS

The Manager has put in place an adequate and effective system of internal controls addressing material financial, operational, compliance and information technology risks to safeguard the assets of CMMT and the interest of Unitholders.

The Board has overall responsibility for the governance of risk and oversees the Manager in the design, implementation and monitoring of enterprise risk management and internal control systems. The EXCO and AC assist the Board in strengthening the Manager's risk management capabilities for CMMT and its subsidiary (CMMT Group).

The EXCO and AC are guided by their respective Terms of Reference, in particular, they:

- (a) make recommendations to the Board on the risk appetite and associated risk parameters including risk limits for CMMT Group;
- (b) review and assess compliance with and the adequacy of the risk management framework, policies and strategies to identify, measure, manage and report risks;
- (c) oversee Management in the formulation, updating and maintenance of an adequate and effective risk management framework, policies and strategies for managing risks that are consistent with CMMT Group's approved risk appetite and parameters and report to the Board on their decisions on any material matters concerning the aforementioned;
- (d) make the necessary recommendations to the Board such that an opinion and comment regarding the adequacy and effectiveness of the risk management and internal control systems can be made by the Board in the annual report of CMMT in accordance with the Listing Requirements and Statement on Risk Management and Internal Control: Guidelines for Directors of Listed Issuers; and
- (e) consider and advise on risk matters referred to them by Management or the Board including reviewing and reporting to the Board on any material breaches of approved risk limits, any material non-compliance with the approved framework and policies and the adequacy of any proposed action.

Corporate Governance

The Manager adopts an Enterprise Risk Management (ERM) Framework which sets out the required environmental and organisational components for managing risk in an integrated, systematic and consistent manner. The ERM Framework and related policies are reviewed annually.

The Manager consistently seeks to improve and strengthen the ERM Framework. As part of the ERM Framework, the Manager, amongst other things, undertakes and performs on an annual basis a Risk and Control Self-Assessment (RCSA) process. As a result of the RCSA process, the Manager produces and maintains a risk register which identifies the material risks CMMT Group faces and the corresponding internal controls it has in place to manage or mitigate those risks. The material risks are reviewed annually by EXCO, AC and the Board. The EXCO and AC also review the approach in identifying and assessing risks and internal controls in the RCSA. The system of risk management and internal controls is reviewed and where appropriate, refined regularly by the Manager, EXCO, AC and the Board.

The Manager has established an approach on how risk appetite is defined, monitored and reviewed for CMMT Group. Approved by the Board, CMMT Group's Risk Appetite Statement (RAS), which incorporates the risk limits, addresses the management of material risks faced by CMMT Group. Alignment of CMMT Group's risk profile to the RAS is achieved through various communication and monitoring mechanisms (including key performance indicators set for Management) put in place across the various functions within the Manager.

More information on CMMT's ERM Framework can be found in the Enterprise Risk Management section on pages 51 to 53.

Internal auditors and external auditors conduct reviews that involve testing the effectiveness of the material internal controls for CMMT Group addressing financial, operational, compliance and information technology risks. This includes testing, where practicable, material internal controls in areas managed by external service providers. Any material non-compliance or lapses in internal controls together with corrective measures recommended by the internal auditors is reported to and reviewed by the AC. The adequacy and effectiveness of the measures taken by the Manager in response to the recommendations made by the internal auditors are also reviewed by the AC.

The Board has received assurance from the CEO and Head of Finance of the Manager that the system of risk management and internal controls in place for CMMT Group is adequate and effective in addressing the material risks faced by CMMT Group in its current business environment including material financial, operational, compliance and information technology risks. The CEO and Head of Finance of the Manager have obtained similar assurances from the respective risk and control owners.

Based on the ERM Framework established and the reviews conducted by the Management and both the internal auditors and external auditors, as well as the assurance from the CEO and Head of Finance of the Manager, the Board concurs with the recommendation of the EXCO and AC and is of the opinion, that the system of risk management and internal controls addressing material financial, operational, compliance and information technology risks established by the Manager is adequate and effective to meet the needs of the CMMT Group in its current business environment as at 31 December 2016.

The Board notes that the system of risk management and internal controls established by the Manager provides reasonable, but not absolute, assurance, that CMMT Group, as it strives to achieve its business objectives, will not be significantly affected by any event that can be reasonably foreseen or anticipated. However the Board also notes that no system of risk management and internal controls can provide absolute assurance in this regard or absolute assurance against poor judgment in decision making, human error, losses, fraud or other irregularities.

PRINCIPLE 7: ENSURE TIMELY AND HIGH QUALITY DISCLOSURE

The Listing Requirements require that a listed entity discloses to the market matters that could, or might be expected to have a material impact on the price of the entity's securities. In line with CMMT's disclosure obligations, the Board's policy is to inform Unitholders, on a timely manner, of all major developments that impact CMMT. During the year, a continuous disclosure process was in place to ensure that compliance with such obligations was constantly adhered to.

The Board observes and performs its disclosure and reporting obligations by making timely announcements to the relevant authorities as and when required by the Listing Requirements.

Unitholders and potential stakeholders have 24-hour access to CMMT's website for information on CMMT's major developments, property descriptions, announcements and other corporate information.

CMMT's unit price information (15 minutes lag-time) is also made available on the website. In addition, the public can pose questions via a dedicated 'Ask Us' email address, and have their queries addressed accordingly. Also available on the website is an archive of CMMT's announcements, press releases, annual reports and operational details. The latest information is posted on the website as soon as it is released to Bursa Securities and the media.

PRINCIPLE 8: STRENGTHEN RELATIONSHIP BETWEEN COMPANY AND SHAREHOLDERS

The Manager is committed to treating all Unitholders fairly and equitably and keeping all Unitholders, other stakeholders and analysts informed of the performance and changes in CMMT or its business which would be likely to materially affect the price or value of Units, on a timely and consistent basis so as to assist Unitholders and investors in their investment decisions.

CMMT believes in regular, effective, unbiased and transparent communication with Unitholders. The Manager communicates information on CMMT to Unitholders and the investing community through announcements that are released to Bursa Securities via Bursa LINK. Such announcements include the quarterly and full-year results, material transactions, and other developments relating to CMMT Group requiring disclosure under the corporate disclosure policy of Bursa Securities.

The Investor Relations and Communications teams actively engage Unitholders, analysts, fund managers and the media via:

- (a) Media and analysts' briefings;
- (b) One-on-one/group meetings or conference calls, local/overseas roadshows and conferences;
- (c) Annual reports;
- (d) Press releases on major developments of CMMT;
- (e) Notices of, and explanatory memoranda for, annual general meetings (AGMs) and extraordinary general meetings (EGMs); and
- (f) CMMT's website at www.cmmt.com.my (an email alerts option is available to subscribers who wish to be notified of newly posted announcements, presentations, publications and press releases).

Corporate Governance

With a majority of units in CMMT held by institutional investors, the Manager considers meetings with local and foreign fund managers an integral part of investor relations. CMMT also participates in various local conferences as part of its efforts to build interest in Malaysia REIT market. During the year under review, the Manager met with institutional investors from Malaysia, Singapore, Hong Kong, Japan, USA and Australia. These meetings and roadshows with investors enabled the Manager to update potential and current Unitholders on CMMT's significant developments and its medium to long-term strategies. The Manager will continue to pursue opportunities to educate and keep retail investors informed of the latest developments in the Malaysia REIT industry, through relevant seminars and conferences.

As part of the Manager's proactive corporate governance approach, the Manager has adopted a formal investor relations policy to ensure that Unitholders and the investment community are provided with pertinent and timely information about the CMMT Group, to enable Unitholders to exercise their rights in an informed manner and to allow Unitholders and the investment community to engage actively with CMMT and the Manager.

During the year under review, CMMT's AGM was held on 31 March 2016 which allowed Unitholders a forum to communicate their views and interact with members of the Board and the Management.

The Manager supports the principle of encouraging effective Unitholder participation and voting at general meetings. All Unitholders are entitled to attend general meetings and are accorded the opportunity to participate effectively and vote at general meetings. All Unitholders are also informed of the rules including voting procedures, governing such meetings. All Unitholders are sent a copy of CMMT's annual report prior to the AGM. As and when an EGM is to be held, each Unitholder will be sent a copy of a circular which contains details of the matters to be proposed for Unitholders' consideration and approval. Notices for the general meetings of Unitholders setting out all items of business to be transacted at the general meeting are served within the minimum notice period, are announced on Bursa LINK and advertised in the newspapers. Members of the Board, the Manager's senior management and the external auditors of CMMT are in attendance at such general meetings, and Unitholders are given the opportunity to air their views and ask questions regarding the matters to be tabled at the general meetings. Resolutions put to the general meeting are separate unless they are interdependent and linked, and the reasons and material implications are explained. Voting at general meetings is conducted by way of a poll. The chairman of the meeting, with assistance of the Manager's staff and service providers, will brief Unitholders to familiarise them with the detailed procedures involved in conducting a poll, and the result of the poll will be announced after the general meeting via Bursa LINK. Minutes of general meeting will be made available to Unitholders at their request. Moving forward, a summary of the key matters discussed at the annual general meetings will be uploaded on CMMT's website at www.cmmt.com.my in accordance with the provisions of the Listing Requirements. A Unitholder is entitled to appoint one proxy, and for certain categories of Unitholders, two proxies, to attend and vote at the general meetings in his/her stead.

OTHERS

Dealing with Related Parties

Review Procedures for Related Party Transactions

In general, the Manager has established internal control procedures to ensure that all future transactions involving the Trustee and a related party of CMMT (Related Party Transactions) are undertaken on an arm's length basis and on normal commercial terms, which are generally no more favourable than those extended to unrelated third parties. In respect of such transactions, the Manager would have to demonstrate to the AC that the transactions are undertaken on normal commercial terms which may include obtaining (where applicable) quotations from parties unrelated to the Manager, or obtaining valuations from independent valuers (in accordance with the REITs Guidelines).

In addition, the following procedures are generally followed:

- (a) Save and except for transactions for appointment or renewal of service providers related to the Manager, all non-real estate transactions less than RM250,000 shall be approved by the CEO followed by the advice of internal auditor and review by the AC.
- (b) Save and except for transactions for appointment or renewal of service providers related to the Manager, all non-real estate transactions greater than or equal to RM250,000 shall be approved by the Board upon the advice of internal auditor and review/recommendation by the AC. The same principles apply to real estate transactions less than 5% of the total asset value (TAV) of CMMT and are additionally subject to the Trustee's written confirmation based on the Board's approval.
- (c) Real estate transactions greater than or equal to 5% of TAV shall be approved by the Unitholders based on the Board's approval after internal auditor's advice and the AC's review/recommendation.
- (d) Save and except for transactions which fall within the ambit of Paragraph 10.08(11)(e) and (g)¹ of the Listing Requirements and such transactions highlighted to the SC and confirmed in their letters dated 19 September 2012 and 21 June 2016 (Exempted Related Party Transaction), the appointment or renewal of service providers related to the Manager shall be approved by the Independent Directors upon the advice of internal auditor and review/ recommendation by the AC.
- (e) Exempted Related Party Transactions shall be approved by the CEO followed by approval/ratification of the Independent Directors.

In dealing with any Related Party Transactions, it is the Manager's policy that all related party transactions carried out by or on behalf of CMMT should be:

- (a) Carried out on an arm's length basis and on normal commercial terms;
- (b) In the best interest of Unitholders of CMMT;
- (c) Adequately disclosed to the Unitholders of CMMT;
- (d) In relation to a real estate transaction:
 - (i) consented by the Trustee;
 - (ii) consistent with the investment objective and strategy of CMMT; and
 - (iii) transacted at a price that is equivalent to the value stated in the valuation report.

The acquisition/disposal may be transacted at a price other than as per the valuation report PROVIDED THAT

- (a) the acquisition price is not more than 110% of the value assessed in the valuation report;
- (b) the disposal price is not less than 90% of the value assessed in the valuation report; and
- (c) the Trustee provides written confirmation that the transaction is based on normal commercial terms, at arm's length, and is not prejudicial to Unitholders' interest.

¹ Paragraph 10.08(11)(e) of the Listing Requirements refers to the provision or receipt of financial assistance or services, upon normal commercial terms and in the ordinary course of business, from a corporation whose activities are regulated by any written law relating to banking, finance corporations or insurance and are subject to supervision by Bank Negara Malaysia.

Paragraph 10.08(11)(g) of the Listing Requirements refers to a transaction between a listed issuer or any of its subsidiaries and another person for the provision or receipt of goods or services which are Exempted Transactions where (i) the goods or services are purchased, sold or rendered based on a non-negotiable fixed price or rate which is published or publicly quoted; and (ii) all material terms including the prices or charges are applied consistently to all customers or classes of customers. Exempted Transactions are further defined to mean (aa) provision or usage of public utility services such as water, electricity, telecommunications, postal or courier services, insurance, unit trusts, stockbroking services, public transport, education, medical services, provision or usage of tolled highways, hotel facilities and recreational services, provision or consumption of fuel on retail or food and beverage at eateries, provision or purchase of goods at retail outlets such as supermarkets, hypermarkets or departmental stores; and (bb) such other types of transactions that may be prescribed by Bursa Securities from time to time.

Corporate Governance

Role of the Audit Committee for Related Party Transactions

The Manager's internal control procedures are intended to ensure that Related Party Transactions are conducted at arm's length and on normal commercial terms, and are not prejudicial to Unitholders' interests. The Manager maintains a register to record all Related Parties of CMMT and Related Party Transactions which are entered into by CMMT (and the basis, including the quotations obtained to support such basis upon which they are entered into). All Related Party Transactions are subject to regular periodic reviews by the AC, with advice from the internal auditor to ascertain that the guidelines and procedures established to monitor Related Party Transactions, including the relevant provisions of the Listing Requirements and the REITs Guidelines, as well as any other guidelines which may from time to time be prescribed by Bursa Securities, the SC or other relevant authority, have been complied with. The review includes an examination of the nature of the transaction and its supporting documents or such other information deemed necessary by the AC. If a member of the AC has an interest in a transaction, he is to abstain from participating in the review and approval process in relation to that transaction.

Details of all Related Party Transactions entered into by CMMT during the financial year are disclosed on pages 141 to 144 of this Report.

Dealing with Conflicts of Interest

The following principles and procedures have been established to deal with potential conflicts of interest which the Manager (including its Directors, executive officers and employees) may encounter in managing CMMT:

- (a) The Manager will be a dedicated manager to CMMT and will not manage any other REITs or be involved in any other real property business;
- (b) All executive officers of the Manager will be employed by the Manager;
- (c) All resolutions at meetings of the Board of the Manager in relation to matters concerning CMMT must be decided by a majority vote of the Directors, including at least one Independent Director;
- (d) In respect of matters in which CapitaLand and/or its subsidiaries (including CMA) have an interest, whether direct or indirect, any nominees appointed by CapitaLand and/or its subsidiaries (including CMA) to the Board will abstain from voting;
- (e) If the Manager is required to decide whether or not to take any action against any person in relation to any breach of any agreement entered into by the Trustee for and on behalf of CMMT with an affiliate of the Manager, the Manager shall be obliged to consult with a reputable law firm (acceptable to the Trustee) which shall provide legal advice on the matter. If the said law firm is of the opinion that the Trustee, on behalf of CMMT, has a prima facie case against the party allegedly in breach under such agreements, the Manager is obliged to pursue the appropriate remedies under such agreements. The Directors of the Manager have a duty to ensure that the Manager complies with the aforesaid. Notwithstanding the foregoing, the Manager shall inform the Trustee as soon as it becomes aware of any breach of any agreement entered into by the Trustee with an affiliate of the Manager, and the Trustee may take such action as it deems necessary to protect the rights of Unitholders and/or which is in the interests of Unitholders. Any decision by the Manager not to take action against an affiliate of the Manager shall not constitute a waiver of the Trustee's right to take such action as it deems fit against such affiliate.
- (f) The Board shall comprise at least one-third of Independent Directors. Currently the Board comprises majority Independent Directors.

In addition, the Directors and executive officers of the Manager are expected to act with integrity and honesty at all times.

In addition, the Manager and the Trustee have been granted a right of first refusal (ROFR) by CMA where:

- (a) For so long as the Manager shall remain the manager of CMMT and a subsidiary of CMA, neither CMA nor any subsidiary of CMA, will (a) purchase any relevant retail property which CMA and/or its subsidiaries may identify and target for acquisition in the future without granting the ROFR to CMMT to purchase such relevant retail property at the offer price and based on the terms and conditions as proposed to the relevant member of CMA and its subsidiaries, subject to various procedural requirements, including notice provisions, as set out in the letters of undertakings; or (b) sponsor or act as the manager of another REIT or any listed company in Malaysia that competes or will compete for the acquisition of relevant retail property, save that (a) and (b) shall not be applicable to any relevant retail property which is the subject matter of any of the following:
 - (i) Joint venture or proposed joint venture with CMA and/or its subsidiaries and any third party or parties; or
 - (ii) A proposal made exclusively available to CMA and/or its subsidiaries; or
 - (iii) A fund or proposed fund managed by CMA and/or its subsidiaries.
- (b) In the event CMA should sponsor a Malaysian retail property fund for the acquisition and/or development of relevant retail property, CMA shall endeavour to procure that such fund shall grant to CMMT a ROFR in relation to any relevant retail properties of which the fund wishes to dispose.

This undertaking has the effect of limiting the ability of CMA from undertaking or participating in certain business opportunities, as described above.

Dealing in Securities

The Manager has issued guidelines to its Directors and employees which prohibit them from dealing in CMMT's units while in possession of material unpublished price-sensitive information and during the periods commencing 30 calendar days before the release of CMMT's quarterly results to one full market day after the release of the relevant results to Bursa Securities via Bursa LINK pursuant to the Listing Requirements. In addition, if any of such affected persons deal in CMMT's units during the closed periods or outside closed periods under the Listing Requirements, they are required to comply with the conditions as set out in Paragraphs 14.08 and 14.09 of the Listing Requirements respectively. They are also made aware of the applicability of the insider trading laws at all times.

Fees payable to the Manager

The methodology for computing the fees payable to the Manager is contained in Clause 18 of the Trust Deed, details of which are disclosed under Notes to Financial Statements.

The Management Fees, which are contained in Clause 18 of the Trust Deed, are fees earned by the Manager for the management of CMMT's portfolio. Pursuant to Clause 18.5 (d) of the Trust Deed, the Management Fees (save for the Acquisition Fee and Divestment Fee as referred below) in cash are payable quarterly in arrears and payment of Management Fee in Units will be payable quarterly or semi-annually after the payment of Distributable Income to Unitholders. The Management Fee should be viewed holistically as a whole which comprise two components, namely the Base Fee and Performance Fee, which are elaborated further below:

Base Fee

The Base Fee enables the Manager to cover operational and administrative overheads incurred in the management of the portfolio. The Base Fee is calculated at a percentage of assets value as the asset value provides an appropriate metric to determine the resources for managing the assets.

Corporate Governance

Performance Fee

The Performance Fee is calculated in reference to the net property income before payment of the Management Fee, for each Distribution Period based on the unaudited or as the case may be, the audited accounts of the Trust determined for the relevant Distribution Period but subject to reconciliation to the amount calculated by reference to the audited account of the Trust for the relevant Financial Year.

Acquisition Fee

The Acquisition Fee is contained in Clause 18.3 of the Trust Deed, is earned by the Manager upon the successful completion of an acquisition. This fee seeks to motivate and compensate the Manager for its efforts expended to continually seek out and acquire Distribution Per Unit accretive assets to increase longer term returns for Unitholders. In addition, the Acquisition Fee allows the Manager to recover the additional costs and resources incurred by the Manager in the course of seeking out new acquisition opportunities, including but not limited to, due diligence efforts and man hours spent in evaluating the transaction.

Divestment Fee

The Divestment Fee, which is contained in Clause 18.3 of the Trust Deed, is earned by the Manager upon the completion of a divestment. This fee seeks to motivate and compensate the Manager for its efforts expended to maximise value received by CMMT in the event of a divestment. In addition, the Divestment Fee allows the Manager to recover additional costs and resources incurred by the Manager for the divestment, including but not limited to due diligence efforts and man hours spent in marketing and maximising the divestment price.

Code of Business Conduct

The Manager adheres to an ethics and code of business conduct policy which deals with issues such as confidentiality, conduct and work discipline, corporate gifts and concessionary offers. Clear policies and guidelines on how to handle work place harassment and grievances are also in place.

All employees of the Manager have each been given a printed employee handbook which sets out these policies clearly.

The Manager believes that the policies it has implemented help to detect and prevent occupational fraud mainly in three ways.

First, the Manager offers fair compensation packages to its employees, based on practices of pay-for-performance and promotion based on merit.

Secondly, clearly documented policies and work procedures incorporate internal controls which ensure that adequate checks and balances are in place. Periodic audits are also conducted to evaluate the efficacy of these internal controls.

Finally, the Manager seeks to build and maintain the right organisational culture through its core values, educating its employees on good business conduct and ethical values. The Manager's zero tolerance stance against all types of fraud is also regularly communicated at staff communication sessions.

Bribery and Corruption Prevention Policy

The Manager adopts a strong stance against corruption and bribery. In addition to clear guidelines and procedures for the giving and receipt of corporate gifts and concessionary offers, all employees of the Manager are required to make a declaration on an annual basis where they pledge to uphold CapitalLand’s core values and not to indulge in any corrupt or unethical practices.

The Manager’s zero tolerance policy towards corruption and bribery extends to its dealings with third party service providers and vendors. Pursuant to such policy, the Manager requires that all agreements with third party service providers and vendors incorporate a robust anti-corruption clause.

Whistle-Blowing Policy

A whistle-blowing policy and other procedures are put in place to provide employees of the Manager and parties having official dealings with CMMT with well defined, accessible and trusted channels to report suspected fraud, corruption, dishonest practices or other impropriety at the workplace to facilitate independent investigation of any reported incidents and appropriate follow up action.

The aim of the whistle-blowing policy is to encourage the reporting of such matters whereby employees or external parties making any reports in good faith will be able to do so with the confidence that they will be treated fairly, and to the extent possible, be protected from reprisal. On an ongoing basis, the whistle-blowing policy is covered during periodic communications to employees to promote fraud awareness.

Anti-Money Laundering and Countering the Financing of Terrorism Measures

The Anti-Money Laundering, Anti-Terrorism Financing and Proceeds of Unlawful Activities Act 2001 lays down various activities which the said Act views as unlawful activities and which the Manager must be aware of. The Manager has applied a policy to comply with the Act for prevention of money laundering and terrorism financing and is alert at all times to suspicious transactions. The Manager performs due diligence checks on its counterparties, where appropriate, in order to ensure that it does not enter into business transactions with terrorist suspects or other high risk persons or entities.

Statement on Risk Management and Internal Control

Introduction

Paragraph 15.26(b) of the Listing Requirements requires the board of directors of any given publicly listed issuer to include in its annual report a 'statement about the state of internal control of the listed issuer as a group' and the Board is guided by the Statement on Risk Management and Internal Control: Guidelines for Directors of Listed Issuers.

Board's Responsibility

In discharging the Board's stewardship responsibilities, the Board assumes the responsibility for the system of internal controls and risk management as set up by the Manager for CMMT. The Board is responsible for the adequacy and integrity of the system of risk management and internal controls. It is an essential part of the Board's responsibilities to identify principal risks, ensure that appropriate systems and policies are in place to manage these risks and to review the adequacy and integrity of such internal controls system and policies. However, the Board acknowledges that no system of risk management and internal controls can provide absolute assurance in this regard, or absolute assurance against poor judgment in decision making, human error, losses, fraud or other irregularities. A sound system of risk management and internal controls therefore provides a reasonable but not absolute assurance that CMMT Group will not be significantly affected by any event that can be reasonably foreseen as it strives to achieve its business objectives.

Risk Management

Effective risk management is a fundamental part of CMMT's business strategy. The key risks and control measures are described on pages 52 to 53. Recognising and managing risk is central to CMMT's businesses and in protecting Unitholders' interests and value. CMMT operates within guidelines and parameters set by the Board for the Manager and CMMT. Based on a risk and control self assessment (RCSA), transactions are analysed to understand the risks involved. Responsibility for managing risk lies initially with the business unit concerned, working within the overall strategy endorsed by the Board.

The Manager's focus on risk management recognises that risk management is, prima facie, an issue for management. The risk management framework supports this focus but provides a structured context for Management to undertake a review of the past performance of, and to profile the current and future risks it faces within its areas of responsibility. This risk information is consolidated and used as key input into the risk management review sessions which are held at least once a year to review CMMT's strategic direction in detail, and include specific focus on the identification of key businesses and financial risks which could prevent CMMT from achieving its objectives. Management is then required to ensure that appropriate controls are in place to effectively manage those risks, and such risks and controls are monitored by the EXCO and AC respectively on a quarterly basis and by the Board annually. The internal audit plan is developed in conjunction with the risk management programme and is focused on ensuring that the operation of internal controls and assessment of the effectiveness and efficiency of the control environment.

The Manager has determined that significant risks for CMMT will likely arise when making property investment decisions and have identified these in the RCSA. Accordingly, the Manager has established procedures to be followed when making such decisions. In accordance with these procedures, the Board requires comprehensive due diligence to be carried out in relation to any proposed investment and a suitable determination is made as to whether the anticipated return on the proposed investment is appropriate, having regard to the level of risk.

The Board usually meets quarterly, or more often if necessary, to review and approve the financial performance of the Manager and of CMMT Group against a previously approved budget. The Board also reviews the risks to the assets of CMMT Group and acts upon any comments by the auditors of CMMT. In assessing business risk, the Board considers the economic environment and property industry risks. The Board and its EXCO review and approve all investment decisions and key treasury matters. Management meets monthly to review the operations of the Manager and CMMT and discuss continuous disclosure issues.

The Manager has a risk identification and management framework for CMMT Group. The Manager proactively identifies and addresses risks in CMMT Group. The ownership of these risks lies with the CEO and function heads of the Manager with stewardship residing with the Board. The EXCO and AC assist the Board to oversee management in the formulation, updating and maintenance of an adequate and effective risk management framework while the Board reviews the adequacy and effectiveness of the system of risk management and internal controls.

Key Internal Control Processes

The Manager has put in place systems of internal control and a set of procedures and processes to safeguard the assets of CMMT and interest of Unitholders as well as to manage risk. These are described in the following paragraphs.

The Manager maintains a RCSA which identifies the material risks facing CMMT Group and the internal controls in place to manage or mitigate those risks. The RCSA is reviewed and updated at least once a year by the CEO and function heads of the Manager and is also reviewed quarterly by the EXCO and AC and annually by the Board. The EXCO is tasked to review and it is reported to the AC the approach taken in identifying and assessing risks and internal controls in the RCSA. The Manager has established an approach on how risk appetite is defined, monitored and reviewed for CMMT Group. Approved by the Board, CMMT Group's Risk Appetite Statement (RAS) incorporates the risk limits and addresses the management of material risks faced by the CMMT Group. Alignment of the CMMT Group's risk profile with the RAS is achieved through various communication and monitoring mechanisms (including key performance indicators set for Management) put in place across the various functions by the Manager. Internal and external auditors conduct audits that involve testing the effectiveness of the material internal control systems for CMMT Group including testing, where practical, material internal controls in areas managed by external service providers. Any material non-compliance or lapses in internal controls together with proposed corrective measures by internal auditors are reported to the Audit Committee. The system of risk management and internal controls is continually being refined by the Manager and reported to the AC and the Board for their approval.

The Board has also received assurance from the CEO and Head of Finance of the Manager that the risk management and internal control systems in place within the CMMT Group are adequate and effective in addressing the material risks in the CMMT Group in its current business environment including material financial, operational, compliance and information technology risks.

The CEO and Head of Finance of the Manager have obtained similar assurances from the function heads of the Manager.

The Board has adopted a set of internal controls which sets out the authority limits for investments and divestments, acceptance of banking facilities or treasury products, budgetary approval, capital and operating expenditure, lease renewals, marketing, professional services expenditure and other operational matters. The Board approves transactions exceeding certain threshold limits, while delegating authority for transactions within those limits to authorised personnel in order to facilitate operational efficiency. Only authorised personnel are empowered to approve a transaction (including payments) on behalf of the Board.

Internal control procedures are established to ensure that related party transactions are undertaken in compliance with the REITs Guidelines, the Listing Requirements and the Deed and are carried out on an arm's length basis and on normal commercial terms, which are in the best interest of the Unitholders. The Manager incorporates into its annual internal audit plan a review of all related party transactions. These established procedures are further explained on pages 42 to 43.

Policies, guidelines and processes are established for dealing with any potential conflicts of interest. This is explained in further detail on pages 44 to 45. In order to deal with any potential conflict of interest situations that may arise, the Manager's policy is that any such transactions carried out for and on behalf of CMMT are to be executed on terms that are the best available to CMMT and which are no less favourable to CMMT than transactions between independent parties. The Manager has outsourced its internal audit function to CapitaLand (CapitaLand IA) which reports directly to the AC.

Statement on Risk Management and Internal Control

CapitaLand IA subscribes to, and is guided by, the International Standards for the Professional Practice of Internal Auditing (Standards) developed by the Institute of Internal Auditors and has incorporated these Standards into its audit practices. To ensure that internal audits are performed by competent professionals, CapitaLand IA recruits and employs suitably qualified professional employees with the requisite skill set and experience. For instance, CapitaLand IA employees who are involved in Information Technology (IT) audits are Certified Information System Auditors and members of the Information System Audit and Control Association (ISACA) in the United States of America. The ISACA Information System Auditing Standards provide guidance on the standards and procedures to be applied in IT audits. CapitaLand IA identifies and provides training and development opportunities for its employees to ensure that their technical knowledge and skill set remain current and relevant.

The AC reviews the internal audit reports and activities on an on-going basis. The AC also reviews and approves the annual internal audit plan with respect to CMMT. The AC is of the view that the internal audit department is adequately resourced to perform its functions and has, to the best of its ability, maintained its independence from the activities that it audits.

The scope of the internal audit function for FY 2016 entailed the following:

- (a) Carried out scheduled audit assignments in accordance with the 2016 annual internal audit plan approved by the AC;
- (b) Reported to the AC on key findings and agreed management's actions;
- (c) Updated the AC on the implementation status of agreed management's actions on a quarterly basis;
- (d) Reviewed related party transactions and presented the findings of the review to the AC on a quarterly basis;
- (e) Investigated various matters when required and as directed by the AC; and
- (f) Prepared the 2017 annual internal audit plan for submission to the AC for approval.

The AC has put in place a whistle blowing policy to provide employees of the Manager and CMMT with procedures and accessible channels to report

suspected fraud, corruption, dishonest practices or other similar matters relating to CMMT and the Manager and for independent investigation of any reports by employees and appropriate follow up action. This whistle blowing policy has been established to promote fraud awareness and to encourage the reporting of such matters in good faith, with the confidence that employees making such reports will be treated fairly and, to the extent possible, be protected from reprisals. The whistle blowing policy adopted is further explained on page 47.

The AC reviews, monitors and evaluates the effectiveness and adequacy of CMMT's internal controls and financial and risk management issues raised by the external and internal auditors, regulatory authorities and Management. The AC also reviews written reports issued by the internal and external auditors, and ensures that appropriate and prompt remedial actions are taken by Management where deficiencies in internal controls have been identified. The AC also convenes meetings with both external and internal auditors without the presence of Management.

In addition, the AC has undertaken an assessment of the scope, functions and competency of the internal audit function. The AC also reviews and evaluates the procedures established to ensure compliance with applicable legislation, the Listing Requirements and the REITs Guidelines.

The Board reviews and approves, *inter alia*, the following reports from Management, upon recommendation of the AC and EXCO, on a periodic basis:

- (a) CMMT Group's quarterly financial results and major variance explanation against the approved budget for the relevant period;
- (b) Status update of major asset enhancement works carried out on the properties as planned;
- (c) Status update of treasury matters including debt profile, maturity and interest rate management; and
- (d) Status update of other operational matters.

Based on these reviews, the Board opined, with the concurrence of the AC, that there are adequate internal controls in place within CMMT Group addressing financial, operational, compliance and information technology risks.

Enterprise Risk Management

Risk management is an integral part of CMMT Group's business at both the strategic and operational levels. A proactive approach to risk management supports the attainment of CMMT Group's business objective and strategy, thereby creating and preserving value.

The Manager recognises that risk management is just as much about opportunities as it is about threats. To capitalise on opportunities, the Manager has to take measured risks. Therefore, risk management is not about pursuing risk minimisation as a goal, but rather optimising the risk-reward relationship within known and agreed risk appetite levels. The Manager therefore takes risks in a prudent manner for justifiable business reasons.

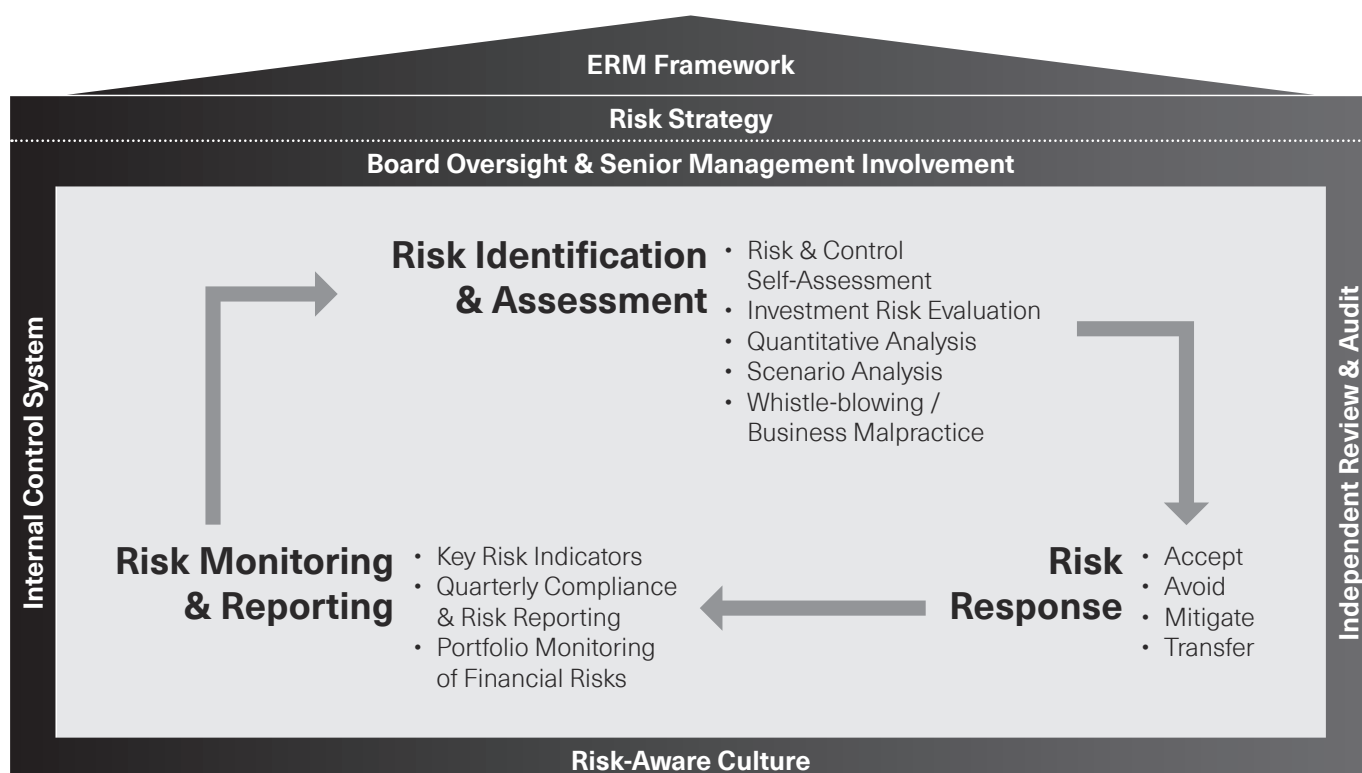
The Board is responsible for the governance of risk across CMMT Group. The responsibilities include determining CMMT Group's risk appetite, overseeing the Manager's Enterprise Risk Management (ERM) Framework, regularly reviewing CMMT Group's risk profile, material risks and mitigation strategies, and ensuring the adequacy and effectiveness of risk management framework and policies. For these

purposes, it is assisted by the EXCO and AC which provide dedicated oversight of risk management at the Board level.

The EXCO currently comprises three non-independent Board members while the AC comprises three independent Board members and one non-independent Board member. Both the EXCO and AC meet on a quarterly basis. The EXCO and AC meetings are attended by the CEO as well as other key management staff of the Manager.

The Board approves CMMT Group's risk appetite, which determines the nature and extent of material risks that the Manager is willing to take to achieve CMMT Group's strategic and business objectives. CMMT Group's Risk Appetite Statement (RAS) is expressed via formal, high-level and overarching statements and accompanying risk limits which determine specific risk boundaries established at an operational level. Having considered the key stakeholders' interests, CMMT Group's RAS sets out explicit and forward-looking views of CMMT Group's desired risk profile and is aligned to CMMT Group's strategic and business plans.

Enterprise Risk Management Framework



Enterprise Risk Management

The Manager's ERM Framework is adapted from the International Organization for Standardization Organisation (ISO) 31000 International Risk Management Standards, and makes reference to the Committee of Sponsoring Organizations of the Treadway Commission (COSO) Internal Control-Integrated Framework and the other relevant best practices and guidelines. It sets out the required environmental and organisational components which enable it to manage risks in an integrated, systematic and consistent manner. The ERM framework and related risk management policies are reviewed annually and have been validated by external consultants.

A robust internal control system and an effective, independent review and audit process are the twin pillars that underpin the Manager's ERM Framework. While the line management is responsible for the design and implementation of effective internal controls using a risk-based approach, the outsourced Internal Audit function from CapitaLand reviews such design and implementation to provide reasonable assurance to the AC on the adequacy and effectiveness of the internal control system.

The Manager believes that having the right risk culture and people with the right attitude, values and understanding are fundamental to CMMT Group's success. Therefore, the Manager works closely with CapitaLand's Risk Assessment Group to proactively enhance risk management understanding by conducting regular workshops for all levels and functions, and to promote a culture of risk awareness which embeds risk management principles in the decision-making and business processes.

Annually, the Manager facilitates and coordinates CMMT Group's Risk and Control Self-Assessment (RCSA) exercise that requires the respective risk owners to proactively identify, assess and document material risks as well as the corresponding key controls and mitigating measures needed to address them. Material risks and their associated controls are consolidated and reviewed by the Manager before they are presented to the EXCO, AC and the Board.

Managing Material Risks

The Manager undertakes an iterative and comprehensive approach to identifying, managing, monitoring and reporting material risks across CMMT Group. Such material risks include:

Business Interruption Risk

CMMT Group is exposed to business interruption risk arising from sudden and major disaster event such as fire, prolonged power outages or other major infrastructure failures which may significantly disrupt operations at our malls or data centres. The Manager manages such risks through proactive facilities management (for example, routine inspection and scheduled maintenance) and having crises management procedures at each property. In addition, the outsourced Information Technology (IT) team from CapitaLand has a defined disaster recovery plan which is reviewed and tested annually.

Competition Risk

CMMT Group faces keen competition from established players, online businesses and new market entrants which are likely to affect shopper traffic and tenants' sales. The Manager adopts a relentless approach to strengthening CMMT Group's competitiveness through optimizing tenant mix, differentiating its products and service offerings, refreshing mall concepts, and undertaking asset enhancement initiatives. The Manager also promotes tenant and customer loyalty through customer-centric initiatives and shopper loyalty programmes to generate sustainable demand for our retail space.

Credit Risk

Credit risk is the potential volatility in earnings caused by tenants' failure to fulfill their contractual lease payment obligations, as and when they fall due. The Manager has in place a stringent collection policy to ensure that credit risk is minimised. In addition to the requirement for upfront payment of security deposit of an amount typically equivalent to three months' rent, the Manager also establishes vigilant debt monitoring and proactive collection procedures.

Economic Risk

CMMT Group is exposed to economic, financial and property markets developments in Malaysia. These developments may reduce revenue, increase costs and result in downward revaluation of our assets. Market illiquidity during a financial crisis makes asset investment and/or divestment challenging and this can affect CMMT Group's investment and strategic objectives. The Manager manages this by adopting a disciplined approach to financial management and having a well-balanced portfolio with its malls being established as necessity shopping malls.

Information Technology Risk

IT comprises cyber risk, information security risk and technology infrastructure risk. IT is an integral part of CMMT Group's business and security of sensitive information (e.g. shopper/tenant details and financial information) is crucial. Increasing threats to information security like hacking, website defacement, etc may pose risk of data leakage and damage to CMMT Group's reputation. With increased reliance on IT as a business enabler, the outsourced IT team from CapitaLand has in place Group-wide policies and procedures which set out the governance and control systems for IT risks, including cyber risks. This includes implementing access controls, building up data security, and promoting IT security awareness among all users to ensure the confidentiality, integrity and availability of information assets. Annual IT disaster recovery plan is conducted to ensure business recovery objectives are met.

Interest Rate Risk

Some of CMMT Group's existing debts carry floating interest rates, and consequently, the interest cost for such loans will be subject to fluctuations in interest rates. Interest rate risk is managed on an ongoing basis through regular reviews on the optimal mix of fixed and floating rate borrowings, with the primary objective of minimising the impact on net interest expenses that is caused by adverse movements in interest rates. The Manager also proactively seeks to minimise the level of interest rate risk by locking in most of the borrowings of CMMT Group at fixed rates. If required, the Manager will enter into hedging transactions to mitigate the risk of such interest rate fluctuations through the use of interest rate swaps.

Investment Risk

The main sources of growth for CMMT Group are AEI and acquisition of properties. The risks involved in such investment activities are managed through a rigorous set of investment criteria which includes potential for growth in yield, rental sustainability and potential for value creation. The Manager conducts due diligence reviews in relation to any investment or divestment proposal, and performs risk assessments on major investments where key financial assumptions are reviewed and sensitivity analysis are performed on key variables. The potential risks associated with proposed projects and the issues that may prevent their smooth implementation or attainment of projected outcomes are identified at the evaluation stage. This is to enable the Manager to devise action plans to mitigate such risks as early as possible.

Liquidity Risk

The Manager actively monitors the cash flow position of CMMT Group to ensure that there is sufficient liquid reserves, in the form of cash and banking facilities, to finance CMMT Group's operations and AEIs. Given CMMT Group's reliance on external sources of funding, the health of the debt markets directly affects CMMT Group. In addition to the banking facilities, CMMT Group has access to the debt market through its Medium Term Notes (MTN) Programme to raise funds for (a) investment activities which include acquisitions and capital expenditure (including AEIs) and/or (b) refinancing of existing and/or future debts. CMMT Group's ability to raise funds from both banks and capital markets has enabled it to minimise over-reliance on a single source of funds for any funding or refinancing requirements. The Manager will continue to proactively manage the capital structure of CMMT Group by ensuring its debt maturity profile is spread out without major concentration of debts maturing in a single year, and maintaining an optimal aggregate leverage. The Manager also monitors covenants closely to ensure compliance.

Leasing Risk

Strong competition, poor economic and market conditions are some of the key factors that could result in key tenants not renewing their leases, and adversely affecting the leasing performance of CMMT's properties. The Manager establishes a diversified tenant base and sustainable trade mix and has in place proactive tenant management strategies which are in line with the malls' positioning. It is also the Manager's priority to closely monitor tenants' sales performance and maintain positive relationships and rapport with retailers to build their loyalty to CMMT Group's malls.

Regulatory & Compliance Risk

Due to the nature of CMMT's business, CMMT is required to comply with the applicable and relevant legislation and regulations that include the Capital Markets and Services Act 2007, the Main Market Listing Requirements of Bursa Malaysia Securities Berhad, the Securities Commission's Guidelines on Real Estate Investment Trusts and the tax rulings issued by the Inland Revenue Board of Malaysia on the taxation of CMMT and its Unitholders. The Manager has in place a robust framework that proactively enables it to identify applicable laws and regulatory obligations, legal updates and embeds compliance into the day-to-day operations.

Investor and Media Relations

An effective investor and media relations strategy is vital in order to bridge the information gap between management and investors, analysts, brokers and the media, and thus facilitate the fair valuation of CMMT's units.

CMMT's investment proposition and performance is communicated through various mechanisms, such as news releases, its website, media and analyst briefings, one-on-one meetings, conferences, roadshows, site visits and email alerts. Briefing sessions are conducted for analysts, investors and the media on a half yearly basis for quarterly results and on an ad hoc basis for material transactions and developments

relating to CMMT. Mall tours are conducted occasionally for analysts and investors who are keen to visit CMMT's properties to further enhance their understanding of the respective mall's market positioning, tenant mix and operations, as well as of any past or planned AEIs.

Announcements, press releases, presentations, circulars and annual reports are uploaded to both CMMT's and Bursa Securities' websites. CMMT's unit price performance information is also available on CMMT's website with 15-minutes lag time. The general public can also post questions to CMMT via an 'Ask Us' email and queries are answered accordingly.

Investor and Media Relations Calendar 2016

1st Quarter

Full year 2015 Results Press Release and Media and Analysts' Results Briefing/Conference Call

Annual General Meeting

2nd Quarter

1Q 2016 Results Press Release

Engagement with institutional investors (Non Deal Roadshow in Kuala Lumpur and Singapore)

3rd Quarter

1H 2016 Results Press Release and Media and Analysts' Results Briefing/Conference Call

Engagement with institutional investors (Kuala Lumpur)

Launch of Biggest Offer Bash 2016 Press Release

4th Quarter

Launch of CapitaStar Rewards Programme in Tropicana City Mall, The Mines and East Coast Mall Events and Press Release

3Q 2016 Results Press Release and Analysts' Results Briefing/Conference Call

My Schoolbag Events and Press Release

Unitholders' Enquiries

If you have any enquiries or would like to find out more about CMMT, please contact:

Jasmine Loo

Investor Relations

Tel: +60 3 2279 9888

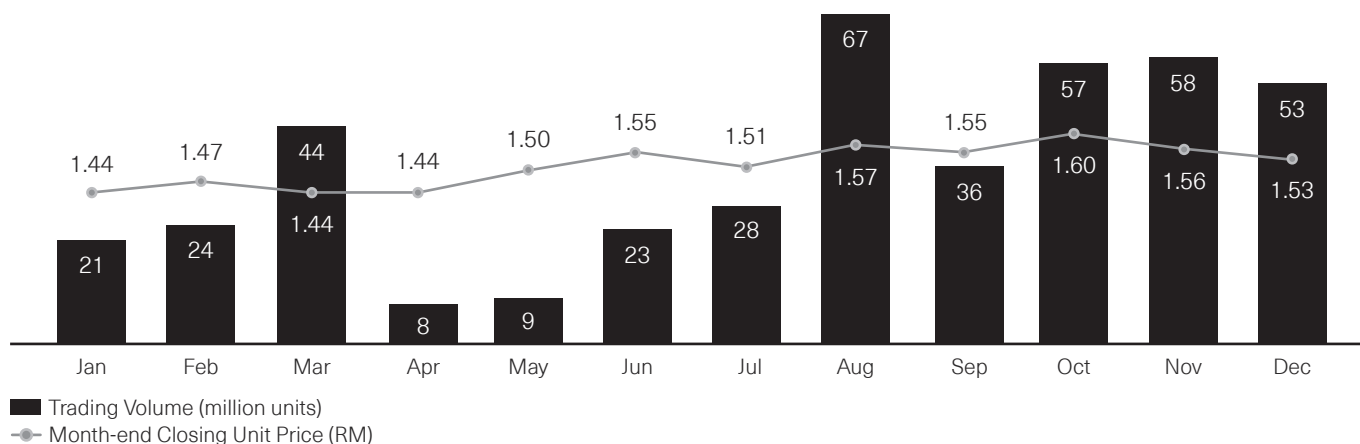
Fax: +60 3 2279 9889

E-mail: ask-us@cmmmt.com.my

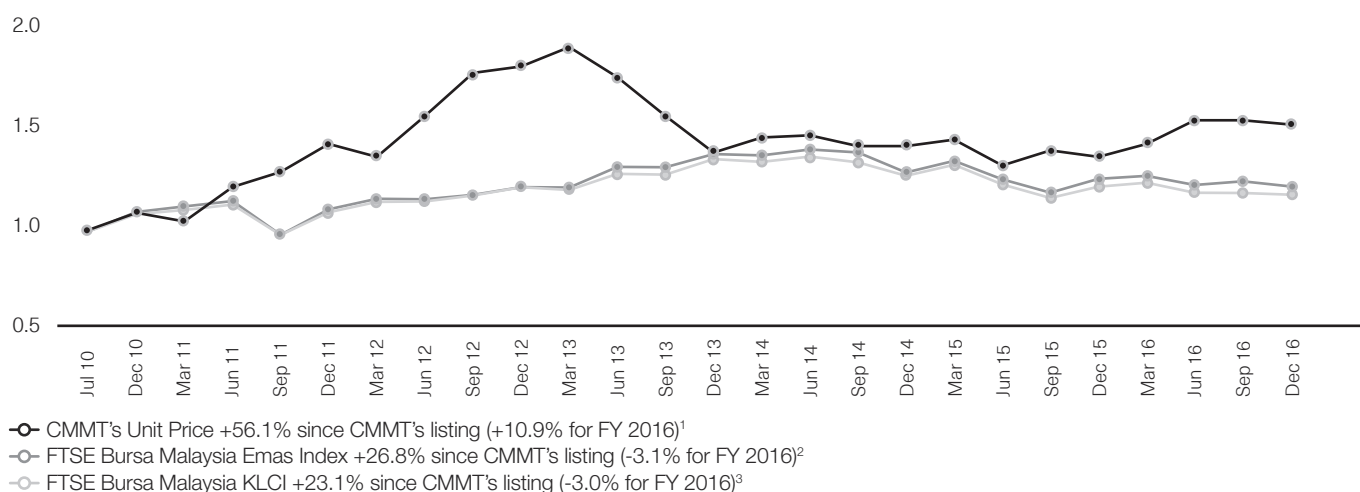
Website: www.cmmmt.com.my

Unit Price Performance

CMMT's Monthly Trading Performance for 2016



CMMT's Unit Price versus Performance Benchmarks



1 Based on the opening unit prices of RM0.98 on 16 July 2010 and RM1.38 on 4 January 2016 and the closing unit price of RM1.53 on 30 December 2016.

2 Based on the opening index values of 9,020 on 16 July 2010 and 11,794 on 4 January 2016 and the closing index value of 11,433 on 30 December 2016.

3 Based on the opening index values of 1,334 on 16 July 2010 and 1,693 on 4 January 2016 and the closing index value of 1,642 on 30 December 2016.

Comparative Yields



4 Dividend Yield of FTSE Bursa Malaysia KLCI as at 30 December 2016 (Source: Bloomberg).

5 Average 12-month Fixed Deposit Rate (RM) as at 30 December 2016 (Source: Bloomberg).

6 10-year Malaysian Government Bond as at 30 December 2016 (Source: Bloomberg).

7 Based on the DPU of 8.43 sen for FY 2016 and the closing price of RM1.53 on 30 December 2016.

Sustainability Management

Reporting Scope and Period

This report covers CMMT's portfolio from 1 January to 31 December 2016, which is aligned with CMMT's financial year.

Sustainability Commitment

CMMT is committed to creating long-term value for our Unitholders through value creation and continuous innovation. CMMT is part of CapitaLand Group (CapitaLand or CL Group) and its sustainability strategy is aligned to the CL Group. Details can be found in the CapitaLand Sustainability Report which will be available in June 2017 on CL Group's website.

CL Group's sustainability strategy is in line with its credo of 'Building People. Building Communities.'. It is committed to improving the economic and social well-being of its stakeholders through the execution of its development projects and management of its operations. In a rapidly changing business landscape, it actively embraces innovation to ensure commercial viability without compromising the environment for future generations.

CL Group upholds high standards of corporate governance and transparency to safeguard shareholders' interests. It has in place an adequate and effective enterprise risk management system to enhance its business resilience and agility. CL Group's proactive approach towards environmental, health and safety (EHS) management, which incorporates universal design into its developments, ensures that its properties are future-proof and sustainable. Policies and guidelines are put in place to ensure the efficient use of energy, water and other resources.

CL Group's integrated human capital strategy aims to recruit, develop and motivate employees to drive growth for the Group. Community development is an important component of its commitment to sustainability. It focuses on providing support to enhance the lives of underprivileged children through corporate philanthropy and employee volunteerism.

CapitaLand's 2016 Global Sustainability Report adopted the Global Reporting Initiative (GRI) Reporting Guidelines as this framework is internationally recognised. The report will continue to apply the Guiding Principles of the International Integrated Reporting Framework, ISO 26000:2010 Guidance on Social Responsibility. It will reference the United Nations (UN) Sustainable Development Goals, and be externally assessed to the

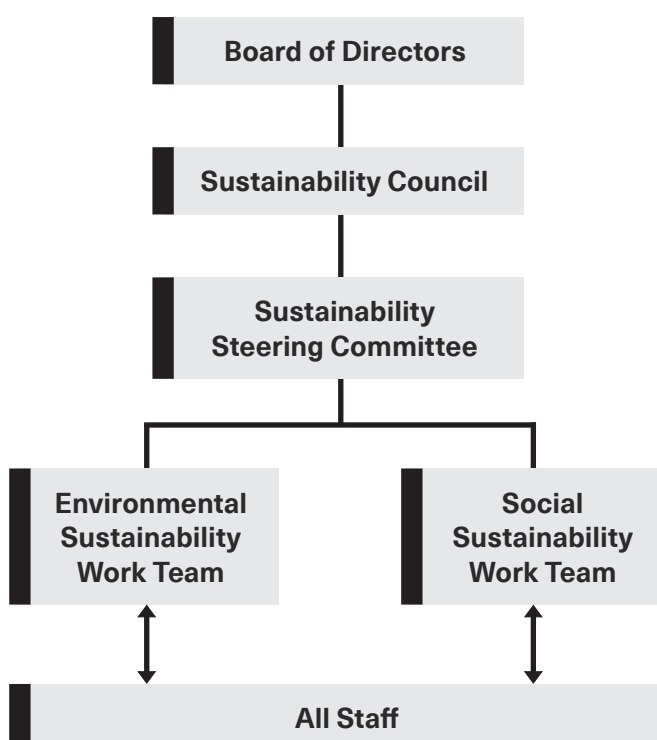
AA1000 Assurance Standard. It will cover CapitaLand's global portfolio, which includes CMMT. CapitaLand is a signatory to the UN Global Compact and its Global Sustainability Report will serve as its Communication on Progress, which will be made available at www.unglobalcompact.org when published.

For its efforts, CapitaLand is listed in the Global 100 Most Sustainable Corporations in the World, Sustainability Yearbook, Dow Jones Sustainability World Index and Asia Pacific Index, Global Real Estate Sustainability Benchmark (Regional Sector Leader for Asia, Diversified), FTSE4Good Index Series, FTSE4Good ASEAN 5, MSCI Global Sustainability Indexes, STOXX® Global ESG Leaders Indices, Channel NewsAsia Sustainability Ranking and SGX Sustainability Indices.

Top Management Commitment and Staff Involvement

CL Group's sustainability management comes under the purview of its Sustainability Council, comprising members of CapitaLand's top management. It is supported by a Sustainability Steering Committee which oversees two work teams to ensure the Group's continued progress and improvement in the areas of environment, social and governance (ESG). The Sustainability Steering Committee and work teams comprise representatives from all business units.

CL Group Sustainability Management Structure



(Vision, Mission, Credo and Core Values)



CL Group has a regular review, assessment and feedback process in relation to ESG topics. Key to this is an annual Group-wide Risk and Control Self-Assessment exercise which entails the identification, assessment and documentation of material risks and

corresponding internal controls. Such material risks include fraud and corruption, environmental, health and safety, economic and human capital risks which are ESG-relevant. Other existing channels for feedback to ensure relevance of CMMT's issues include:



Environmental

- Regular dialogue/feedback sessions with government agencies



Social

- Regular dialogue with government agencies and unions
- Regular employee engagement survey



Governance

- Active participation in Malaysian REIT Managers Association (MRMA) and Malaysian Investor Relations Association (MIRA)
- Attended workshops on Sustainability organised by Bursa Malaysia Berhad

Sustainability Management

Materiality

Through regular stakeholder engagement, CL Group identifies and reviews material issues that are most relevant and significant to the Group and its stakeholders. Priorities are ranked based on the likelihood and potential impact of issues affecting business continuity and development. For external stakeholders, priority is given to issues important to society and applicable to the Group. CL Group therefore prioritises its sustainability efforts and reporting on issues that are most material to its business and stakeholders. The following areas are the issues that are most material to CMMT:

Employees

CMMT does not have employees as it is externally managed by CMRM, the Manager. The employees of CMRM thus form the headcount. Our success is largely dependent on our employees — their skills, their commitment and their identification with the company. Senior management conducts regular staff communication sessions to keep employees abreast of strategies, new developments and financials with a view to encourage the sharing of ideas, views and suggestions for business improvements. Regular recreational, team-building and networking events are also held to reinforce employee engagement and cohesiveness.

Customers

A major part of CMMT's sustainability program involved focusing on drawing customers to its portfolio. Regular tenant surveys are conducted in CMMT shopping malls and the feedback obtained is reviewed and relevant follow-up actions are taken to improve tenants' experience and improve service levels to tenants. In 2016, CapitaStar was extended to Tropicana City Mall, The Mines and East Coast Mall and the launch events' experiential elements were well-received by shoppers who engaged with an interactive kiosk and flash mob dance performance.

Supply Chain Management

The Manager proactively engages contractors and suppliers on areas relating to quality of work and commitment to EHS. The Manager also adopts a strong stance against bribery and corruption. Third-party service providers and contractors can provide feedback via a dedicated email address, in addition to the regular feedback channels. The Manager recognises that the environment and the economy are interdependent and is thus committed to adopting environmentally sustainable practices and policies. For more information on CMMT's initiatives in 2016, please refer to the EHS sub-section on page 60.

For stakeholder engagement pertaining to investors and media, please refer to the section on Investor and Media Relations on page 54 of this Annual Report.

Human Capital

The Manager has an integrated human capital strategy to recruit, develop and motivate employees. The Manager recognises that a positive work environment is essential to attract, motivate and retain talent. A total well-being programme has been put in place to promote personal development, healthy living and work-life harmony. Initiatives include a flexible medical and benefits plan, flexible work arrangements and employee engagement initiatives. For the Manager, human capital is vital in our pursuit for long-term business growth. For more details on the Manager's initiatives in 2016, please refer to People and Talent Management section on page 61 of this Annual Report.

Stakeholder Engagement

Stakeholders are group that our business has a significant impact on and those with a vested interest in our operations. CMMT's key stakeholders include shoppers, tenants, investors, employees, and the local community. Through the various engagement channels, CMMT seeks to understand our stakeholders' views, communicate effectively with them and respond to their concerns. Stakeholders' issues of interest are outlined on the following page.



Shoppers

Stakeholder and Why We Engage

To understand our shoppers' needs and preferences to improve the ambience of our shopping malls and trade mix

Issues / Interests

- Shopping malls with family friendly facilities
- Easy access to public transportation
- Better shopping offerings and services
- Shopping rewards

How We Engage

- Advertisements and cross-mall promotions
- Shoppers' survey and analytics
- Digital and social media rewards and engagements
- Loyalty Programs
- Experiential events



Tenants

Stakeholder and Why We Engage

To understand our tenants' needs and concerns and help drive shopper traffic.

Issues / Interests

- Opening of new shops/malls
- Learn from successful companies
- Knowledge sharing

How We Engage

- Informal tenant gatherings
- Joint promotions and partnerships



Investors

Stakeholder and Why We Engage

To create an informed perception of CMMT and manage investors' expectations.

Issues / Interests

- Business performance
- Business expectations and strategy

How We Engage

- Annual General Meetings
- Bursa Malaysia announcements
- Annual reports, results briefings to analysts and media
- Website updates
- Roadshows, conferences and meetings
- Shopping mall tours



Employees

Stakeholder and Why We Engage

To develop employees to achieve optimal levels, align their personal goals with company performance and create a positive work environment.

Issues / Interests

- Communicating business strategy and developments
- Reward and recognition
- Training and development
- Employee wellbeing

How We Engage

- Intranet, emails, staff communication
- Recreational and team building sessions
- Employee engagement surveys
- Performance appraisals



Community

Stakeholder and Why We Engage

To contribute to the communities in which we operate in.

Issues / Interests

- Philanthropy
- Environment

How We Engage

- Employee volunteerism
- Management of environmental, social and governance issues

Sustainability Management

Community Development

In 2016, over 170 staff volunteers took part in MySchoolbag – CapitaLand's key annual corporate social responsibility (CSR) programme, in Malaysia. Funded by CapitaLand Hope Foundation, the philanthropic arm of CapitaLand, approximately RM170,000 was donated to 680 underprivileged children from 21 charity organisations in Klang Valley, Penang, Kedah and Pahang. The Manager also provides three days of volunteer service leave per year to each employee.

Environment, Health and Safety (EHS)

CL Group is committed to protecting the environment and upholding the occupational health and safety of its employees. The CapitaLand EHS Management System is externally audited to achieve ISO 14001 and OHSAS 18001 certification across 15 countries. The CapitaLand EHS Policy can be found on www.capitaland.com/sustainability.

The Manager incorporated EHS key performance indicators linked to the remuneration of all staff, as well as top management. These include:

- a) Green Ratings: Three CMMT malls – Gurney Plaza, The Mines and East Coast Mall – have achieved Green Mark Gold Certification awarded by the BCA of Singapore.
- b) Energy and Water Usage Reduction: In 2016, CMMT's portfolio¹ reduction in energy usage in KWh/m² was 11.8% and the reduction in water usage in m³/m² was 17.3% from the 2009 baseline. The rainwater harvesting system, which provides the cooling towers and the restroom/urinal flushing system, has been operational since 2013 at these malls. Water efficient fittings (endorsed by the Water Efficiency Labelling Scheme) are installed in the restrooms.
- c) Zero Fatality/Permanent Disability: In 2016, no CMRM staff met with work-related fatality or permanent injury.
- d) Stakeholder engagement: CMMT malls participated in the WWF Earth Hour initiative. In conjunction with Earth Hour campaign, Tropicana City Mall organised a search for Green Ambassadors 2016 to spread conservation awareness and promote green initiatives. The Mines organised a fire safety talk and live demonstration to instil awareness among at shoppers and children.

¹ This excludes Tropicana City Mall and Tropicana City Office Tower and Sungei Wang Plaza.

People and Talent Management

For CMRM, our people are the key drivers and differentiators in making our business successful and grow sustainably. It is their passion, professionalism, talent and commitment that provide the Manager with its competitive advantage. We adopt a robust human capital strategy to attract, develop, retain and engage employees.

Talent Management and Succession Planning

The Manager actively seeks innovative, dynamic and talented employees both internally and externally to strengthen the Management's bench strength in order to optimise the performance of the assets in CMMT's portfolio and facilitate CMMT's future expansion within Malaysia. High potential individuals are recruited at different points in their careers, from fresh graduates to young, mid-career professionals and industry veterans.

A robust succession planning and talent management strategies are in place to ensure that the Manager's current and future human capital requirements are met. For members of the management team with proven track records and leadership potential, the Manager partners with CapitaLand Institute of Management and Business (CLIMB) to provide leadership and management programmes to sharpen their management, leadership and business skills.

Learning and Development

The Manager believes that continual learning is a fundamental building block of growth, which offer comprehensive training and development programmes for employees to acquire relevant knowledge and skills to achieve business excellence.

In 2016, about 2.6% of the Manager's annual basic salary was allocated for programmes relating to employee learning and growth. There is a training roadmap in place with wide variety of courses, ranging

from core competency development programmes, skills development programmes to jobs rotations/special projects/new assignments.

At the core of the staff development programme is a systematic programme for all new hires to gain insights of the Manager's business operations, strategies, core values and management philosophy.

As part of their orientation, new hires can gain easy access to company information, policies and processes during their initial day of familiarisation.

Staff are also being sponsored for diplomas, degrees and masters programmes which helps in their career advancement. Throughout the year, staff also participated in overseas study visits to gain exposure to new retail trends, mall management concepts and network with industry players in different parts of the world.

In 2016, staff clocked an average of 44 training hours per employee, which was well above the recommended industry guide of 40 hours. 100.0% of staff attended at least one training event. Staff are encouraged to upgrade themselves by attending courses or obtaining professional qualifications relevant to their work. Staff are granted with paid examination leave for their studies.

Compensation and Benefits

The Manager's remuneration policy and process reiterates its corporate philosophy to attract and retain the best talent as well as to reward high achievers. The total rewards scheme includes both short-term incentives, in the form of cash bonuses, and long-term incentives, in the form of restricted shares. The total rewards scheme ensures organisation-employee alignment as employees are rewarded based on business performance and also encourages talent retention.

People and Talent Management

A flexible benefits plan is provided to cater for the diverse needs of employees and to enable them to complement their personal medical and insurance needs. Employees can thus customise their benefits for themselves and their families.

The Manager conducts regular benchmarking exercises across markets and seeks to be innovative with regard to compensation strategies to ensure that the Manager remains competitive and continues to attract and retain talent.

People Engagement

The Manager endeavours to foster an open work culture with a focus on communication, teamwork and open exchange of ideas. In line with this staff engagement strategy, senior management conducts regular staff communication sessions to keep staff abreast of strategies, new developments and financials with a view to encourage the sharing of ideas, views and suggestions for business improvements.

The HR shared folder is a valuable platform for employees to find out the details of employment terms, benefits, human resource policies and practices including the whistle-blowing policy, as well as ethics and code of business conduct policies. The Manager also publishes a newsletter to provide quarterly updates to employees on the latest development within the Company including highlights of the staff activities and events. In addition, recreational and teambuilding events are regularly organised to foster cohesiveness and team spirit.

People Welfare

The Manager organised various welfare and health-related activities to encourage a well-balanced and healthy lifestyle among employees. Activities included thematic dinner and dance, family movie screenings, offsite staff gatherings, health talks, weekly workout classes and eat healthy month. The Manager is committed to preserving a culture that embraces diversity and fosters inclusion. To promote mutual respect and a harmonious working environment among the different ethnic groups within the organisation, a series of cultural festive celebrations were organised, including Raya get-together, Deepavali gathering, Chinese New Year yee sang (prosperity) tossing ceremonies and Christmas get-together and gift exchange.

The Manager values and cares for people as the success of an organisation will be shaped by the people. The Manager will continue to develop the human capital to achieve optimal performance.

Fairness and Diversity

The Manager defines the human resource policy on equal opportunities and fair employment practices and all job applicants are treated fairly regardless of ethnicity, age or gender. The Manager adhered to CapitaLand Group's policies on non-discriminatory employment practices. CapitaLand has signed the Employers Pledge for Fair Employment Practices with The Tripartite Alliance for Fair Employment Practices and also upholds the spirit of international human rights conventions, such as the Universal Declaration of Human Rights and the International Labour Organisation Conventions, against discrimination in any form and coerced labour.

The Manager's workforce comprises an 39% male and 61% female employees. The female employees are well represented with 56% at the middle and senior management levels.

Operations Review

Asset Enhancement Initiatives

In the last quarter of FY 2016, Gurney Plaza completed two AEs, which included the reconfiguration of Basement 1 units at carpark entrance into smaller and higher yielding units, and extension of lease lines. We also converted common walkway on Level 7 into new leasable space to offer wider variety of F&B tenants. Both initiatives, completed at a total of RM6.1 million, have increased the mall's net lettable area by approximately 2,900 sq ft and are expected to give CMMT incremental NPI of approximately RM0.8 million per annum. Additionally, the shopping mall was rejuvenated through upgrading of a chiller to enhance the air conditioning system and to ensure operational reliability and efficiency, and upgrading of the skylight ceiling at the Centre Atrium to improve the shopping ambience.

Despite the temporary impact faced by Sungei Wang Plaza due to ongoing MRT construction works in Bukit Bintang and the closure of the adjoining Bukit Bintang Plaza, the Manager continues to ensure the 40-year-old shopping mall remain relevant by continuously introducing new concepts so that shoppers will discover something new at the shopping mall. FoodZania on Level 3 is a successful transformation of Malaysia's well known street food stalls into thematic clusters which are affordably priced, namely Food Truck, D'Food Caravanz and FoodCart Corner that is popular among the office crowd and tourists. Meanwhile, on Level 2, new introductions include The Cubez which is a dedicated trendy cluster for artisan retailers offering unique Made-in-Malaysia paraphernalia, and avid toys and hobbies aficionados can now congregate at Sungei Wang Plaza following the introduction of a niche toys and hobbies cluster. Main anchor Parkson also underwent a renovation exercise to refresh and reflect a modern contemporary look and introduce additional in-house brands to enhance its offerings and shopping ambience. The School of Lifestyle by Snips College of Creative Arts Academy on Level 6 expanded and took up additional area to cater to their new concept, which now offers additional services such as cafe, fashion school, production and music classes.

Several AEs were completed in 2016 amounting to approximately RM15.0 million at Tropicana City Mall. New leasable space was created when we built four units adjacent to Tropicana City Office Tower to house new F&B tenants, and converted areas on Levels 1 and 2 to enhance the trade mix and offer greater variety

of dining options for shoppers as well as improving sightlines. These works increased Tropicana City Mall's net lettable area by approximately 13,000 square feet and are expected to give CMMT incremental NPI of approximately RM0.7 million a year.

At The Mines, the male prayer room facilities were upgraded for the convenience and benefit of Muslim shoppers. In order to enhance the security coverage areas of the mall, improvements were made to the CCTV monitoring system including the internal and external camera provision surrounding the mall. Other works to rejuvenate the mall included replacement of escalator handrails, upgrading of cooling towers to improve the cooling capacity of the mall and upgrading of the rainwater drainage system at Level 1.

Several rejuvenation works were carried out at East Coast Mall to improve the overall aesthetics of the mall. Having upgraded the lift lobbies and main atrium lightings, we have also installed a parking guidance system with features such as vehicle tracking camera, parking bay counter display, analytical camera for car plate number detection and smart car locator kiosks at the Basement and Level 3 car parks to improve shoppers' safety and convenience. The mall's secondary entrance has also been enhanced with a new pick-up and drop-off facilities for shoppers' added convenience to access the mall. The water supply distribution to washrooms have also been upgraded for greater operational efficiency while the smoke ventilation system was upgraded and natural smoke ventilators were replaced.

As part of our ongoing efforts to stay relevant and attractive to our shoppers and tenants, CMMT malls actively improve tenant mix by securing popular brands and introducing new-to-market as well as first in Malaysia outlets. In FY 2016, we introduced several new brands such as RockStar Gym from Indonesia, a physical education centre for children and teenagers, at The Mines in May 2016, followed by the opening of its second outlet at Tropicana City Mall in October 2016.

To further strengthen Gurney Plaza as Penang's premier lifestyle shopping mall, new-to-market brands such as British luxury fragrance Jo Malone; international fashion lifestyle brand Sacoor Brothers; and other exciting F&B options such as Shojikiya, Sushi Jiro and Go Noodle House have been brought in.

Operations Review

The variety of F&B offerings at Tropicana City Mall has also been widened with Caffè Pascucci, Chong Hwa Curry and My Flavor. The edutainment zone on Level 2 has been strengthened with the opening of RockStar Gym and MusicZON, which offers classes for pop and jazz piano, drums, guitars and sale of musical instruments.

At The Mines, the first drive-thru Starbucks in a shopping mall located at the main entrance opened in April 2016. Other new F&B tenants include Haagen Dazs, Komugi, Nyonya Mama, Baskin Robbins, Fuel Shack and Almendi's.

Several new-to-market fashion retailers commenced operations at East Coast Mall during the year under review included Rip Curl and Kidz. Other fashion brands which were brought in were fyi, Royal County of Berkshire Polo Club and Pierre Cardin.

Lease Structure

Rental income is the total amount payable by all tenants/licensees pursuant to a lease/license, which includes rents/fees payable under a lease or license agreement. CMMT's lease agreements are generally fixed for a period of three years which is the usual market practice in Malaysia.

Most of CMMT's leases include step-up provisions, whereby the rental rate increases by a predetermined amount annually. The vast majority of tenants have a provision in their leases for the payment of a turnover rent in addition to the base (fixed) rent.

Lease Renewals and New Leases

For leases that expired in 2016, the rental of the first year of the renewed/new lease term decreased by 3.5% on a portfolio basis compared to the preceding rate, i.e. the last year's rental of the preceding term. Excluding Sungei Wang Plaza, the figure would have been a positive 3.9%.

Having enjoyed solid growth for a number of years, Sungei Wang Plaza is now in a transitional period and experiencing short-term impact due to the MRT construction works. The redevelopment of Bukit Bintang Plaza has also impacted Sungei Wang Plaza's shopper traffic as the entrance via Jalan Bulan will remain closed. Back in 2014, we embarked on a market rental adjustment strategy to ensure a sustainable occupancy rate for CMMT units. As a result, the mall experienced negative rental reversion as our key objectives were to assist our tenants in maintaining a sustainable occupancy cost and to introduce new trades or concepts to the mall. Nonetheless, we are positive about its longer term prospects as it is an established asset located in the prime shopping district of Bukit Bintang, well connected by a strategic transportation node.

At Tropicana City Mall, the amalgamation of units and change of trade mix to cater to an international fashion brand and a gourmet food hall resulted in the negative rental reversion as we strive to enhance the variety and quality of offerings there.

Summary of Renewals/New Leases

(as at 31 December 2016) (excluding newly created and reconfigured units)

Property	Number of Renewals/ New Leases	Net Lettable Area (sq ft)	Percentage of Mall (%)	Change in Rental Rates ¹
Gurney Plaza	99	896,028	23.3	5.7
Sungei Wang Plaza	60	456,219	10.6	-42.8
Tropicana City Mall & Tropicana City Office Tower	28	563,216	9.6	-5.6
The Mines	66	732,554	15.2	0.4
East Coast Mall	70	484,940	11.8	8.0
Total	323	3,132,957	15.3	-3.5

¹ Change in the current rental rates versus the preceding rental rates.

Portfolio Lease Expiry Profile

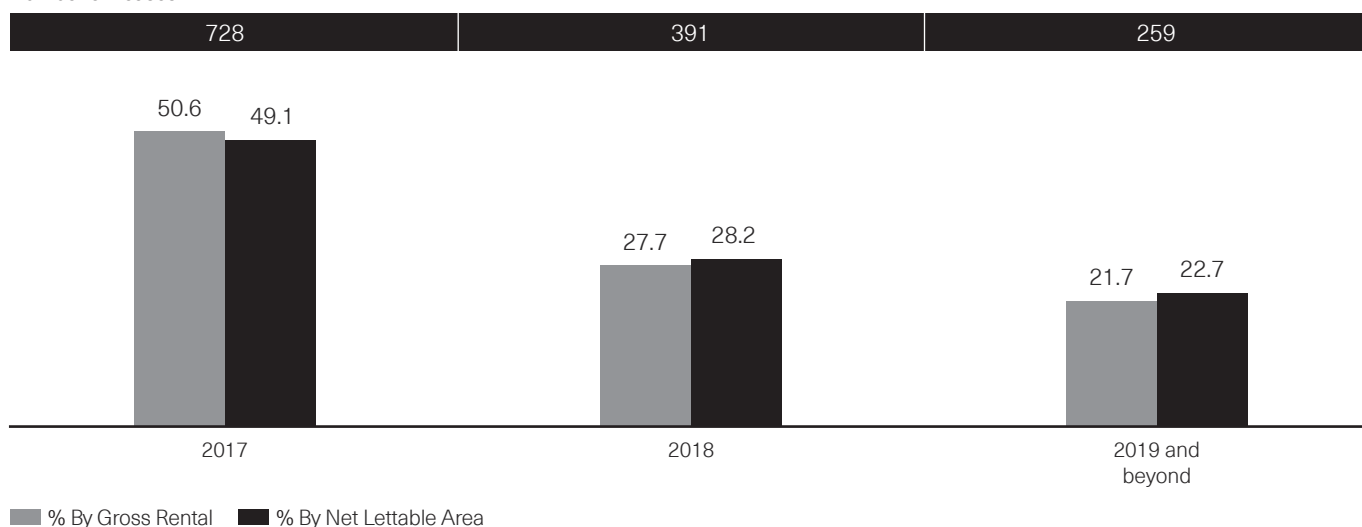
CMMT tenants are typically on a three-year tenancy term. The portfolio lease expiry spread out as at 31 December 2016 with 50.6% and 27.7% of tenancies by gross rental income due for renewal in 2017 and

2018 respectively, with the balance expiring from 2019 onwards. About 728 leases are due to expire in 2017. For the portfolio lease expiry profile as at 31 December 2016 by gross rental income, 11.3% is made up by the lease expiry cases of anchor tenants.

Portfolio Lease Expiry Profile

(as at 31 December 2016)

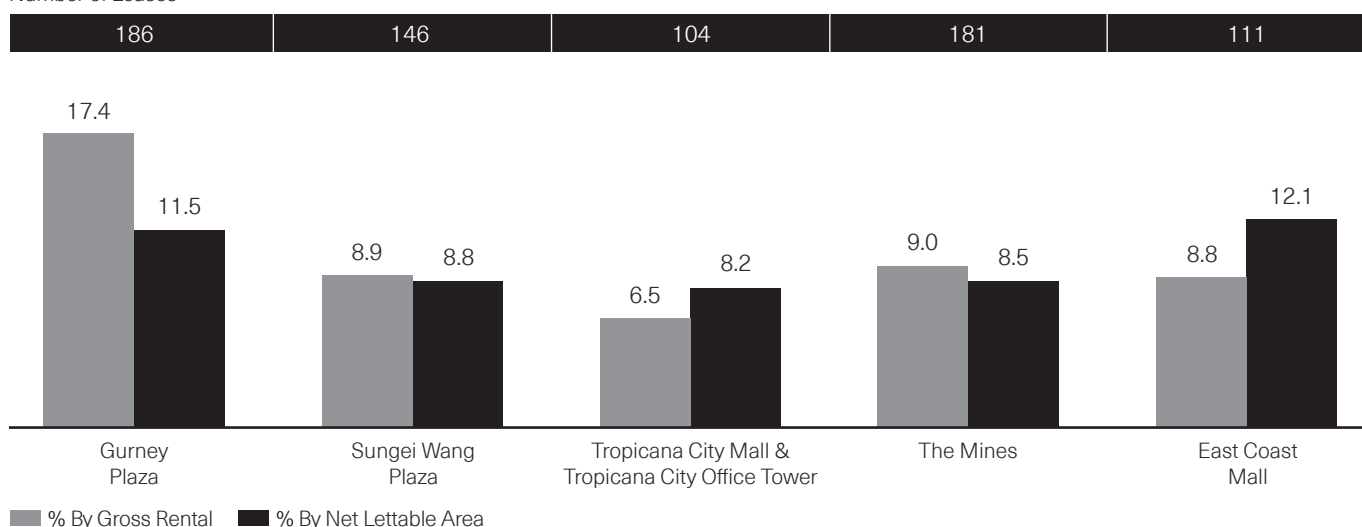
Number of Leases



Portfolio Lease Expiry Profile for 2017

(as at 31 December 2016)

Number of Leases



Operations Review

Top 10 Tenants

CMMT's gross rental income is well-distributed within its portfolio of over 1,390 leases. Collectively, the 10 largest tenants accounted for about 16.9% of the total gross rental income.

10 Largest Tenants by Total Gross Rental Income

(as at 31 December 2016)

Tenant	Trade Sector	By Gross Rental Income (%)	Expiry Date ¹
Parkson	Departmental Store	6.5	19 Jun 2017 to 02 Aug 2019
AEON Big	Supermarket/Hypermarket	1.9	31 Jan 2017 to 23 May 2017
Giant	Supermarket/Hypermarket	1.6	15 Oct 2017 to 02 Jan 2018
F.O.S	Fashion/Accessories	1.3	28 Feb 2017 to 31 Dec 2017
Golden Screen Cinemas	Leisure & Entertainment/ Sports & Fitness	1.1	22 Jun 2018 to 14 Jan 2019
Padini Concept Store	Fashion/Accessories	1.0	30 Apr 2017 to 31 Dec 2017
Voir Gallery	Fashion/Accessories	1.0	31 May 2017 to 14 Jan 2018
Tropicana Golf and Country Resort Berhad	Others	0.9	30 Sep 2018
Star Media Radio Group Sdn. Bhd.	Others	0.8	28 Feb 2017
Nando's	Food & Beverages	0.8	23 Sep 2017 to 30 Apr 2018

¹ In cases where leases have more than one expiry date (i.e. the tenants have several leases in more than one mall), lease expiry dates are shown as a range.

Trade Sector Analysis

CMMT's portfolio is well-diversified and relies on various different trade sectors for rental income. As at 31 December 2016, fashion/accessories remained the largest contributor to gross rental income

at 30.7% of the total portfolio. The food and beverage trade remained the second largest contributor to gross rental income at 18.3% and occupied 13.6% of the total net lettable area.

Portfolio Trade Sector Analysis

(as at 31 December 2016)

Trade Sector	By Gross Rental Income (%)	By Net Lettable Area (%)
Fashion/Accessories	30.7	20.7
Food & Beverages	18.3	13.6
Beauty/Health	11.2	7.5
Services	9.7	6.7
Departmental Store	6.9	13.2
Leisure & Entertainment/Sports & Fitness	5.9	10.1
Electronics/I.T.	2.7	2.7
Supermarket/Hypermarket	4.0	10.2
Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	3.2	3.8
Houseware/Furnishings	2.9	3.7
Others	4.5	7.8

Occupancy Rate

As a result of active mall management, proactive leasing strategy and access to CapitaLand's extensive network of local and international retailers, CMMT's occupancy rate remained stable. The portfolio occupancy rate was 96.5% as at 31 December 2016, a nominal increase from 96.0% occupancy rate achieved in the preceding year.

Shopper and Vehicular Traffic

Shopper traffic for the portfolio stood at 59.9 million while vehicular traffic recorded at 9.9 million in 2016. It is also worth to note that shopper traffic at Sungei Wang Plaza, which has been temporarily impacted by ongoing MRT works and the closure of Bukit Bintang Plaza's retail floor linkages since 2013 and early 2015 respectively, have since bottomed out. Currently, the mall registers an average of about 1.0 million to 1.2 million shoppers monthly.

Financial Review

Gross Revenue

Gross revenue for FY 2016 of RM372.6 million was RM27.8 million or 8.1% higher than FY 2015. The increase was mainly driven by the full year contribution from Tropicana City Mall and Tropicana City Office Tower (collectively known as Tropicana City Property (TCP)) upon its acquisition in 3Q 2015 and better performance from Gurney Plaza (GP) and East Coast Mall (ECM) on the back of higher rental rates

achieved from new and renewed leases. Sungei Wang Plaza¹ (SWP) recorded lower gross revenue mainly due to negative rental reversions as it continues to be temporarily affected by the ongoing Mass Rapid Transit (MRT) construction works and the closure of Bukit Bintang Plaza. The lower revenue from The Mines (TM) was mainly due to the absence of the one-off income from utilities recovery.

Gross Revenue by Property	FY 2016 RM'000	FY 2015 RM'000	Change %
Gurney Plaza	137,655	128,064	7.5
Tropicana City Mall and Tropicana City Office Tower ²	52,331	25,112	N.M.
The Mines	80,216	81,550	(1.6)
East Coast Mall	57,125	55,078	3.7
Sungei Wang Plaza	45,290	55,007	(17.7)
Total	372,617	344,811	8.1

Net Property Income

Net property income (NPI) for FY 2016 of RM242.5 million was RM16.1 million or 7.1% higher than FY 2015. The increase was a result of the abovementioned increase in gross revenue as well as property operating expenses which increased by RM11.7 million or 9.9% to RM130.1 million. The increase in property operating expenses was largely attributed to the full year impact of TCP's operating expenses. Overall, the growth in NPI for

the year was mainly driven by the full year contribution from TCP as well as higher contribution from GP and ECM by 10.0% and 4.7% respectively. The growth in NPI was partly offset by the lower contribution from SWP by 26.7%. Although SWP's NPI is temporarily affected by the ongoing MRT works, the mall will stand to benefit from the increased flow of shopper traffic when the MRT station is expected to become fully operational in the second half of 2017.

Net Property Income by Property	FY 2016 RM'000	FY 2015 RM'000	Change %
Gurney Plaza	96,921	88,095	10.0
Tropicana City Mall and Tropicana City Office Tower ²	30,003	14,492	N.M.
The Mines	51,664	51,599	0.1
East Coast Mall	36,646	34,998	4.7
Sungei Wang Plaza	27,258	37,201	(26.7)
Total	242,492	226,385	7.1

N.M. Not meaningful.

¹ CMMT's interest in Sungei Wang Plaza comprises (i) 205 strata parcels within the mall which represents approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza, and (ii) 100.0% of the car park bays in Sungei Wang Plaza.

² FY 2015 results was for the period from 10 July 2015 to 31 December 2015.

Distributions

For FY 2016, CMMT declared a distribution per unit (DPU) of 8.43 sen. During the financial year, CMMT made two income distributions to Unitholders, totaling RM166.0 million or 8.19 sen per unit, which comprised (i) a final income distribution for FY 2015 of 3.99 sen per unit for the period from 9 July 2015 to 31 December 2015, which was paid on 29 February 2016 and (ii) the first income distribution for FY 2016 of 4.20 sen per unit for the period from 1 January 2016 to 30 June 2016, which was paid on 26 August 2016. CMMT's final income distribution for FY 2016 of 4.23 sen per unit for the period from 1 July 2016 to 31 December 2016

will be distributed to its Unitholders on 28 February 2017. This represents a payout of approximately 100.0% of CMMT's FY 2016 distributable income of RM171.1 million.

CMMT's DPU fell 2.0% year-on-year, from 8.60 sen in FY 2015 to 8.43 sen in FY 2016. The lower DPU was mainly due to lower NPI contribution from SWP, higher finance costs and the effects of an enlarged unitholding base after the private placement for the acquisition of TCP in 3Q 2015. The impact was mitigated mainly by the higher NPI contribution from GP and ECM.

Distribution History			
Period Start	Period End	DPU sen	Distributions RM'000
FY 2012			
01-Jan-12	30-Jun-12	4.20	74,151
01-Jul-12	31-Dec-12	4.24	74,964
Total		8.44	149,115
FY 2013			
01-Jan-13	30-Jun-13	4.35	77,012
01-Jul-13	31-Dec-13	4.50	79,777
Total		8.85	156,789
FY 2014			
01-Jan-14	30-Jun-14	4.53	80,456
01-Jul-14	31-Dec-14	4.38	77,919
Total		8.91	158,375
FY 2015			
01-Jan-15	8-Jul-15	4.61	82,011
09-Jul-15	31-Dec-15	3.99	80,789
Total		8.60	162,800
FY 2016			
01-Jan-16	30-Jun-16	4.20	85,189
01-Jul-16	31-Dec-16	4.23	85,931
Total		8.43	171,120

Financial Review

Financial Position

The total assets for CMMT Group were RM4,148.9 million as at 31 December 2016 compared to RM4,091.8 million as at 31 December 2015. The increase of RM57.1 million was primarily derived from the fair value gain on investment properties of RM4.0 million and the capitalisation of capital expenditure of RM48.0 million. The capital expenditure incurred during the year includes asset enhancement works on the Ground Floor adjacent to the office tower and Levels 1 and 2 at Tropicana City Mall as well as on Basement 1 and Level 7 at GP.

Total borrowings increased by RM53.4 million to RM1,311.8 million in FY 2016. This was mainly due to additional revolving credit facilities of RM52.6 million drawn down to fund capital expenditure. For further details, please refer to Capital Management section on page 71 to 72.

Unitholders' funds for CMMT Group as at 31 December 2016 was RM2,685.6 million, an increase of RM10.8 million from 31 December 2015. The increase in Unitholders' funds was mainly a result of the FY 2016 profit contribution, the issuance of CMMT units to the Manager as part payment of management fee and after deducting distributions paid to Unitholders during the year.

Valuations and Property Yields

CMMT Portfolio	Valuation ¹ RM million (RM psf NLA) ²			Property Yield (%) ³		Capitalisation Rate (%) ⁴	
	31 Dec 2016	31 Dec 2015	Increase/ (Decrease)	FY 2016	FY 2015	31 Dec 2016	31 Dec 2015
Gurney Plaza	1,515.0 1,691 psf	1,372.0 1,537 psf	143.0	6.4	6.4	6.75	7.00
Tropicana City Mall and Tropicana City Office Tower	588.0 1,044 psf	565.0 1,028 psf	23.0	5.1	5.3	6.50	6.50
The Mines	720.0 983 psf	700.0 968 psf	20.0	7.2	7.4	7.00	7.00
East Coast Mall	490.0 1,010 psf	469.0 964 psf	21.0	7.5	7.5	7.25	7.25
Sungei Wang Plaza	625.0 1,370 psf	780.0 1,709 psf	(155.0)	4.4	4.8	7.00	7.00
CMMT Portfolio	3,938.0 1,257 psf	3,886.0 1,250 psf	52.0	6.2	6.2	-	-
Less: additions ⁵			(48.0)				
FY 2016 Net Fair Value Gain			4.0				

1 Based on the independent valuations of Gurney Plaza, an interest in Sungei Wang Plaza, Tropicana City Mall and Tropicana City Office Tower, The Mines and East Coast Mall as at 31 December 2016 and 31 December 2015, commissioned by the Trustee.

2 RM per square foot of net lettable area.

3 Property yield is calculated by dividing the NPI or annualised NPI for the year by the independent valuation of the property.

4 Capitalisation rate refers to the reversionary capitalisation rate adopted by the independent valuers to derive the market values of each property.

5 Additions refer to capital expenditure incurred across the portfolio during the financial year.

Unitholders are advised that past performance is not necessarily indicative of future performance and unit prices and investment returns may fluctuate.

Capital Management

The Manager continues to rigorously monitor the cash position and borrowings of CMMT Group with the view of strengthening its capital structure and competitive position.

Borrowings

The Manager's capital management strategy involves adopting and maintaining an appropriate prudent leverage level to ensure optimal returns to Unitholders, while maintaining flexibility in respect of future capital expenditure or acquisitions.

In April 2016, CMMT obtained a new unsecured revolving credit facility of RM50.0 million. This facility provides a new source of funding to support future acquisitions of properties, capital expenditure and asset enhancement initiatives.

In October 2016, the credit margin of an existing floating rate credit facility was tightened by 20 basis points. The interest rate risk management initiative paved the way for CMMT to limit the adverse impact on the cost of debt in the event of an increase in market interest rate and banks' cost of funds. In addition, as at 31 December 2016, CMMT Group locked 72.1% of its total borrowings at fixed rate as part of its interest rate risk management.

In December 2016, CMMT MTN Berhad, a wholly owned subsidiary and financing vehicle of CMMT, had successfully issued 3-year unrated and secured Medium Term Notes (MTN) of RM300.0 million under the existing approved 20-year secured MTN programme of RM3.0 billion to redeem the outstanding MTN. This second issuance bears a lower coupon rate of approximately 4.3% per annum and is secured by The Mines.

The proactive capital management efforts during the year have improved the liquidity position of CMMT Group to support future growth.

As at 31 December 2016, CMMT Group had available banking credit facilities of RM1,259.4 million and an unutilised interest rate swap line of up to RM90.0 million. CMMT Group had utilised RM1,025.4 million, of which RM918.4 million pertained to secured term loan facilities, RM98.3 million pertained to both secured and unsecured revolving credit facilities used for the funding of capital expenditure and the balance of RM8.7 million pertained to bank guarantee facilities for utilities, leaving unutilised banking credit facilities of RM234.0 million.

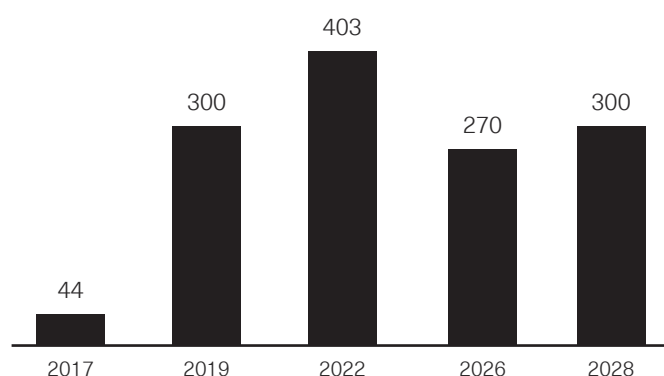
The total borrowings of CMMT Group as at 31 December 2016 were RM1,316.7 million, which equates to a healthy gearing level at 32.4% and provides the Group with a permissible debt headroom of RM1.4 billion for future acquisitions of properties and/or asset enhancement initiatives. The average cost of debt for CMMT Group for FY 2016 was at approximately 4.5% per annum (FY 2015: 4.5% per annum) and the average term to maturity for outstanding debts was 6.8 years. Of the five properties in the portfolio, Sungei Wang Plaza¹ and East Coast Mall remain unencumbered, providing CMMT with further financial flexibility.

Debt Profile

The debt maturity and interest rate profile for CMMT Group as at 31 December 2016 were as follows:

Debt Maturity Profile

(RM million)



¹ CMMT's interest in Sungei Wang Plaza comprises (i) 205 strata parcels within the mall which represents approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza, and (ii) 100.0% of the car park bays in Sungei Wang Plaza.

Capital Management

Interest Rate Profile



- Fixed
- Floating

%
72.1
27.9

Cash Flows and Liquidity

The Manager proactively monitors its cash and liquid reserves to ensure that adequate funding is available for distribution to the Unitholders as well as to meet any short-term liabilities.

Cash and Cash Equivalents

As at 31 December 2016, the cash and cash equivalents of CMMT Group stood at RM192.1 million, an increase of RM5.1 million compared to FY 2015. The increment was mainly the result of cash inflows of RM227.1 million from operating activities and offset by the cash outflow of RM49.1 million and RM172.9 million from investing and financing activities respectively.

Operating Activities

CMMT Group's operating net cash inflow for FY 2016 was RM227.1 million, a decrease of RM4.0 million over the preceding year. The decrease was mainly due to lower changes in working capital from lower tenants' deposits collected. The higher tenants' deposits collection in FY 2015 was mainly from Tropicana City Mall and Tropicana City Office Tower (collectively known as Tropicana City Property (TCP)) upon its acquisition in 3Q 2015. The decrease was mitigated by the full year profit contribution from TCP.

Investing Activities

In 2016, CMMT Group spent RM1.6 million on plant and equipment and invested RM48.0 million in capital expenditure, which resulted in a cash outflow of RM53.2 million, including payments for previous years' capital expenditure. The impact of this cash outflow was partly mitigated by interest income of RM5.7 million as a result of active cash management.

Financing Activities

During the year, CMMT Group distributed RM166.0 million to its Unitholders and paid RM57.5 million in interest expenses. In addition, a net amount of RM52.6 million was drawn down from revolving credit facilities to fund capital expenditure.

Accounting Policies

The financial statements have been prepared in accordance with the provisions of the Deed, the REITs Guidelines, Malaysian Financial Reporting Standards and International Financial Reporting Standards. These financial statements also comply with the applicable disclosure provisions of the Listing Requirements.

Independent Retail Market Overview

Prepared by: Savills (Malaysia) Sdn Bhd

Date: 20 December 2016



Global economic growth remains subdued following the slowdown in advanced economies. Emerging market growth is expected to strengthen in 2017, particularly India. However, prospects differ sharply across countries. For instance, countries in the Middle East are still confronting challenging conditions from the impact of low oil prices as well as civil conflicts.

The Malaysian economy continued to experience moderate growth and is expected to expand at 4.0-4.5% (2015: 5.0%) on the back of weak consumer sentiment, following a series of events including the decrease in oil prices and the weaker-than-ever Ringgit. The growth was largely underpinned by sustained growth in private sector spending and additional support from net exports. Businesses and consumers are less upbeat about the economy. The third quarter of the 2016 MIER survey results saw a dip in both indices. Consumer Sentiment Index remains below the 100-point threshold of optimism recorded at 73.6, as at Q3/2016. Bank Negara is expected to continue pursuing an accommodative monetary policy favouring businesses as household debts creep up.

Domestic demand remains the main driver of economic growth amid persistent weakness in external demand. Private consumption grew by 6.4% in the third quarter of 2016, with higher consumption on food, beverages, communication and transportation. It is expected to expand steadily, supported by stable economic growth and employment, and accommodative financing conditions. Private investment expanded by 8.1% in the same period, driven by continued spending in the services and manufacturing sectors, such as the services sector which comprises largely the distributive trade and tourism subsectors. Meanwhile, capital growth in the manufacturing sector will be mainly from the expansion in the Electrical & Electronics (E&E) and medical devices industries. Public sector expenditure will be driven mainly by higher capital investment by public corporations.

On the supply side, the economy was mainly led by the services and manufacturing sectors. The performance of the services sector was underpinned by the wholesale and retail trade, while electrical, electronics and optical products are the key contributors in the manufacturing sector. Growth in the construction sector continues to be propelled by rail infrastructure developments.

Headline inflation for 2016 is expected to be at the lower end of the projected range of 2.0–2.5%. Inflation for the period January to October 2016 moderated at 2.1% as compared with the same period last year. The price increase in food and non-alcoholic beverages and housing, water, electricity, gas and other fuels were partly offset by the decrease in the indices of transport group. Inflation is expected to remain relatively stable in 2017 given the environment of low global energy and commodity prices, and a generally subdued global inflation.

The Monetary Policy Committee (MPC) reduced the Overnight Policy Rate (OPR) by 25 bps to 3.0% in July 2016 and has since remained. Reflecting the reduction in the OPR, interbank rates trended lower during the period. Correspondingly, the weighted average base rate (BR) of commercial banks ended the third quarter with a recorded rate of 3.6% (Q2 2016: 3.8%)

The labour force sector continued to expand modestly, while firms remained cautious in hiring new workers due to the weak external environment. The 2016 unemployment rate is estimated at 3.3% (2015: 3.1%). The services sector remained the largest employer with a 60.5% employment level, followed by the manufacturing and agriculture sectors.

Tourist arrivals and receipts registered positive growth for the first half of 2016, which recorded 13.0 million tourists arrivals (1H 2015: 12.6 million) and RM37.4 billion (1H 2015: RM33.8 billion) receipts, respectively. The ASEAN region continued to be the largest contributor of tourist arrivals with a 75.7% share (2014: 74.3%) of the total arrivals. Singapore tourists topped the list, followed by Indonesia, China, Thailand and Brunei Darussalam. China registered the highest growth of 32.1%, attributed to the relaxed visa rules for China tourists.

Malaysia retail trade sector moved in tandem with private consumption, which registered a 5-year compound annual growth rate (CAGR) of 7.0%. Retail sale value from non-specialized stores, ie department stores, hypermarkets and convenient stores contributed the largest share, followed by the retail sales of other goods of specialised stores. The latter includes goods such as clothing and fashion items, pharmaceutical and medical goods, photographic equipment and watches and jewellery. It is worth to note that this data is obtained from the Quarterly Distributive Trade Survey carried out by the Department of Statistics

Independent Retail Market Overview

on 3,403 active retail establishments (1.3% of total active establishments) throughout Malaysia. The small sample size might have overstated the overall retail trade sale value.

Overall, while domestic conditions remain resilient, uncertainties in the external environment may pose downside risks to Malaysia's growth prospects.

Main Economic Indicators, Malaysia							
	2010	2011	2012	2013	2014	2015 ^p	2016 ^f
GDP at Constant 2010 Prices (RM billion)¹							
Malaysia	821.4	864.9	912.3	955.1	1,012.5	1,062.8	1,108.0
Kuala Lumpur ²	113.1	122.9	131.5	140.6	152.4	160.4	–
Selangor	177.7	187.4	200.9	212.8	227.1	240.0	–
Penang	53.0	55.8	58.4	61.3	66.2	69.8	–
Pahang	35.9	38.2	40.1	42.2	44.0	45.9	–
Real GDP Growth (%)³							
Malaysia	7.4%	5.3%	5.5%	4.7%	6.0%	5.0%	4.0-4.5%
Kuala Lumpur ²	10.6%	8.7%	7.0%	6.9%	8.0%	5.3%	–
Selangor	11.9%	5.5%	7.2%	5.9%	6.7%	5.7%	–
Penang	10.4%	5.4%	4.5%	5.0%	8.0%	5.5%	–
Pahang	4.9%	6.3%	5.0%	5.3%	4.1%	4.4%	–
GDP at Current Prices (RM billion)¹	821.4	911.7	971.2	1,018.8	1,106.5	1,157.1	1,232.6
GDP per Capita at Current Prices (RM)¹							
Malaysia	28,733	31,372	32,913	33,721	36,031	37,104	–
Kuala Lumpur ²	64,693	70,675	77,073	82,262	90,464	94,722	–
Selangor	32,300	34,478	36,799	38,082	40,536	42,611	–
Penang	33,597	35,527	37,053	38,472	42,130	44,847	–
Pahang	23,883	27,069	27,413	27,912	29,341	30,343	–
Mean Monthly Household Income⁴							
Malaysia	4,327	4,651	5,000	5,375	6,141	6,546	–
Kuala Lumpur	6,371	7,396	8,586	9,967	10,629	11,458	–
Selangor	6,297	6,650	7,023	7,417	8,252	8,648	–
Penang	4,613	4,829	5,055	5,292	5,993	6,317	–
Pahang	3,428	3,583	3,745	3,915	4,343	4,604	–
Domestic Aggregate Demand in Current Prices (RM billion)¹							
Private Consumption	395.3	437.3	482.2	527.8	580.0	626.2	–
Private Investment	101.3	114.8	142.3	162.8	184.0	198.8	–
Public Consumption	103.4	121.0	134.4	139.7	147.4	152.0	–
Public Investment	83.0	87.5	104.3	106.9	103.5	104.1	–
Malaysia Retail Trade (RM billion)³	239.4	264.7	284.3	309.5	343.7	371.6	–

f: forecast.

p: preliminary.

1 Department of Statistics Malaysia; projection 2016 from Ministry of Finance Malaysia.

2 Includes WP Putrajaya.

3 Department of Statistics Malaysia's quarterly distributive trade survey.

4 Department of Statistics Malaysia: years 2012 and 2014; other years are calculated by Savills Research based on the compound annual growth rates.

	2010	2011	2012	2013	2014	2015 ^p	2016 ^f
Consumer Price Index (Average Prices)¹ (2010=100)							
Malaysia	100.0	103.2	104.9	107.1	110.5	112.8	114.8
Peninsular Malaysia	100.0	103.3	105.0	107.1	110.7	113.2	115.4
Inflation¹	1.7%	3.2%	1.6%	2.1%	3.2%	2.1%	2.1%
Consumer Sentiment Index²	114.4	107.8	116.6	104.3	94.5	63.8	73.6
Growth Rate	14.5%	-5.8%	8.1%	-10.6%	-9.4%	-32.5%	15.0%
Population ('000)³							
Malaysia	28,589	29,062	29,510	29,915	30,710	31,190	31,660
Kuala Lumpur	1,675	1,693	1,702	1,717	1,740	1,780	1,790
Selangor	5,502	5,600	5,702	5,900	6,050	6,180	6,300
Penang	1,576	1,601	1,623	1,660	1,680	1,700	1,720
Pahang	1,502	1,527	1,547	1,564	1,590	1,610	1,630
Urbanisation Rate⁴							
Malaysia	71.0%	–	–	–	–	–	–
Kuala Lumpur	100.0%	–	–	–	–	–	–
Selangor	91.4%	–	–	–	–	–	–
Penang	90.8%	–	–	–	–	–	–
Pahang	50.5%	–	–	–	–	–	–
Unemployment Rate⁴	3.3%	3.1%	3.0%	3.1%	2.9%	3.1%	3.3%
Overnight Policy Rate⁵	2.8%	3.0%	3.0%	3.0%	3.3%	3.3%	3.0%
Base Lending Rate⁵	6.0%	6.5%	6.5%	6.5%	6.7%	6.8%	6.7%
Tourist Arrivals⁶ (million persons)	24.6	24.7	25.0	25.7	27.4	25.7	30.5
Tourist Receipts⁶ (RM billion)	56.5	58.3	60.6	65.4	72.0	69.1	103.0

f: forecast

p: preliminary

1 Bank Negara Malaysia, Department of Statistics Malaysia for 2015's figures.

2 Malaysian Institute of Economic Research: 2016's figure is as at Q3/2016.

3 Department of Statistics Malaysia.

4 Ministry of Finance Malaysia: 2016's figure is as at Q3/2016.

5 Bank Negara Malaysia.

6 Tourism Malaysia; 2016's figure is the targets provided by Tourism Malaysia.

RETAIL MARKET OVERVIEW

Malaysia's retail market faces intense competition amid a sluggish consumer environment. The year ahead will be an arduous journey riddled with uncertainties in all aspects intensified by the influx of retail supply. The weak Ringgit and rising costs of living will continue to negatively impact the local purchasing power, with consumer discretionary spending being cramped.

Positive prospects during the year are reflected by certain retailers who recorded a positive sales growth

despite a decline in the overall revenue, the increase of 3.7% in tourist arrivals during the first half of 2016 compared with the same period last year, the entrants of increased new international brands and the sports athleisure segment that reportedly performed better than most fast fashion retailers during the year. Padini Group is the exception in which the Group recorded a growth of 33.0% and 71.0% respectively in revenue and profit over the previous year. Meanwhile, international fast fashion retailers, eg H&M and Uniqlo continue to expand amid the challenging market.

Independent Retail Market Overview

Malaysia ranks as the world's fourth largest emerging market, and is third in the Global Retail Development Index (it was ninth last year). This represents retail growth expansion opportunities, supported by a sustained economic growth, rising household incomes (and therefore increasing household purchasing power), and a "youthful" and increasingly urbanised population. International brands retailers have growing confidence in the Malaysian retail market, with shifts from distributor management to direct principal enterprises.

Moving forward, e-commerce will have a deep impact on the future retail industry, albeit the brick-and-mortars remaining the preferred shopping channel. Retail e-commerce sales will make up 13.0% of the total retail market globally by 2019 according to a study by eMarketer. The online retail market in Southeast Asia is still small at 3.0%, representing only about \$6 billion in sales compared with the 14.0% penetration in both China and the United States where online sales recorded \$293 billion and \$270 billion, respectively. (Bain & Co, 2016)

RETAIL SUPPLY AND DEMAND

Existing & Future Supply

According to the Valuation and Property Services Department, Ministry of Finance, Malaysia (JPPH), the total retail stock, which includes shopping centres, arcades, and hypermarkets, in Malaysia stands at 155.9 million sq ft as of Q3/2016, an increase by 7.0% from Q3/2015. The CAGR of retail stock in Malaysia registered 5.7% (2006-2015).

Kuala Lumpur and Selangor contribute 44.2% to the total national retail stock while Johor and Penang stand at 11.2% and 10.5% respectively. Pahang contributes only marginally at 2.5% of the total retail stock. A large percentage of the retail space which is located within shopping centres, averaged 71.9%. The retail space per capita in the nation registered 4.9 sq ft. It is worth to note that retail space per capita of major cities in Malaysia exceed 5.0 sq ft. The influx of retail space presents a more challenging retail environment in the coming years, especially when e-commerce is on the rise.

JPPH estimates that the total future retail stock is 29.5 million sq ft throughout the country as of Q3/2016. The completion date of these floor areas (sq ft) is not yet known.

Shopping Centre Stock in Malaysia as at Q3/2016

State	No. of Properties	Total Space (sq ft)	% of Total Space in Malaysia
WP Kuala Lumpur	62	24,510,487	21.9%
WP Putrajaya	1	621,981	0.6%
WP Labuan	1	280,540	0.3%
Selangor	72	24,937,007	22.3%
Johor	58	12,557,080	11.2%
Penang	39	11,759,152	10.5%
Perak	37	6,232,912	5.6%
Negeri Sembilan	28	2,828,064	2.5%
Melaka	21	3,898,265	3.5%
Kedah	36	4,824,025	4.3%
Pahang	20	2,746,334	2.5%
Terengganu	9	730,718	0.7%
Kelantan	7	1,817,269	1.6%
Perlis	4	237,990	0.2%
Sabah	35	5,984,513	5.3%
Sarawak	59	8,087,919	7.2%
Malaysia	489	112,054,255	100.0%

Source: Valuation and Property Services Department (JPPH), Ministry of Finance.

Per Capita Retail Stock and Shopping Centre Stock in Malaysia and Selected States

	Malaysia	Kuala Lumpur	Selangor	Johor	Penang	Pahang
Retail Stock (sq ft) ¹	155,944,455	30,721,344	34,994,192	18,988,456	18,039,338	2,929,966
Shopping Centre Stock (sq ft) ¹	112,054,255	24,510,487	24,937,007	12,557,080	11,759,152	2,746,334
Shopping Centre Stock as a % of Retail Stock	71.9%	79.8%	71.3%	66.1%	65.2%	93.7%
Retail Stock per capita (sq ft)	4.9	17.2	5.6	5.2	10.5	1.8
Shopping Centre Stock per capita (sq ft)	3.5	13.7	4.0	3.4	6.8	1.7

¹ Data as at Q3/2016

Source: Valuation and Property Services Department (JPPH), Ministry of Finance.

Greater Kuala Lumpur

In 2016, seven new shopping malls opened in the Greater KL, of which five are located in Selangor, and two in suburban Kuala Lumpur. A total of 3.4 million sq ft of retail space was added to the total retail stock in Greater KL compared with 2.1 million sq ft in 2015. The new completions are Da Men, AEON Mall Shah Alam, Glo Damansara, Utropolis Marketplace, Damansara City Mall, The Starling, and the Sunway Velocity Mall. The extension of Pavilion KL namely Elite Pavilion was in time for 2016's Christmas, housing numerous new-in-town international brands such as COS, JD Sports and Luk Fook. Several major malls that are scheduled for opening by the end of 2016 have been delayed such as MyTOWN Shopping Centre (1.1 million sq ft), Melawati Mall (0.6 million sq ft), Selayang Star City (0.6 million sq ft), and the Empire City Mall (1.8 million sq ft) is scheduled for completion by the end of 2017 while Bangi Gateway Mall (0.7 million sq ft) is expected to be completed in 2019.

Savills Research estimates approximately 6.3 million sq ft and 8.6 million sq ft of new retail space will be added to the respective existing stock of Kuala Lumpur and Selangor by 2019. As highlighted earlier, other retail developments that are expected to be completed by the end of 2017 are KL Gateway Mall (0.4 million sq ft), KL Eco City Retail Podium (0.3 million sq ft), Four Season retail podium (0.2 million sq ft), Pacific Star (0.4 million sq ft), EVO shopping centre (0.5 million sq ft), Amerin Mall (0.2 million sq ft), Centre Court @ Tamarind Square (0.1 million sq ft) and M Square Shopping Centre (0.38 million sq ft).

Penang

Design Village, the first outlet mall in the northern region of Peninsular Malaysia was opened in time to capture the 2016 Christmas shopping bonanza. The Penang Chief Minister officiated the grand opening held on 23 November. Currently, 50% of the shops are opened for business. In addition, the fourth IKEA store in Malaysia, also located at Bandar Cassia, is scheduled for completion by the end of 2018. The much delayed Penang Sentral the new integrated transportation hub is at construction stage. Phase 1 of Penang Sentral –is expected to be completed by the end 2018. Retail developments that are in the planning stages include Sunshine Tower, Southbay Plaza Mall, The Light Waterfront Mall, The Light Mixed Commercial Mall, Belleview Mixed Development, Penang Sentral (phase 2) and Sunway Carnival Mall extension.

Pahang

In 2016, SkyAvenue in Genting Highland was partially opened to the public, and is planned for full opening by the end of 2017. Notable retail developments that are expected to be completed in 2017 include the Kuantan City Mall (0.5 million sq ft), Complex KWRC Phase 1 (0.2 million sq ft), and Genting Premium Outlets in Genting Highland (0.3 million sq ft). KIP Mart Indera Mahkota's opening has been postponed to 2019 while AEON Mall Kuantan is still at the planning stages.

Independent Retail Market Overview

Future Supply of Retail Space in Shopping Centres in Selected States

Location	Future Shopping Centre Stock ('000 sq ft) ¹ 2017-2019	Future Shopping Centre Supply
Kuala Lumpur	6,292	2017: KL Gateway Mall, MyTOWN Shopping Centre, KL Eco City Retail Podium, Four Season Place Retail Podium 2018: Eko Cheras, Kiara 163 Lifestyle Mall, GM Robertson 2019: Pavilion Bukit Jalil, Warisan Merdeka Mall, Redevelopment of BB Plaza
Selangor	8,632	2017: Empire City Mall, EVO Shopping Centre, M Square Shopping Centre, Melawati Mall, Pacific Star, Selayang Star City, Amerin Mall, Centre Court @ Tamarind Square 2018: Tropicana Gardens Mall, CentralPlaza Mall, Horizon Village Outlets, Mitsui Outlet Park KLIA Phase 2 2019: IOI City Mall 2, Bangi Gateway Mall
Penang	800	2017: City Mall 2018: IKEA Penang, Penang Sentral (phase 1)
Pahang	1,145	2017: Genting Premium Outlets, Kuantan City Mall 2018: Complex KWRC Phase 1 2019: KIP Mart Indera Mahkota

Note:

¹ Shopping centre stock indicates the net lettable area (NLA) of malls.

Source: Savills Research.

Occupancy Rate

The overall occupancy rate for the retail stock trade in Malaysia increased from 81.7% in 1H/2015 to 82.2% in 1H/2016. It is observed that prime shopping centres in Greater Kuala Lumpur enjoy full occupancy given their strategic locations. The magnitude of their sizes and significant presence of established brands are also critical factors which influence the popularity of

these malls. Occupancy rates are expected to fall in the near future as the suburban market would be seeing an influx of supply. These suburban malls will face major challenges as they compete for the same set of mainstream tenants. The positive news that sustains the Malaysia retail market is the entry of many new international brands which is attributed to its favourable demographics and stable economic growth.

Occupancy Rates of Retail Stock in Malaysia (1H/2016)

State	Total Space ¹ (sq ft)	Occupied Space (sq ft)	Occupancy Rate
WP Kuala Lumpur	29,721,388	25,815,061	86.9%
WP Putrajaya	657,567	625,167	95.1%
WP Labuan	306,018	306,018	100.0%
Selangor	34,620,147	30,175,948	87.2%
Johor	18,397,873	13,963,469	75.9%
Penang	18,601,096	13,349,604	71.8%
Perak	10,357,455	8,656,005	83.6%
Negeri Sembilan	5,024,050	3,705,795	73.8%
Melaka	4,660,984	3,977,692	85.3%
Kedah	6,015,083	5,091,863	84.7%
Pahang	2,929,934	2,329,308	79.5%
Terengganu	1,381,331	983,498	71.2%
Kelantan	3,094,083	2,834,027	91.6%
Perlis	601,379	601,379	100.0%
Sabah	7,307,396	5,904,645	80.8%
Sarawak	8,644,380	6,942,285	80.3%
Malaysia	152,320,164	125,261,765	82.2%

Note:

1 Retail stock includes shopping centres, arcades and hypermarkets.

Source: Valuation and Property Services Department (JPPH), Ministry of Finance.

Capital Values

In recent years, investment funds (including REITs) have been on acquisition trails. However, the retail investment market in Greater KL has taken a breather, with no transactions registered in 2016. Based on shopping centre transactions recorded over the past five years, the capital values and yields have varied widely primarily due to location factors. Additionally, there are concerns posed by the influx of supply and the impact on mall occupancies and rental growth. Capitalization rate may move upwards as the market competition intensifies.

Shopping Centre Ownership

In terms of ownership, the retail market in Malaysia is extremely fragmented. The vast majority of retail assets are independently owned (either by the developer or funds), with only a few larger national players having portfolios of multiple assets.

Independent Retail Market Overview

Capital Values from Selected Shopping Centre Transactions from 2010 to 2016

Property	Year	NLA (sq ft)	Transaction Price (RM mil)	Capital Value (RM psf)	Purchaser
Aeon Bandaraya Melaka	2010	615,608	377.0	612	ARA Asia Dragon Fund
SACC Mall	2010	185,178	90.0	486	ARREIT
1 Mont'Kiara ¹	2010	410,000	333.0	812	ARA Asia Dragon Fund
Gurney Plaza	2010	707,503	800.0	1,131	CMMT
Sungei Wang Plaza ²	2010	450,470	724.0	1,607	CMMT
The Mines	2010	719,563	530.0	737	CMMT
Sunway Pyramid Shopping Mall	2010	1,685,568	2,300.0	1,365	Sunway REIT
Sunway Carnival Shopping Mall	2010	484,364	250.0	516	Sunway REIT
Selayang Mall	2010	379,685	128.0	337	Amanahraya REIT
Gurney Plaza (Extension)	2011	139,964	215.0	1,536	CMMT
Queensbay Mall ³	2011	892,361	651.8	730	CapitaLand Mall Asia
Putra Place (The Mall) ⁴	2011	507,193	223.0	440	Sunway REIT
East Coast Mall	2011	441,342	310.0	702	CMMT
Landmark Central Shopping Centre	2011	289,462	98.0	339	Hektar REIT
Central Square Shopping Centre ⁵	2011	300,782	83.0	276	Hektar REIT
Pavilion KL Mall	2011	1,335,119	3,190.3	2,390	Pavilion REIT
Citta Mall	2011	424,467	245.0	577	ARA Asia Dragon Fund
Kompleks Sungai Buloh	2012	114,130	68.5	600	The Store (M) Sdn Bhd
Mid Valley MegaMall	2012	1,718,951	3,440.0	2,001	IGB REIT
The Gardens Mall	2012	817,053	1,160.0	1,420	IGB REIT
Quill City Mall @ Vision City	2013	770,000	1,200.0	1,558	Employees Provident Fund (EPF)
KL Festival City	2014	450,000	349.0	775	Festival Mall Sdn Bhd & AsiaMalls Sdn Bhd
Mydin Hypermall	2015	536,507	250.0	466	AmFirst REIT
Tropicana City Mall and Office Tower ⁶	2015	549,494	540.0	983	CMMT
Mydin Seremban 2	2015	430,595	240.0	557	Amanah Harta Tanah PNB
da:men ⁷	2015	420,290	488.0	1,159	Pavilion REIT
The Intermark Mall ⁸	2015	225,014	160.0	711	Pavilion REIT
1Segamat Shopping Complex ⁹	2016	223,439	104.0	465	Hektar REIT

Source: Savills Research, REIT prospectuses and annual reports, and published news source.

- 1 The total NLA and acquisition price for 1 Mont'Kiara includes the shopping centre and a 20-storey office tower with roughly 185,000 sq ft of NLA.
- 2 CMMT acquired 205 strata parcels within the mall which, based on the total share units allocated to the 205 strata parcels, represents 62.8% of the voting rights in Sungei Wang Plaza Management Corporation. These 205 strata parcels consist of retail space with an aggregate floor area of approximately 511,103 sq ft (representing approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza) and approximately 1,298 car park bays with an aggregate floor area of approximately 435,411 sq ft, (which comprises 100.0% of the car park bays in Sungei Wang Plaza).
- 3 CapitaLand Mall Asia acquired about 90.7% of the mall's retail strata area (approximately 916,181 sq ft) and all its car park spaces.
- 4 Putra Place consists of The Mall (retail), 100 Putra Place (office), The Legend Hotel (hotel) and 1,323 car parking bays. The consideration paid for the auction of The Putra Place was RM513.95 million. According to the announcement by Sunway REIT, the 507,193 sq ft shopping centre was valued at RM223 million.
- 5 The purchase was based on 110 strata parcels within the shopping mall (measuring 464,520 sq ft and representing 85% of the voting rights in Perbadanan Pengurusan Komplek Central Square) together with all the accessory parcels thereto, which consists of retail space with an aggregate NLA of approximately 300,782 sq ft and 488 car parking bays.
- 6 The purchase includes a four (4) storey shopping mall (448,248 sq ft NLA) and the car park (comprising 1,759 car park bays) and a twelve (12) storey Tropicana City Office Tower (101,246 sq ft NLA).
- 7 The purchase includes a five (5) storey shopping mall of approximately 420,920 sq ft of NLA and two (2) levels of basement car park with 1,672 bays.
- 8 The purchase includes a six (6) storey shopping mall of approximately 225,014 sq ft of NLA and five (5) levels of basement car park with 367 bays.
- 9 The purchase includes a three (3) storey shopping mall of approximately 223,439 sq ft NLA and the car park rights to operate and maintain a car park operation on Lot 236.

Marketing and Promotions

Portfolio-wide activities

During FY 2016, CMMT's portfolio-wide marketing activities focused on engaging shoppers and tenants through promotional campaigns and theme-based events. Through these activities, we aim to further increase our shopper traffic and enhance tenants' sales.

Pokémon Go

The popular augmented reality Pokémon Go was released in Malaysia in August 2016. The Manager, in collaboration with CapitaLand, organised a Pokémon Go-campaign to attract and reward shoppers through a series of challenges at our shopping malls.

Biggest Offer Bash

In conjunction with Malaysia Day celebration in September 2016, the Manager, in collaboration with CapitaLand, organised the 3-day Biggest Offer Bash to offer shoppers with attractive discounts from more than 200 participating tenants. With a minimum spend, shoppers were also required to submit a creative tagline to stand a chance to win cash prizes totalling RM25,000.

CapitaStar

CapitaStar, a multi-store, multi-mall loyalty initiative that offered shoppers with more rewards, was extended to Tropicana City Mall, The Mines and East Coast Mall in October 2016 in collaboration with CapitaLand.

In conjunction with the launch, DiGi customers that signed up as CapitaStar members were rewarded with 500 STAR\$® through a partnership with DiGi. An exclusive marketing programme on Facebook was carried out in December 2016 to reward fans with STAR\$®, CapitaStar merchandise and shopping vouchers.

CapitaStar members can earn STAR\$® when shopping at about 1,000 outlets at Gurney Plaza, Tropicana City Mall, The Mines and East Coast Mall, and these STAR\$® are then used to redeem vouchers and promotional gifts. The STAR\$® rewards come on top of the other rewards that shoppers are already earning, thus giving CapitaStar members additional benefits when shopping at CapitaLand malls.

Mall-centric Activities

Each mall also organised a series of memorable and unique experiences to reinforce its positioning and strengthen shoppers' loyalty.

Gurney Plaza

Disney On Ice Magical Festival

During the school holidays in March 2016, Gurney Plaza arranged various activities for children in collaboration with Disney On Ice Magical Festival. Children participated in a handicraft workshop and a costume contest. The winners won tickets to see the live show.

Fashion Week

Fashion was celebrated in style at Gurney Plaza in April 2016. Through a collaboration with various brands such as Coach, Topshop, Dorothy Perkins, Warehouse, Topman, Guess, Superdry and Bonia, shoppers were treated to a fashion show to unveil the respective brands' latest collections. After each fashion show, there was private party for invited guests to further spur sales.

Georgetown Festival 2016

In conjunction with Georgetown Festival in August 2016, shoppers were privileged to watch world-renowned juggling troupe Gandini Juggling perform "Smashed" at Gurney Plaza. The mix of art and theatre performance involved nine skilled jugglers, apples and four crockery sets.

Amazing Japan 2016

Gurney Plaza organised the fourth annual Amazing Japan month in November 2016 in partnership with Pink Hibiscus Club. Aside from the best of Japanese snacks and other Japanese products on display, shoppers were also able to learn about the art of the unique Japanese tea ceremony. Other activities that were held were "My Japan" art exhibition by visual artist Mr K. Sato, a Japanese martial arts demonstration and a yukata and kimono dressing photo competition.

Sungei Wang Plaza

Cafferista 2016

Through a partnership with Barista Guide Asia and MilkLab Malaysia, Cafferista 2016 was held in July 2016. Aside from the latte art competition, shoppers also had hands-on experience in creating their own latte.

Marketing and Promotions

Anime Fiesta 2016 & Monster Hunter Generation Game Launch

The inaugural Anime Fiesta was held in July 2016 and the shopping mall came alive with all sorts of avid anime fans dress up. The objective of the event was to promote the newly created toys and hobbies cluster located on Level 2 where avid gamers and hobbyists can find the latest collectibles and connect with each other. Shoppers and anime fans were entertained an exciting line-up of events such as Cosplay Coswalk, Cosplay Competition, Cosplay Photo Voting Contest, Light Saber Performance with special appearances from Yume, Huei Chan and RFB (Raja Farouque Brigade). Concurrently, the Monster Hunter Generation took place on 16 July 2016 where ardent fans that attended the launch were kept busy with mini games tournament and video game character Cosplay. There was also a tavern set-up for Nintendo gamers' competition, merchandise display and video game demonstrations.

Mini 4WD Challenge 2016

Jointly organised with FIESTARZ Mini 4WD, a Tamiya online retailer, the 2016 Mini 4WD Fiesta took from 25 to 31 July 2016. More than 30 Mini 4WD players registered to compete in challenges track within 6 hours.

KL Comic Week 2016

One of the largest Chinese avid comic event in Malaysia, KL Comic Week was jointly organised with Comicker Union and Sungei Wang Plaza Management Corporation. With more than 30 Chinese artists' works on display, shoppers were also able to witness the talent and skill of Hong Kong thriller comic master, Master Sam Tse. Other activities included the 8-hour comic drawing marathon, thematic exhibitions, live demonstrations and workshops.

Tropicana City Mall

Da Hong Hua Tea Fair

Shoppers looked forward to the annual Da Hong Hua Tea Fair in May 2016. The week-long expo featured more than 50 tea exhibitors showcasing a variety collection of teas, brewing accessories and other paraphernalia.

My City My Farm

The first public urban gardening event that is held in a shopping mall, My City My Farm took place in June 2016 and the main atrium of the mall had a massive, indoor planting bed for shoppers to get down and dirty. During the 10-day event, visitors were able to learn the correct methods of planting, the importance of environmental conservation and healthy living. There was also a mini petting zoo to keep children entertained.

CHEER 2016

CHEER is Malaysia's most prestigious cheerleading competition and in August 2016, CHEER 2016 finals was held at a brand new arena, in the main atrium of Tropicana City Mall. Shoppers had a chance to witness the country's most talented cheerleading teams showcase their craziest stunts and best routines.

The Mines

Red Extravaganza Fashion Show

In conjunction with Chinese New Year in February 2016, the Red Extravaganza Fashion Show was organised and featured collections from Carlo Rino, Santa Barbara, Polo and Racquet Club, Uniqlo, Voir Gallery, TimeKeeper, Playboy, Royal County of Berkshire Polo Club and Hush Puppies.

It's Raining Gadgets

An augmented reality mobile application "It's Raining Gadgets" was created in collaboration with IT Comp, Lenovo and Asus to push tenants' sales and deepen engagement with shoppers in November. With a total of RM30,000 worth of gadgets up for grabs, shoppers were required to collect as many falling gadgets as possible to win prizes.

East Coast Mall

Ola Bola

East Coast Mall, in partnership with Guess, brought the cast of "Ola Bola" to the mall for a meet-and-greet session in conjunction with Malaysia Day in September 2016. The cast interacted and took photos with shoppers.

Property Summary

Portfolio - Key Information						
	Gurney Plaza	Sungei Wang Plaza	Tropicana City Property		The Mines	East Coast Mall
			Tropicana City Mall	Tropicana City Office Tower		
Gross Floor Area (sq ft)	1,229,239	511,103 ¹	639,477	129,630	1,257,086	1,034,617 ²
Net Lettable Area (sq ft) (as at 31 Dec 2016)	896,028	456,219	461,970	101,246	732,554	484,940
Number of Committed Leases (as at 31 Dec 2016)	426	229	189	4	348	194
Committed Occupancy (%) (as at 31 Dec 2016)	99.1	91.0	92.5	95.2	98.0	98.4
Car Park Lots	1,836	1,298	1,759		1,282	1,101
Year of Completion	2001 ³	1977	2008	2009	1997	2008
Acquisition Price (RM mil)	1,015 ⁴	724	540		530	310
Market Value / Net Book Value⁵ (RM mil) (as at 31 Dec 2016)	1,515	625	588		720	490
Gross Revenue (RM mil) (for FY 2016)	137.7	45.3	45.3	7.0	80.2	57.1
Net Property Income (RM mil) (for FY 2016)	96.9	27.3	25.5	4.5	51.7	36.6
Shopper Traffic (mil) (for FY 2016)	16.9	13.8	8.1	–	11.9	9.2
Key Tenants	Parkson, Golden Screen Cinemas, Marks & Spencer, Omega, Rolex, AIX Armani Exchange, Montblanc, Bell & Ross, Swarovski, Topshop Topman, British India, Cold Storage, Uniqlo, MPH, Padini Concept Store, Jatomi Fitness, DRAGON-i and Din Tai Fung	Parkson, Giant, StorHub, MR.DIY, F.O.S, SUB, Daiso, Food Emporium and KFC	AEON Big, Golden Screen Cinemas, Jatomi Fitness, RockStar Gym, TBM, Uniqlo, Kingdom Palace Restaurant, Borders, Akemi Uchi, S. Wine and Vonza	Tropicana Golf and Country Resort Berhad, Star Media Radio Group Sdn. Bhd. and CIMB Investment Bank Berhad	Giant, Spotlight, TGV Cinemas, Celebrity Fitness, SenQ, ACE Hardware, Uniqlo, Voir Gallery, F.O.S, Daiso, RockStar Gym and Mines Cruise	Parkson, AEON Big, Golden Screen Cinemas, Uniqlo, Padini Concept Store, Guess, M.A.C, Pandora, Birkenstock, L'Occitane, Daiso, The Coffee Bean & Tea Leaf, Starbucks Coffee, Manhattan Fish Market, Seoul Garden HotPot and Rip Curl

1 Equal to 47,483 square metres, representing approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza.
2 Includes the car park area as gross floor area is defined by the requisite authorities in Kuantan to be inclusive of the car park area.
3 Gurney Plaza was completed in 2001 and Gurney Plaza Extension in 2008.
4 Equal to RM800.0 million for Gurney Plaza and RM215.0 million for Gurney Plaza Extension.
5 Equal to carrying value.

Portfolio Details

Gurney Plaza

Gurney Plaza is strategically located along the famous Gurney Drive promenade in Penang and approximately three kilometres to the north-west of the city centre of Georgetown, Penang's capital. It is Penang's premier lifestyle shopping mall and a one-stop shopping and entertainment destination catering to both family and tourists.

Gurney Plaza is a nine-storey shopping mall with two levels of basement comprising nine floors of retail space from Basement 1 to Level 7, and car park spaces at the two basement levels, Level 4 to Level 8 and on the rooftop. As Penang's premier lifestyle shopping mall, it houses various well-known brands for shopping, dining and entertainment.

Gurney Plaza is anchored by Parkson and is the only mall in the north of Peninsular Malaysia to carry

well-established international brands such as Omega, Rado, Montblanc, Bell & Ross, Tissot, Thomas Sabo, Pandora, Swarovski, CK Jeans, AIX Armani Exchange, Sacoor Brothers, SuperDry, Warehouse, Miss Selfridge, Mango Man, Fossil, Red Army Watches, Chanel, Dior Parfum, Jo Malone, Make Up For Ever, Benefit Cosmetics, Bobbi Brown, Shu Uemura, Laura Mercier, Marks & Spencer, Jatomi Fitness and DRAGON-i. Din Tai Fung, an award winning popular restaurant, opened its first outlet in Penang at Gurney Plaza.

Centre Management

Peter Chan	Centre Management
Wong Shu Ying	Marketing Communications
Vanessa Lee	Leasing
Yeoh Kim Bock	Operations

Gurney Plaza - Property Information

Title	HS(D) 17259 Lot 5626 Seksyen 1, Bandar George Town, Daerah Timor Laut, Negeri Pulau Pinang and Geran 130393 Lot 5628 Seksyen 1, Bandar George Town, Daerah Timor Laut, Negeri Pulau Pinang
Net Lettable Area (sq ft) (as at 31 December 2016)	896,028
Number of Committed Leases (as at 31 December 2016)	426
Committed Occupancy (%)	99.1
Car Park Lots	1,836
Market Valuation (RM mil) Conducted by PPC International Sdn. Bhd. (as at 31 December 2016)	1,515
Gross Revenue (RM mil) (for FY 2016)	137.7
Net Property Income (RM mil) (for FY 2016)	96.9
Shopper Traffic in 2016 (mil)	16.9
Key Tenants	Parkson, Golden Screen Cinemas, Marks & Spencer, Omega, Rolex, AIX Armani Exchange, Montblanc, Bell & Ross, Swarovski, Topshop Topman, British India, Cold Storage, Uniqlo, MPH, Padini Concept Store, Jatomi Fitness, DRAGON-i and Din Tai Fung.

Gurney Plaza - Lease Expiry Profile

(as at 31 December 2016)

Year	By Gross Rental Income (%)	By Net Lettable Area (%)
2017	45.2	38.4
2018	24.8	18.2
2019 and beyond	30.0	43.4

Gurney Plaza - Trade Sector Analysis

(as at 31 December 2016)

Trade Sector	By Gross Rental Income (%)	By Net Lettable Area (%)
Fashion/Accessories	35.9	22.0
Food & Beverages	16.8	13.0
Beauty/Health	13.2	9.3
Services	6.3	3.8
Departmental Store	8.1	20.4
Leisure & Entertainment/Sports & Fitness	7.1	12.6
Electronics/I.T.	2.7	3.4
Supermarket/Hypermarket	1.3	2.7
Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	4.1	6.1
Houseware/Furnishings	3.4	4.8
Others	1.1	1.9

Portfolio Details

Gurney Plaza - Title Particulars

Title	HS(D) 17259 Lot 5626 Seksyen 1, Bandar George Town, Daerah Timor Laut, Negeri Pulau Pinang and Geran 130393 Lot 5628 Seksyen 1, Bandar George Town Daerah Timor Laut, Negeri Pulau Pinang ¹
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	The land comprised in the title: • shall not be affected by any provision of the National Land Code (Code) limiting the compensation payable on the exercise by the State Authority of a right of access or use conferred by Chapter 3 of Part Three of the Code or on the creation of a Land Administrator's right of way; and • subject to the implied condition that land is liable to be re-entered if it is abandoned for more than three years shall revert to the State only if the proprietor for the time being dies without heirs; and • the title shall confer the absolute right to all forest produce and to all oil, mineral and other natural deposits on or below the surface of the land (including the right to work or extract any such produce or deposit and remove it beyond the boundaries of the land).
Encumbrances²	There is a lease of part of the land in favour of Parkson Corporation Sdn. Bhd. registered on 13 October 2004 via presentation no. 0799SC2004029845 for a period of fifteen (15) years commencing from 3 August 2001 to 2 August 2016. There is a charge on the land in favour of Public Bank Berhad vide presentation no. 0799SC2011034916 registered on 5 October 2011.
Endorsements	Transfer of ownership by Gurney Plaza Sdn Bhd (Company No. 141240-K) to AmTrustee Berhad (Company No. 163032-V) registered on 5 October 2011 vide presentation no. 0799SC2011034910. An easement in favour of Gurney Plaza over the vehicle ramp of G Hotel to enable, among other things, the visitors of Gurney Plaza to use the vehicle ramp for the purpose of accessing Basements 1 and 2 of Gurney Plaza. An easement in favour of Gurney Plaza over part of Basement 2 of G Hotel to enable the owner of Gurney Plaza access to the exhaust fan room located on Basement 2 of G Hotel. An easement in favour of G Hotel over part of Basement 2 of Gurney Plaza to enable G Hotel access to its car parks on Basement 2 of Gurney Plaza. An easement in favour of G Hotel over part of the al-fresco area located between Gurney Plaza and G Hotel. An easement in favour of Gurney Plaza in respect of the roadway along the main entrance of G Hotel fronting Gurney Drive. An easement in favour of G Hotel in respect of the roadway along the main entrance of Gurney Plaza fronting Gurney Drive. An easement in favour of G Hotel over part of the landscape park to allow the use of buggies, carts, trishaws or similar conveyances through over and along part of the landscape park for the purpose of ferrying guests, employees, luggage, baggage and the like to and from G Hotel. An easement in favour of the landscape park over the driveway of Pine and Maple Towers for the purpose of access to and from the landscape park.

¹ The title HS(D) 17259 Lot 5626 is one of the sub-divided titles resulting from a sub-division application for the master title Geran 97112, Lot 2903 and the financing documentation for Gurney Plaza makes reference to this master title. The adjacent landscape park is on another subdivided title which was HS(D) 17261 Lot 5628 which is now under a final title Geran 130393 Lot 5628.

² The encumbrances pertain to the title HS(D) 17259 Lot 5626. The title Geran 130393 Lot 5628 is unencumbered.

Sungei Wang Plaza

Sungei Wang Plaza, which translates as ‘the river of gold’, opened in 1977. It is one of the most popular shopping centres in Kuala Lumpur’s prime shopping and commercial precinct - the ‘Golden Triangle’ – an area that comprises three bordering streets, namely Jalan Bukit Bintang, Jalan Sultan Ismail and Jalan Imbi.

A one-stop shopping centre ‘for all kinds of everything’, Sungei Wang Plaza is also well-known for its unique blend of specialty stores and entertainment outlets that appeals to the mass market. Being strategically located in the Bukit Bintang shopping precinct, it also commands strong patronage from local and international tourists. Currently, the mall is temporarily impacted by the ongoing MRT works nearby and closure of adjoining Bukit Bintang Plaza.

Sungei Wang Plaza is an 11-storey retail shopping centre with two basement levels and two elevated levels of car park. The mall’s elevated car parks are not operational as the entrance via Jalan Bulan is closed due to the redevelopment of Bukit Bintang Plaza. The mall is anchored by Parkson and other key tenants within CMMT’s strata parcels include Giant, StorHub, MR.DIY, F.O.S, SUB, Daiso, Food Emporium and KFC.

Centre Management

Elise Lim	Centre Management
Louise Loo	Marketing Communications
Tan Dee Wah	Leasing
Khalid Johan	Operations

Sungei Wang Plaza - Property Information¹

Title	205 parcels, each with individual strata title, in the building erected on land held under master title GRN 11043, Lot 1197 Seksyen 67, Bandar Kuala Lumpur, Daerah Kuala Lumpur, Negeri Wilayah Persekutuan Kuala Lumpur ² .
Net Lettable Area (sq ft) (as at 31 December 2016)	456,219
Number of Committed Leases (as at 31 December 2016)	229
Committed Occupancy (%)	91.0
Car Park Lots	1,298
Market Valuation (RM mil) Conducted by Savills (Malaysia) Sdn. Bhd. (as at 31 December 2016)	625
Gross Revenue (RM mil) (for FY 2016)	45.3
Net Property Income (RM mil) (for FY 2016)	27.3
Shopper Traffic in 2016 (mil)	13.8
Key Tenants	Parkson, Giant, StorHub, MR.DIY, F.O.S, SUB, Daiso, Food Emporium and KFC

- 1 All information in this table and pertaining to the lease expiry profile, top 10 tenants and trade sector analysis pertain to CMMT’s interest in Sungei Wang Plaza. The strata titles to Sungei Wang Plaza have been issued and the management corporation, Sungei Wang Plaza Management Corporation, is responsible for the maintenance and management of common areas within Sungei Wang Plaza, as well as mall- specific marketing and events.
- 2 The total share units allocated to the 205 strata titles owned by CMMT represent approximately 62.8% of the voting rights in Sungei Wang Plaza Management Corporation. These 205 strata parcels consist of retail space with an aggregate floor area of approximately 511,103 sq ft (representing approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza) and approximately 1,298 car park bays with an aggregate floor area of approximately 435,411 sq ft, (which comprises 100.0% of the car park bays in Sungei Wang Plaza).

Portfolio Details

Sungei Wang Plaza - Lease Expiry Profile

(as at 31 December 2016)

Year	By Gross Rental Income (%)	By Net Lettable Area (%)
2017	70.3	63.2
2018	19.9	29.0
2019 and beyond	9.8	7.8

Sungei Wang Plaza - Trade Sector Analysis

(as at 31 December 2016)

Trade Sector	By Gross Rental Income (%)	By Net Lettable Area (%)
Fashion/Accessories	25.7	15.3
Food & Beverages	18.7	15.5
Beauty/Health	10.1	6.4
Services	8.2	18.4
Departmental Store	21.6	26.3
Leisure & Entertainment/Sports & Fitness	1.0	0.8
Electronics/I.T.	1.2	1.4
Supermarket/Hypermarket	5.5	5.5
Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	4.4	4.6
Others	3.6	5.8

Sungei Wang Plaza – Title Particulars

Title	205 parcels, each with individual strata title ¹ , in the building erected on land held under master title GRN 11043, Lot 1197 Seksyen 67, Bandar Kuala Lumpur, Daerah Kuala Lumpur, Negeri Wilayah Persekutuan Kuala Lumpur ² .
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	The land must be used for commercial building only. Development on the land must comply with the development order issued by the Datuk Bandar, Kuala Lumpur.
Encumbrances	There is a lease of part of the land to Tenaga Nasional Berhad registered on 31 December 1993 vide presentation no. 21493/1993 for a period of 30 years commencing from 15 March 1993 to 14 March 2023³. Strata title bearing Geran 11043/M1/3/312 is subject to a lease of land in favour of Premier Honour Sdn Bhd registered on 26 March 2012 vide Presentation No. 9564/2012 for 30 years starting 31 August 2008 to 30 August 2038.
Endorsements⁴	Easements between Sungei Wang Plaza and Bukit Bintang Plaza vide presentation nos. 15174/2001 and 15175/2001 pursuant to two easement agreements made between the owner of Bukit Bintang Plaza, UDA Holdings Berhad (UDA) and the developer of Sungei Wang Plaza, Sungei Wang Plaza Sdn. Bhd. (SWPSB). These easements relate to two easement agreements between UDA and SWPSB whereby UDA agreed to grant to SWPSB a right of way from the entrance of Basement 1 and over the ramps of Bukit Bintang Plaza to access Levels 4 and 5 of Sungei Wang Plaza (which form part of CMMT's interest in Sungei Wang Plaza) and SWPSB in turn agreed to grant to UDA the right of way over part of Basement 2 of Sungei Wang Plaza⁵. Revision on quit rent registered on 1 September 2005 vide presentation no. 8100/2005. Registration of Sungei Wang Plaza Management Corporation (SWPMC) on 21 November 2008 vide presentation no. 1183/2008.

- ¹ The strata title held under Geran 11043/M1/3/312 is subject to a lease registered in favour of Premier Honour Sdn. Bhd. on 26 March 2012 vide presentation no. 9564/2012. The said lease is for a period of 30 years starting from 31 August 2008 to 30 August 2038.
- ² The total share units allocated to the 205 strata titles owned by CMMT represent approximately 62.8% of the voting rights in SWPMC.
- ³ This lease of part of the land to Tenaga Nasional Berhad is endorsed on the master title to Sungei Wang Plaza.
- ⁴ The endorsements are stated on the master title to Sungei Wang Plaza, which is registered in the name of SWPMC.
- ⁵ UDA has vide the Deed of Easement dated 8 June 2010 granted to Vast Winners Sdn. Bhd. (VWSB) easement rights over the ramps of Bukit Bintang Plaza to access Levels 4 and 5 of Sungei Wang Plaza and part of Basement 1 and 2 of Bukit Bintang Plaza pursuant to which the contractual rights were subsequently assigned by VWSB to MTrustee Berhad (formerly known as AmTrustee Berhad) as trustee for CMMT on 14 June 2010. Concurrently, VWSB granted to UDA easement rights over part of Basement 1 and 2 of Sungei Wang Plaza pursuant to another Deed of Easement dated 8 June 2010 which was then assigned also to MTrustee Berhad (formerly known as AmTrustee Berhad) as trustee for CMMT.

Portfolio Details

Tropicana City Mall and Tropicana City Office Tower

Tropicana City Mall and Tropicana City Office Tower are part of an integrated commercial development which is strategically located at the intersection of two major highways, making it easily accessible from Kuala Lumpur and various parts of Petaling Jaya.

With its positioning as the preferred dining, education-entertainment and gourmet shopping destination, Tropicana City Mall is a four-storey mall that offers a good mix of food and beverage tenants, established retailers and a hypermarket, which appeals to the residents from the surrounding established and affluent residential estates as well as workers from the neighbouring office catchment.

Tropicana City Office Tower is a 12-storey tower block and is seamlessly connected to the retail mall via an overhead covered link bridge.

Tropicana City Mall is anchored by an established mix of Malaysian and international retailers including AEON Big, Golden Screen Cinemas, Jatomi Fitness, RockStar Gym, TBM and Uniqlo, Kingdom Palace Restaurant, Borders, Akemi Uchi, S. Wine and Vonza.

Centre Management

Chai Wen Yew	Centre Management
Chris Chia	Marketing Communications
Mandy Yee	Leasing
Balaprakash S/O Tharrumah	Operations

Property Information	Tropicana City Mall	Tropicana City Office Tower
Title	Master Title Geran 54431, Lot 45821, Section 39, Bandar Petaling Jaya, District of Petaling, State of Selangor Darul Ehsan	
Net Lettable Area (sq ft) (as at 31 December 2016)	461,970	101,246
Number of Committed Leases (as at 31 December 2016)	189	4
Committed Occupancy (%) (as at 31 December 2016)	92.5	95.2
Car Park Lots		1,759
Market Valuation (RM mil) Conducted by PPC International Sdn. Bhd. (as at 31 December 2016)		588
Gross Revenue (RM mil) (for FY 2016)	45.3	7.0
Net Property Income (RM mil) (for FY 2016)	25.5	4.5
Shopper Traffic in 2016 (mil)	8.1	–
Key Tenants	AEON Big, Golden Screen Cinemas, Jatomi Fitness, RockStar Gym, TBM, Uniqlo, Kingdom Palace Restaurant, Borders, Akemi Uchi, S. Wine and Vonza.	Tropicana Golf and Country Resort Berhad, Star Media Radio Group Sdn. Bhd. and CIMB Investment Bank Berhad.

Lease Expiry Profile - By Committed Gross Rental Income

(as at 31 December 2016)

Year	Retail (%)	Office (%)
2017	51.5	38.1
2018	34.4	41.1
2019 and beyond	14.1	20.8

Lease Expiry Profile - By Net Lettable Area

(as at 31 December 2016)

Year	Retail (%)	Office (%)
2017	49.5	35.8
2018	35.1	44.7
2019 and beyond	15.4	19.5

Trade Sector Analysis – Retail Only

(as at 31 December 2016)

Trade Sector	By Gross Rental Income (%)	By Net Lettable Area (%)
Fashion/Accessories	13.3	8.4
Food & Beverages	29.8	20.2
Beauty/Health	13.6	10.2
Services	10.8	5.4
Leisure & Entertainment/Sports & Fitness	5.9	10.3
Electronics/I.T.	2.2	3.3
Supermarket/Hypermarket	11.8	25.5
Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	2.6	3.2
Houseware/Furnishings	5.0	4.3
Others	5.0	9.2

Tropicana City Mall & Tropicana City Office Tower – Title Particulars

Title	Master title Geran 54431, Lot 45821, Section 39, Bandar Petaling Jaya, District of Petaling, State of Selangor Darul Ehsan ¹
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	Commercial
Encumbrances²	Nil
Endorsements³	Revision of quit rent registered on 9 April 2016 vide presentation no. 81180/2016 Revision of quit rent from RM113,116 to RM121,060 according to Section 101 of the National Land Code starting 1 January 2017 Registrar's Caveat registered vide presentation number 5542/2007 on 14 February 2007 ⁴ Registrar's Caveat registered vide presentation number 44744/2007 on 29 October 2007 ⁴ Registrar's Caveat registered vide presentation number 15783/2008 on 16 April 2008 ⁴ Registrar's Caveat registered vide presentation number 34848/2008 on 30 July 2008 ⁴ Registrar's Caveat registered vide presentation number 24209/2009 on 5 June 2009 ⁴ Application for subdivision of the building registered on 5 August 2015 vide presentation no. 2863/2015

- 1 Application for subdivision for issuance of strata titles has been submitted by the developer, Tropicana City Sdn Bhd, to Pejabat Tanah dan Galian Selangor on 5 August 2015.
- 2 Relates to the Master Title. As the strata titles for Tropicana City Mall and Tropicana City Office Tower are pending issuance, the sale and purchase agreement of Tropicana City Mall and Tropicana City Office Tower has been assigned and charged to the licensed bank and upon issuance of the strata titles, a charge will be lodged accordingly.
- 3 Relates to the Master Title.
- 4 Relates to the service apartment, Tropics, which is erected on part of the land held under the Master Title and which was not part of the purchase by CMMT in the acquisition of Tropicana City Mall and Tropicana City Office Tower.

Portfolio Details

The Mines

The Mines is located at the south of the federal district of Kuala Lumpur in Seri Kembangan town centre. It is a lifestyle suburban family mall targeted at residents residing and working in the southern region of Kuala Lumpur and Selangor.

The Mines has five levels of retail and car park area and is well-known for its Venetian-like internal water canal. It is linked to the Mines International Exhibition & Convention Centre, Philea Mines Beach Resort and The Mines Resort & Golf Club.

The Mines underwent a massive asset enhancement exercise in 2008-2009, transforming it into a modern

and lifestyle suburban mall with extensive retail offerings catering to all market segments. It is anchored by Giant. Other key tenants include Spotlight, TGV Cinemas, Celebrity Fitness, SenQ, ACE Hardware, Uniqlo, Voir Gallery, F.O.S, Daiso, RockStar Gym and Mines Cruise.

Centre Management

Nelly Ooi	Centre Management
Paulin Lim	Marketing Communications
Felicia Chow	Leasing
Anandan Perumal	Operations

The Mines - Property Information

Title	No. H.S.(D) 59894, No. PT. 16722, Mukim Petaling, Daerah Petaling, Negeri Selangor Darul Ehsan
Net Lettable Area (sq ft) (as at 31 December 2016)	732,554
Number of Committed Leases (as at 31 December 2016)	348
Committed Occupancy (%) (as at 31 December 2016)	98.0
Car Park Lots	1,282
Market Valuation (RM mil) Conducted by Savills (Malaysia) Sdn. Bhd. (as at 31 December 2016)	720
Gross Revenue (RM mil) (for FY 2016)	80.2
Net Property Income (RM mil) (for FY 2016)	51.7
Shopper Traffic in 2016 (mil)	11.9
Key Tenants	Giant, Spotlight, TGV Cinemas, Celebrity Fitness, SenQ, ACE Hardware, Uniqlo, Voir Gallery, F.O.S, Daiso, RockStar Gym and Mines Cruise.

The Mines - Lease Expiry Profile

(as at 31 December 2016)

Year	By Gross Rental Income (%)	By Net Lettable Area (%)
2017	42.0	37.3
2018	41.6	44.9
2019 and beyond	16.4	17.8

The Mines - Trade Sector Analysis

(as at 31 December 2016)

Trade Sector	By Gross Rental Income (%)	By Net Lettable Area (%)
Fashion/Accessories	30.0	31.0
Food & Beverages	17.2	12.8
Beauty/Health	9.8	7.5
Services	18.3	7.8
Leisure & Entertainment/Sports & Fitness	6.5	12.7
Electronics/I.T.	4.8	4.1
Supermarket/Hypermarket	4.2	8.3
Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	2.1	2.6
Houseware/Furnishings	4.4	6.9
Others	2.7	6.3

The Mines – Title Particulars

Title	No. H.S.(D) 59894, No. PT. 16722, Mukim Petaling, Daerah Petaling, Negeri Selangor Darul Ehsan
Tenure	Leasehold interest for 99 years expiring on 20 March 2091
Restrictions-in-Interest	The land cannot be transferred, leased or charged without the prior consent of the State Authority.
Express Conditions	Commercial building
Encumbrances	There is a charge in favour of Malaysian Trustees Berhad, registered vide presentation no. 117870/2016 on 30 December 2016.
Endorsements	Transfer of ownership by Mutual Streams Sdn Bhd (Company No. 79107-P) to MTrustee Berhad (Company No. 163032-V) registered on 23 September 2010 vide presentation no. 98339/2010. An easement between The Mines and Mines International Exhibition and Convention Centre registered vide presentation no. 117530/2009 on 15 December 2009 pursuant to an easement agreement made between Mutual Streams Sdn. Bhd. and the owner of Mines International Exhibition and Convention Centre. Revision of quit rent registered on 26 May 2016 vide presentation no. 461192/2016. Revision of quit rent from RM84,975 to RM84,975 according to Section 101 of the National Land Code starting 1 January 2017.

Portfolio Details

East Coast Mall

East Coast Mall is strategically located in the heart of Kuantan's city centre in Pahang, which is the third largest state in Malaysia by geographical size. It is a modern family lifestyle mall and is part of the Putra Square development, which also comprises Zenith Hotel, Menara Zenith as well as the Sultan Ahmad Shah International Convention Centre. It is also walking distance from other local attractions and amenities such as Darul Makmur Stadium and Urban Transformation Centre, Kuantan.

East Coast Mall is a four-storey shopping mall with one level of basement and car parks located on the rooftop, third floor, ground and basement levels. With an established mix of domestic and international retailers, East Coast Mall is the market leader in Kuantan. Besides local patronage, the mall also attracts shoppers from towns within the neighbouring states of Terengganu and Kelantan, and tourists visiting the east coast of Peninsular Malaysia.

East Coast Mall is anchored by departmental store Parkson and AEON Big, while other key tenants include Golden Screen Cinemas, Uniqlo, Padini Concept Store, Guess, M.A.C, Pandora, Birkenstock, L'Occitane, Daiso, The Coffee Bean & Tea Leaf, Starbucks Coffee, Manhattan Fish Market, Seoul Garden HotPot and Rip Curl.

Centre Management

Dato' Ronnie Francis	Centre Management
Goh Heau Min	Marketing Communications
Samantha Ng	Leasing
Themelselvam S/O Suppiah	Operations

East Coast Mall - Property Information

Title	No. H.S.(D) 28468, No. PT. 92050, Bandar Kuantan, Daerah Kuantan, Negeri Pahang Darul Makmur
Net Lettable Area (sq ft) (as at 31 December 2016)	484,940
Number of Committed Leases (as at 31 December 2016)	194
Committed Occupancy (%) (as at 31 December 2016)	98.4
Car Park Lots	1,101
Market Valuation (RM mil) Conducted by Savills (Malaysia) Sdn Bhd (as at 31 December 2016)	490
Gross Revenue (RM mil) (for FY 2016)	57.1
Net Property Income (RM mil) (for FY 2016)	36.6
Shopper Traffic in 2016 (mil)	9.2
Key Tenants	Parkson, AEON Big, Golden Screen Cinemas, Uniqlo, Padini Concept Store, Guess, M.A.C, Pandora, Birkenstock, L'Occitane, Daiso, The Coffee Bean & Tea Leaf, Starbucks Coffee, Manhattan Fish Market, Seoul Garden HotPot and Rip Curl.

East Coast Mall - Lease Expiry Profile

(as at 31 December 2016)

Year	By Gross Rental Income (%)	By Net Lettable Area (%)
2017	61.5	75.7
2018	14.2	12.9
2019 and beyond	24.3	11.4

East Coast Mall - Trade Sector Analysis

(as at 31 December 2016)

Trade Sector	By Gross Rental Income (%)	By Net Lettable Area (%)
Fashion/Accessories	40.3	22.7
Food & Beverages	17.5	11.5
Beauty/Health	8.9	4.1
Services	7.6	3.0
Departmental Store	8.2	21.9
Leisure & Entertainment/Sports & Fitness	6.9	11.4
Electronics/I.T.	1.3	0.6
Supermarket/Hypermarket	4.4	20.2
Gifts/Specialty/Hobbies/Toys/Lifestyle	2.4	2.0
Houseware/Furnishings	0.4	0.2
Others	2.1	2.4

East Coast Mall – Title Particulars

Title	No. H.S.(D) 28468, No. PT. 92050, Bandar Kuantan, Daerah Kuantan, Negeri Pahang Darul Makmur
Tenure	Leasehold interest for 99 years expiring on 18 December 2106.
Restrictions-in-Interest	This land shall not be transferred, leased or charged save with the prior written approval of the State Authority.
Express Conditions	This land shall be used as a commercial building only.
Encumbrances	Nil
Endorsements	Transfer of land by Pasdec Corporation Sdn Bhd (Company No. 55031-P) to MTrustee Berhad (Company No. 163032-V) registered on 25 October 2011 vide presentation no. 9818/2011.

Mall Directory

Gurney Plaza

Persiaran Gurney
10250 Penang
Malaysia
Tel: +60 4 222 8111

Centre Management Office
Location: Lot No. 170-06-01, Level 6
Tel: +60 4 222 8222
Fax: +60 4 228 6666
www.gurneyplaza.com.my

Sungei Wang Plaza

Jalan Sultan Ismail
50250 Kuala Lumpur
Malaysia
Tel: +60 3 2148 6109

Centre Management Office¹
Location: Lot No. 6F-111, Level 6 (SWP Box No. 129)
Tel: +60 3 2117 0288
Fax: +60 3 2117 0388
www.sungeiawang.com

Tropicana City Mall

No. 3, Jalan SS20/27
47400 Petaling Jaya
Selangor Darul Ehsan
Malaysia
Tel: +60 3 7663 2801

Centre Management Office
Location: Lot B3-01, Basement B3
Tel: +60 3 7663 2888
Fax: +60 3 7663 2899
www.tropicanacitymall.com

The Mines

Jalan Dulang
MINES Resort City
43300 Seri Kembangan
Selangor Darul Ehsan
Malaysia
Tel: +60 3 8949 6333

Centre Management Office
Location: South Court, Level 4 (P.O. Box No. 228)
Tel: +60 3 8949 6288
Fax: +60 3 8949 6388
www.the-mines.com.my

East Coast Mall

Jalan Putra Square 6, Putra Square
25200 Kuantan
Pahang Darul Makmur
Malaysia
Tel: +60 9 565 8600

Centre Management Office
Location: Lot L3-01A, Level 3
Tel: +60 9 565 8688
Fax: +60 9 565 8699
www.eastcoastmall.com.my

¹ Centre Management Office for CMMT's 205 strata parcels only.

Financial Statements

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Statements of Financial Position

As at 31 December 2016

		Group		Trust	
	Note	2016 RM'000	2015 RM'000	2016 RM'000	2015 RM'000
Assets					
Plant and equipment	3	2,759	2,474	2,759	2,474
Investment properties	4	3,938,000	3,886,000	3,938,000	3,886,000
Investment in subsidiary	5	–	–	*	*
Total non-current assets		3,940,759	3,888,474	3,940,759	3,888,474
Trade and other receivables	6	16,035	16,367	15,989	16,309
Amount due from subsidiary	7	–	–	3,710	7,826
Cash and cash equivalents	8	192,097	186,976	188,853	179,550
Total current assets		208,132	203,343	208,552	203,685
Total assets		4,148,891	4,091,817	4,149,311	4,092,159
Equity					
Unitholders' capital	9	2,162,544	2,153,529	2,162,544	2,153,529
Undistributed profit		523,045	521,265	523,060	521,280
Total unitholders' funds		2,685,589	2,674,794	2,685,604	2,674,809
Liabilities					
Borrowings	10	1,268,108	951,067	969,185	951,614
Tenants' deposits		40,914	58,031	40,914	58,031
Amount due to subsidiary	7	–	–	300,000	–
Total non-current liabilities		1,309,022	1,009,098	1,310,099	1,009,645
Borrowings	10	43,700	307,297	43,700	7,500
Tenants' deposits		53,432	38,901	53,432	38,901
Trade and other payables	11	57,148	61,727	56,476	61,304
Amount due to subsidiary	7	–	–	–	300,000
Total current liabilities		154,280	407,925	153,608	407,705
Total liabilities		1,463,302	1,417,023	1,463,707	1,417,350
Total equity and liabilities		4,148,891	4,091,817	4,149,311	4,092,159
Net assets value (NAV)					
- before income distribution		2,685,589	2,674,794	2,685,604	2,674,809
- after income distribution		2,599,658	2,594,005	2,599,673	2,594,020
Units in circulation ('000)	9	2,031,458	2,024,799	2,031,458	2,024,799
NAV per unit (RM)					
- before income distribution		1.3220	1.3210	1.3220	1.3210
- after income distribution		1.2797	1.2811	1.2797	1.2811

* Denotes RM2 issued and paid-up share capital in CMMT MTN Berhad.

The accompanying notes form an integral part of these financial statements.

Statements of Profit or Loss and Other Comprehensive Income

For the Financial Year ended 31 December 2016

	Note	Group		Trust	
		2016 RM'000	2015 RM'000	2016 RM'000	2015 RM'000
Gross rental income		292,948	272,810	292,948	272,810
Car park income		24,614	21,547	24,614	21,547
Other revenue		55,055	50,454	55,055	50,454
Gross revenue		372,617	344,811	372,617	344,811
Maintenance expenses		(28,846)	(26,126)	(28,846)	(26,126)
Utilities		(52,600)	(48,358)	(52,600)	(48,358)
Other operating expenses	12	(48,679)	(43,942)	(48,679)	(43,942)
Property operating expenses		(130,125)	(118,426)	(130,125)	(118,426)
Net property income		242,492	226,385	242,492	226,385
Interest income		5,738	4,731	5,738	4,731
Fair value gain of investment properties (net)		4,032	70,889	4,032	70,889
Net investment income		252,262	302,005	252,262	302,005
Manager's management fee	13	(23,444)	(21,989)	(23,444)	(21,989)
Trustee's fee	14	(401)	(400)	(401)	(400)
Auditor's fee		(191)	(180)	(184)	(173)
Tax agent's fee		(25)	(24)	(21)	(21)
Valuation fee		(253)	(187)	(253)	(187)
Finance costs	15	(59,550)	(51,547)	(59,550)	(51,547)
Other non-operating expenses		(639)	(1,655)	(650)	(1,665)
Total non-operating and trust expenses		(84,503)	(75,982)	(84,503)	(75,982)
Profit before taxation		167,759	226,023	167,759	226,023
Tax expense	16	–	–	–	–
Profit for the financial year		167,759	226,023	167,759	226,023
Other comprehensive income, net of tax		–	–	–	–
Total comprehensive income for the financial year		167,759	226,023	167,759	226,023
Distribution adjustments	A	3,417	(63,070)	3,417	(63,070)
Income available for distribution		171,176	162,953	171,176	162,953
Distributable income¹	18	171,120	162,800	171,120	162,800

The accompanying notes form an integral part of these financial statements.

Statements of Profit or Loss and Other Comprehensive Income

For the Financial Year ended 31 December 2016 (continued)

	Note	Group		Trust	
		2016 RM'000	2015 RM'000	2016 RM'000	2015 RM'000
Total comprehensive income for the financial year is made up as follows:					
Realised		163,727	155,134	163,727	155,134
Unrealised		4,032	70,889	4,032	70,889
		167,759	226,023	167,759	226,023
Earnings per unit (sen)	17				
- before Manager's management fee		9.43	13.08	9.43	13.08
- after Manager's management fee		8.27	11.92	8.27	11.92
Distribution per unit (DPU) (sen)					
- for the financial year	18	8.43	8.60	8.43	8.60
Income distribution²					
Distribution of 4.61 sen per unit from 1.1.2015 to 8.7.2015				–	82,011
Distribution of 3.99 sen per unit from 9.7.2015 to 31.12.2015				–	80,789
Distribution of 4.20 sen per unit from 1.1.2016 to 30.6.2016				85,189	–
Declared distribution of 4.23 sen per unit from 1.7.2016 to 31.12.2016 ³	27			85,931	–
				171,120	162,800

¹ The difference between income available for distribution and distributable income is due to the rollover adjustment for the rounding effect of DPU.

² Income distributable to resident individuals, non-resident individuals, resident institutional investors, non-resident institutional investors and non-resident companies are subject to withholding tax.

³ The declared final income distribution will be recognised in the immediate subsequent financial year.

	Note	Group		Trust	
		2016 RM'000	2015 RM'000	2016 RM'000	2015 RM'000
Note A					
Distribution adjustments comprise:					
Fair value gain of investment properties (net)	4	(4,032)	(70,889)	(4,032)	(70,889)
Manager's management fee payable in units		9,778	9,091	9,778	9,091
Depreciation	3	1,331	1,110	1,331	1,110
Amortisation of transaction costs on borrowings	15	1,424	1,106	1,171	852
Tax and other adjustments		(5,084)	(3,488)	(4,831)	(3,234)
		3,417	(63,070)	3,417	(63,070)

The accompanying notes form an integral part of these financial statements.

Statements of Changes in Net Asset Value

For the Financial Year ended 31 December 2016

	Unitholders' capital RM'000	Undistributed profit Realised RM'000	Unrealised RM'000	Total unitholders' funds RM'000
Group				
At 1 January 2015	1,832,286	23,721	431,451	2,287,458
Total comprehensive income for the financial year	–	155,134	70,889	226,023
Unitholders' transactions				
- Placement of units	316,319	–	–	316,319
- Units issued as part satisfaction of the Manager's management fee	8,573	–	–	8,573
- Placement expenses	(3,649)	–	–	(3,649)
- Distribution paid to unitholders	–	(159,930)	–	(159,930)
Increase/(Decrease) in net assets resulting from unitholders' transactions	321,243	(159,930)	–	161,313
At 31 December 2015/1 January 2016	2,153,529	18,925	502,340	2,674,794
Total comprehensive income for the financial year	–	163,727	4,032	167,759
Unitholders' transactions				
- Units issued as part satisfaction of the Manager's management fee	9,700	–	–	9,700
- Placement expenses	(685)	–	–	(685)
- Distribution paid to unitholders	–	(165,979)	–	(165,979)
Increase/(Decrease) in net assets resulting from unitholders' transactions	9,015	(165,979)	–	(156,964)
At 31 December 2016	2,162,544	16,673	506,372	2,685,589

Note 9

Statements of Changes in Net Asset Value

For the Financial Year ended 31 December 2016 (continued)

	Unitholders' capital RM'000	Undistributed profit Realised RM'000	Undistributed profit Unrealised RM'000	Total unitholders' funds RM'000
Trust				
At 1 January 2015	1,832,286	23,736	431,451	2,287,473
Total comprehensive income for the financial year	–	155,134	70,889	226,023
Unitholders' transactions				
- Placement of units	316,319	–	–	316,319
- Units issued as part satisfaction of the Manager's management fee	8,573	–	–	8,573
- Placement expenses	(3,649)	–	–	(3,649)
- Distribution paid to unitholders	–	(159,930)	–	(159,930)
Increase/(Decrease) in net assets resulting from unitholders' transactions	321,243	(159,930)	–	161,313
At 31 December 2015/1 January 2016	2,153,529	18,940	502,340	2,674,809
Total comprehensive income for the financial year	–	163,727	4,032	167,759
Unitholders' transactions				
- Units issued as part satisfaction of the Manager's management fee	9,700	–	–	9,700
- Placement expenses	(685)	–	–	(685)
- Distribution paid to unitholders	–	(165,979)	–	(165,979)
Increase/(Decrease) in net assets resulting from unitholders' transactions	9,015	(165,979)	–	(156,964)
At 31 December 2016	2,162,544	16,688	506,372	2,685,604

Note 9

Statements of Cash Flows

For the Financial Year ended 31 December 2016

	Note	Group		Trust	
		2016 RM'000	2015 RM'000	2016 RM'000	2015 RM'000
Cash flows from operating activities					
Profit before taxation		167,759	226,023	167,759	226,023
Adjustments for:					
Manager's management fee paid/payable in units		9,778	9,091	9,778	9,091
Depreciation	3	1,331	1,110	1,331	1,110
Fair value gain of investment properties (net)	4	(4,032)	(70,889)	(4,032)	(70,889)
Finance costs	15	59,550	51,547	59,550	51,547
Interest income		(5,738)	(4,731)	(5,738)	(4,731)
Property and equipment written off		28	2	28	2
Operating profit before changes in working capital		228,676	212,153	228,676	212,153
Changes in working capital:					
Trade and other receivables		332	(3,065)	320	(3,061)
Trade and other payables		729	9,598	498	9,599
Tenants' deposits		(2,586)	12,419	(2,586)	12,419
Amount due to subsidiary		–	–	(9,535)	(13,600)
Net cash generated from operating activities		227,151	231,105	217,373	217,510
Cash flows from investing activities					
Acquisition of investment properties	4	–	(547,311)	–	(547,311)
Acquisition of plant and equipment	3	(1,644)	(1,722)	(1,644)	(1,722)
Capital expenditure on investment properties		(53,235)	(54,044)	(53,235)	(54,044)
Interest received		5,738	4,731	5,738	4,731
Net cash used in investing activities		(49,141)	(598,346)	(49,141)	(598,346)

The accompanying notes form an integral part of these financial statements.

Statements of Cash Flows

For the Financial Year ended 31 December 2016 (continued)

	Note	Group		Trust	
		2016 RM'000	2015 RM'000	2016 RM'000	2015 RM'000
Cash flows from financing activities					
Interest paid		(57,539)	(49,680)	(44,159)	(36,337)
Distribution paid to unitholders		(165,979)	(159,930)	(165,979)	(159,930)
Payment of financing expenses		(988)	(4,632)	(408)	(4,632)
Payment of listing and placement expenses		(983)	(3,351)	(983)	(3,351)
Placement of pledged deposits with a licensed bank		(3,210)	–	–	–
Proceeds from re-issuance of medium term notes		300,000	–	–	–
Proceeds from interest-bearing borrowings		75,500	550,880	75,500	550,880
Proceeds from placement of new units		–	316,319	–	316,319
Repayment of interest-bearing borrowings		(22,900)	(251,900)	(22,900)	(251,900)
Repayment of medium term notes		(300,000)	–	–	–
Withdrawal of pledged deposits from a licensed bank		6,710	–	–	–
Net cash (used in)/generated from financing activities		(169,389)	397,706	(158,929)	411,049
Net increase in cash and cash equivalents		8,621	30,465	9,303	30,213
Cash and cash equivalents at 1 January		180,236	149,771	179,550	149,337
Cash and cash equivalents at 31 December		188,857	180,236	188,853	179,550
Cash and cash equivalents at end of the financial year comprise:					
Deposits placed with licensed banks		158,651	153,821	155,421	146,402
Cash and bank balances		33,446	33,155	33,432	33,148
Less: Pledged deposits	8	192,097 (3,240)	186,976 (6,740)	188,853 –	179,550 –
		188,857	180,236	188,853	179,550

Notes to the Financial Statements

CapitaLand Malaysia Mall Trust (CMMT or the Trust) is a Malaysia domiciled real estate investment trust (REIT) constituted by a deed dated 7 June 2010 (which was amended and restated on 15 September 2015) (the Deed) entered into between CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (the Manager) and MTrustee Berhad (formerly known as AmTrustee Berhad) (the REIT Trustee). The Deed was registered with Securities Commission Malaysia (SC) on 9 June 2010 and is regulated by the SC, the SC’s Guidelines on Real Estate Investment Trusts (REITs Guidelines), the Listing Requirements of Bursa Malaysia Securities Berhad (Bursa Securities) and other relevant laws and requirements.

CMMT is listed on the Main Market of Bursa Securities.

The consolidated financial statements reported for the financial year ended 31 December 2016 relates to the Trust and its subsidiary (the Group).

The principal activity of CMMT is to invest, on a long term basis, in a portfolio of income-producing real estate primarily used for retail purposes and located primarily in Malaysia or such other non-real estate investments as may be permitted under the Deed, the REITs Guidelines or by the SC, with a view of providing unitholders with long term and sustainable distribution of income and potential capital growth. The principal activity of the subsidiary is as disclosed in Note 5 to the financial statements. There have been no significant changes in the nature of these activities during the financial year.

The immediate and ultimate holding corporations during the financial year are CapitaLand Mall Asia Limited and CapitaLand Limited (CL) respectively. Both corporations are incorporated in the Republic of Singapore.

The principal activity of the Manager is to manage and administer CMMT. The Manager, incorporated in Malaysia, is a subsidiary of CapitaLand Retail RECM Pte. Ltd. which is incorporated in the Republic of Singapore and is a wholly-owned subsidiary of CL.

The Manager’s registered office and principal place of business are as follows:

Level 2, Ascott Kuala Lumpur
No. 9, Jalan Pinang
50450 Kuala Lumpur

The financial statements were approved by the Manager’s Board of Directors on 8 February 2017.

Notes to the Financial Statements

1. Basis of preparation

(a) Statement of compliance

The financial statements of the Group and of the Trust have been prepared in accordance with the provisions of the Deed, the REITs Guidelines, Malaysian Financial Reporting Standards (MFRSs) and International Financial Reporting Standards.

The following are accounting standards, amendments and interpretations of the MFRSs that have been issued by the Malaysian Accounting Standards Board (MASB) but have not been adopted by the Group and the Trust:

MFRSs, Interpretations and amendments effective for annual periods beginning on or after 1 January 2017

- Amendments to MFRS 12, *Disclosure of Interests in Other Entities (Annual Improvements to MFRS Standards 2014 – 2016 Cycle)*
- Amendments to MFRS 107, *Statement of Cash Flows – Disclosure Initiative*
- Amendments to MFRS 112, *Income Taxes – Recognition of Deferred Tax Assets for Unrealised Losses*

MFRSs, Interpretations and amendments effective for annual periods beginning on or after 1 January 2018

- MFRS 9, *Financial Instruments* (2014)
- MFRS 15, *Revenue from Contracts with Customers*
- Clarifications to MFRS 15, *Revenue from Contracts with Customers*
- IC Interpretation 22, *Foreign Currency Transactions and Advance Consideration*
- Amendments to MFRS 1, *First-time Adoption of Malaysian Financial Reporting Standards (Annual Improvements to MFRS Standards 2014 – 2016 Cycle)*
- Amendments to MFRS 2, *Share-based Payment – Classification and Measurement of Share-based Payment Transactions*
- Amendments to MFRS 4, *Insurance Contracts – Applying MFRS 9 Financial Instruments with MFRS 4, Insurance Contracts*
- Amendments to MFRS 128, *Investments in Associates and Joint Ventures (Annual Improvements to MFRS Standards 2014 – 2016 Cycle)*
- Amendments to MFRS 140, *Investment Property – Transfers of Investment Property*

MFRSs, Interpretations and amendments effective for annual periods beginning on or after 1 January 2019

- MFRS 16, *Leases*

MFRSs, Interpretations and amendments effective for annual periods beginning on or after a date yet to be confirmed

- Amendments to MFRS 10, *Consolidated Financial Statements* and MFRS 128, *Investments in Associates and Joint Ventures – Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

Notes to the Financial Statements

1. Basis of preparation (continued)

(a) Statement of compliance (continued)

The Group and the Trust plan to apply the abovementioned accounting standards, amendments and interpretations:

- from the annual period beginning on 1 January 2017 for those amendments that are effective for annual periods beginning on or after 1 January 2017, except for Amendments to MFRS 12 which is not applicable to the Group and the Trust.
- from the annual period beginning on 1 January 2018 for those accounting standards, amendments or interpretation that are effective for annual periods beginning on or after 1 January 2018, except for Amendments to MFRS 1, MFRS 2, MFRS 4, MFRS 128 and IC Interpretation 22 which are not applicable to the Group and the Trust.
- from the annual period beginning on 1 January 2019 for the accounting standard that is effective for annual periods beginning on or after 1 January 2019.

The initial application of the accounting standards, amendments or interpretations are not expected to have any material financial impacts to the current and prior period financial statements of the Group and of the Trust except as mentioned below:

MFRS 15, *Revenue from Contracts with Customers*

MFRS 15 replaces the guidance in MFRS 111, *Construction Contracts*, MFRS 118, *Revenue*, IC Interpretation 13, *Customer Loyalty Programmes*, IC Interpretation 15, *Agreements for Construction of Real Estate*, IC Interpretation 18, *Transfer of Assets from Customers* and IC Interpretation 131, *Revenue - Barter Transactions Involving Advertising Services*.

The Group is currently assessing the financial impact that may arise from the adoption of MFRS 15.

MFRS 9, *Financial Instruments*

MFRS 9 replaces the guidance in MFRS 139, *Financial Instruments: Recognition and Measurement* on the classification and measurement of financial assets and financial liabilities, and on hedge accounting.

The Group is currently assessing the financial impact that may arise from the adoption of MFRS 9.

MFRS 16, *Leases*

MFRS 16 replaces the guidance in MFRS 117, *Leases*, IC Interpretation 4, *Determining whether an Arrangement contains a Leases*, IC Interpretation 115, *Operating Leases – Incentives* and IC Interpretation 127, *Evaluating the Substance of Transactions Involving the Legal Form of a Lease*.

The Group is currently assessing the financial impact that may arise from the adoption of MFRS 16.

(b) Basis of measurement

The financial statements have been prepared on the historical cost basis except for investment properties as disclosed in Note 2(d) and financial instruments as disclosed in Note 2(f).

(c) Functional and presentation currency

These financial statements are presented in Ringgit Malaysia (RM), which is the Group's and the Trust's functional currency. All financial information presented in RM has been rounded to the nearest thousand, unless otherwise stated.

Notes to the Financial Statements

1. Basis of preparation (continued)

(d) Use of estimates and judgements

The preparation of the financial statements in conformity with MFRSs requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

There are no significant areas of estimation uncertainty and critical judgement in applying accounting policies that have significant effect on the amounts recognised in the financial statements other than valuation of investment properties as disclosed in Note 4.

2. Significant accounting policies

The accounting policies set out below have been applied consistently to the periods presented in these financial statements, and have been applied consistently by Group entities, unless otherwise stated.

(a) Basis of consolidation

Subsidiary

Subsidiary is an entity controlled by the Trust. The financial statements of the subsidiary are included in the consolidated financial statements from the date that control commences until the date that control ceases.

The Group controls an entity when it is exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity.

Investment in subsidiary is measured in the Trust's statement of financial position at cost less any impairment losses.

Business combinations

Business combinations are accounted for using the acquisition method from the acquisition date, which is the date on which control is transferred to the Group.

Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised income and expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements.

(b) Foreign currencies

Transactions in foreign currencies are translated to the functional currency of the Group and of the Trust at exchange rates at the dates of transaction. Monetary assets and liabilities denominated in foreign currencies at the end of the reporting period are retranslated to the functional currency at the exchange rates at that date. Non-monetary assets and liabilities denominated in foreign currencies are not retranslated at the end of the reporting date, except for those that are measured at fair value are retranslated to the functional currency at the exchange rate at the date that the fair value was determined. Foreign currency differences arising on retranslation are recognised in profit or loss.

Notes to the Financial Statements

2. Significant accounting policies (continued)

(c) Plant and equipment

(i) Recognition and measurement

Items of plant and equipment are stated at cost less accumulated depreciation and accumulated impairment losses, if any.

Cost includes expenditures that are directly attributable to the acquisition of the asset and any other costs directly attributable to bringing the asset to working condition for its intended use, and the costs of dismantling and removing the items and restoring the site on which they are located.

Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

When significant parts of an item of plant and equipment have different useful lives, they are accounted for as separate items (major components) of plant and equipment.

The gain and loss on disposal of an item of plant and equipment is determined by comparing the proceeds from disposal with the carrying amount of plant and equipment and is recognised net within “other operating income” and “other operating expenses” respectively in profit or loss.

(ii) Subsequent costs

The cost of replacing part of an item of plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group or to the Trust and its cost can be measured reliably. The carrying amount of the replaced part is derecognised and is charged to profit or loss. The costs of the day-to-day servicing of equipment are recognised in profit or loss as incurred.

(iii) Depreciation

Depreciation is based on the cost of an asset less its residual value. Significant parts of individual assets are assessed, and if a part has a useful life that is different from the remainder of that asset, then that part is depreciated separately.

Depreciation is recognised in profit or loss on a straight-line basis over the estimated useful lives of each part of an item of plant and equipment from the date that they are available for use.

The estimated useful lives for the current and comparative periods are as follows:

Computer	2 - 3 years
Office equipment	3 - 5 years

Depreciation methods, useful lives and residual values are reassessed at the end of the reporting period, and adjusted as appropriate.

Notes to the Financial Statements

2. Significant accounting policies (continued)

(d) Investment properties

Investment properties are properties which are owned or held under leasehold interest to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes. Investment properties are measured initially at cost and subsequently at fair value with any changes therein recognised in profit or loss for the year in which they arise. Cost includes expenditure that is directly attributable to the acquisition of the investment properties.

Fair value is determined in accordance with the Deed and the REITs Guidelines which requires the investment properties to be valued by independent professional valuers. In determining the fair value, the valuers used valuation techniques which involve certain estimates. In relying on the valuation reports, the Manager has exercised its judgement and is satisfied that the valuation methods and estimates reflect the current market conditions. The fair value is determined once every six months based on internal valuation or independent professional valuation.

When an investment property is disposed of, the resulting gain or loss is recognised in profit or loss in the year in which the item is derecognised.

Investment properties are not depreciated. The properties are subject to continued maintenance and are regularly revalued on the basis mentioned above. For taxation purposes, the Group or CMMT may claim capital allowances on assets that qualify as plant and machinery under the Income Tax Act, 1967.

(e) Leases

Lessees of an operating lease

Leases, where the Group and the Trust does not assume substantially all the risks and rewards of ownership are classified as operating leases. Payments made under the operating leases are recognised in profit or loss on a straight-line basis over the term of the lease. Lease incentives received are recognised in profit or loss as an integral part of the total lease expense over the term of the lease. Contingent rents are charged to profit or loss in the reporting period in which they are incurred.

Lessors of an operating lease

Assets of the Group and of the Trust subject to operating leases are included in investment properties and are stated at fair value and not depreciated.

Notes to the Financial Statements

2. Significant accounting policies (continued)

(f) Financial instruments

Non-derivative financial instruments

Non-derivative financial instruments comprise trade and other receivables, cash and cash equivalents, borrowings and trade and other payables.

(i) Trade and other receivables

Trade and other receivables are recognised initially at fair value. Subsequent to initial recognition, they are measured at amortised cost using the effective interest method, less impairment losses, if any.

(ii) Cash and cash equivalents

Cash and cash equivalents consist of cash on hand, bank balances and deposits placed with licensed banks. For the purpose of the statements of cash flows, cash and cash equivalents are presented net of pledged deposits.

(iii) Interest-bearing borrowings

Interest-bearing borrowings are recognised initially at fair value less attributable transaction costs. Subsequent to initial recognition, interest-bearing borrowings are stated at amortised cost using the effective interest method.

(iv) Trade and other payables

Trade and other payables, including tenants' deposits, are recognised initially at fair value. Subsequent to initial recognition, they are measured at amortised cost using the effective interest method.

A financial instrument is recognised in the statement of financial position when, and only when, the Group or the Trust becomes a party to the contractual provisions of the instrument. Financial assets are derecognised when, and only when, the Group's and the Trust's contractual rights to the cash flows from the financial assets expire or control of the asset is not retained or substantially all of the risks and rewards of ownership of the financial asset are transferred to another party. On derecognition of a financial asset, the difference between the carrying amount and the sum of the consideration received (including any new asset obtained less any new liability assumed) and any cumulative gain or loss that had been recognised in equity is recognised in the profit or loss. A financial liability is derecognised when, and only when the Group's and the Trust's obligations specified in the contract expire or are discharged or cancelled. On derecognition of a financial liability, the difference between the carrying amount of the financial liability extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised in profit or loss.

Notes to the Financial Statements

2. Significant accounting policies (continued)

(g) Impairment

(i) Financial assets

All financial assets are assessed at each reporting date whether there is any objective evidence of impairment as a result of one or more events having an impact on the estimated future cash flows of the assets. Losses expected as a result of future events, no matter how likely, are not recognised.

An impairment loss in respect of a financial asset measured at amortised cost is recognised in profit or loss and is measured as the difference between its carrying amount and the present value of estimated future cash flows discounted at the asset's original effective interest rate. The carrying amount of the asset is reduced through the use of an allowance account.

Individually significant financial assets are tested for impairment on an individual basis. The remaining financial assets are assessed collectively in groups that share similar credit risk characteristics.

All impairment losses are recognised in profit or loss. An impairment loss is reversed, to the extent that the asset's carrying amount does not exceed what the carrying amount would have been had the impairment not been recognised at the date the impairment is reversed, if the reversal can be objectively related to an event occurring after the impairment loss was recognised. For financial assets measured at amortised cost, the reversal is recognised in profit or loss.

(ii) Other assets

The carrying amounts of other assets, other than investment properties, are reviewed at the end of each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated.

For the purpose of impairment testing, assets are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or cash-generating units.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs of disposal. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or cash-generating unit.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its estimated recoverable amount. Impairment loss is recognised in profit or loss. Impairment losses recognised in respect of cash-generating units are allocated to reduce the carrying amounts of assets in the cash-generating unit on a pro-rata basis.

Notes to the Financial Statements

2. Significant accounting policies (continued)

(h) Equity instruments

Instruments classified as equity are measured at cost on initial recognition and are not remeasured subsequently. Costs directly attributable to the issue of instruments classified as equity are recognised as a deduction from equity.

(i) Provisions

A provision is recognised if, as a result of a past event, the Group and the Trust have a present legal or constructive obligation that can be estimated reliably, and is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as finance costs.

(j) Revenue recognition

(i) Rental income

Rental income from leasing out of shopping mall shops and space is recognised in profit or loss on a straight-line basis over the term of the lease and such revenue includes base rent, service charges and advertising and promotion fee. Contingent rents, which include gross turnover rent, are recognised as income in the financial year on an accrual basis. No contingent rents are recognised if there are uncertainties due to the possible return of amounts received.

(ii) Car park income

Car park income is recognised on an accrual basis.

(iii) Other revenue

Other revenue consists of recovery of utilities charges from tenants, kiosk rental, advertising and other miscellaneous income. These are recognised on an accrual basis.

(k) Interest income

Interest income is recognised as it accrues, using the effective interest method in profit or loss.

Notes to the Financial Statements

2. Significant accounting policies (continued)

(l) Expenses

(i) Property operating expenses

Property operating expenses consist of quit rent, assessment, utilities, property management fee, property management reimbursement, advertising and promotion, maintenance and other property outgoings in relation to investment properties where such expenses are the responsibility of CMMT and are recognised on an accrual basis in the year in which they are incurred.

(ii) Manager's management fee

Manager's management fee is recognised on an accrual basis using the applicable formula as set out in Note 13.

(iii) Trustee's fee

Trustee's fee is recognised on an accrual basis using the applicable formula as set out in Note 14.

(iv) Finance costs

Finance costs comprise interest expense on borrowings and amortisation of transaction costs on borrowings which are expensed in profit or loss using the effective interest method over the tenure of borrowings.

(m) Tax expense

Tax expense comprises current and deferred tax. Current tax and deferred tax are recognised in profit or loss.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted by the end of the reporting period, and any adjustment to tax payable in respect of previous financial years.

Deferred tax is recognised using the liability method, providing for temporary differences between the carrying amounts of assets and liabilities in the statements of financial position and their tax bases. Deferred tax is not recognised for the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss. Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity.

A deferred tax asset is recognised to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilised. Deferred tax assets are reviewed at each reporting period and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Notes to the Financial Statements

2. Significant accounting policies (continued)

(n) Operating segments

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group’s other components. All operating segments’ results are reviewed and used by the Group’s Chief Operating Decision Makers for strategic decision making and resources allocation.

(o) Fair value measurements

Fair value of an asset or a liability, except for lease transactions, is determined as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The measurement assumes that the transaction to sell the asset or transfer the liability takes place either in the principal market or in the absence of a principal market, in the most advantageous market.

For non-financial asset, the fair value measurement takes into account a market participant’s ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

When measuring the fair value of an asset or a liability, the Group uses observable market data as far as possible. Fair value are categorised into different levels in a fair value hierarchy based on the input used in the valuation technique as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities that the Group can access at the measurement date.
- Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly.
- Level 3: unobservable inputs for the asset or liability.

The Group recognises transfers between the levels of the fair value hierarchy as of the date of the event or change in circumstances that caused the transfers.

Notes to the Financial Statements

3. Plant and equipment

	Computer RM'000	Office equipment RM'000	Total RM'000
Group and the Trust			
Cost			
At 1 January 2015	2,534	3,337	5,871
Additions	634	1,088	1,722
Write-off	(1)	(13)	(14)
At 31 December 2015/1 January 2016	3,167	4,412	7,579
Additions	494	1,150	1,644
Write-off	(429)	(3)	(432)
At 31 December 2016	3,232	5,559	8,791
Accumulated depreciation			
At 1 January 2015	1,880	2,127	4,007
Depreciation for the year	616	494	1,110
Write-off	(1)	(11)	(12)
At 31 December 2015/1 January 2016	2,495	2,610	5,105
Depreciation for the year	539	792	1,331
Write-off	(403)	(1)	(404)
At 31 December 2016	2,631	3,401	6,032
Carrying amounts			
At 1 January 2015	654	1,210	1,864
At 31 December 2015/1 January 2016	672	1,802	2,474
At 31 December 2016	601	2,158	2,759

Notes to the Financial Statements

4. Investment properties

	2016 RM'000	2015 RM'000
Group and the Trust		
At 1 January	3,886,000	3,233,000
Acquisition of investment property	–	547,311
Capital expenditure capitalised	47,968	34,800
Fair value gain (net)	4,032	70,889
At 31 December	3,938,000	3,886,000

In the previous financial year, CMMT acquired Tropicana City Mall and Tropicana City Office Tower (collectively known as Tropicana City Property) on 10 July 2015, for a total consideration of RM540,000,000.

Investment properties refer to shopping malls and office block which primarily generate rental income from leasing out retail shops and space to third parties via lease or licence agreements. CMMT's lease agreements generally contain an initial non-cancellable period of three years and subsequent renewals are negotiated with the lessee. The rental rates are negotiated based on prevailing market rates and are pre-agreed over the lease tenure. Gross turnover rent of RM10,201,000 (2015 : RM9,596,000), which represents CMMT's contingent rent, was recognised as income in the financial year.

Gurney Plaza, The Mines and Tropicana City Property, collectively valued at RM2,823,000,000 (2015 : RM2,637,000,000), are pledged as securities for borrowings as disclosed in Note 10. East Coast Mall and CMMT's 205 strata titles in Sungei Wang Plaza are unencumbered as at the reporting date.

Details of the investment properties are as follows:

	Date of acquisition	Date of valuation	Location	Tenure	Cost of investment ¹ RM'000	Fair value at 31 December 2016 RM'000	% of fair value to NAV at 31 December 2016 ³ %
Gurney Plaza	14 Jul 2010 & 28 Mar 2011	31 Dec 2016	Penang	Freehold	1,128,717	1,515,000	56.4
Sungei Wang Plaza	14 Jul 2010	31 Dec 2016	Kuala Lumpur	Freehold	757,338	625,000	23.3
The Mines	14 Jul 2010	31 Dec 2016	Selangor	Leasehold ²	583,314	720,000	26.8
Tropicana City Property	10 Jul 2015	31 Dec 2016	Selangor	Freehold	570,819	588,000	21.9
East Coast Mall	14 Nov 2011	31 Dec 2016	Pahang	Leasehold ²	391,440	490,000	18.2
					3,431,628	3,938,000	

¹ Cost of investment comprised purchase consideration and capital expenditure incurred from inception up to the end of the financial year.

² The lease has an unexpired lease period of more than 50 years.

³ This is computed based on market value of the investment properties over the NAV before income distribution as at 31 December 2016. This is calculated in accordance with the REITs Guidelines.

Notes to the Financial Statements

4. Investment properties (continued)

All land/strata titles have been transferred and registered in the name of the Trustee except for Tropicana City Property¹ which is pending the subdivision for issuance of strata titles.

The following are recognised in profit or loss in respect of investment properties:

	2016 RM'000	2015 RM'000
Group and the Trust		
Gross revenue	372,617	344,811
Less: Property operating expenses	(130,125)	(118,426)
Net property income	242,492	226,385

(a) Fair value information

The fair value of investment properties of the Group and of the Trust are categorised as Level 3. The properties are valued by independent external valuers using the income capitalisation approach, also known as investment approach. This valuation approach takes into account of the gross revenue and outgoings to estimate the net income for the properties. Capitalisation rates are then applied to the net income of the investment properties to determine the market value of the investment properties.

The significant unobservable input is the reversionary capitalisation rate used in the approach adopted above. The estimated fair value would increase (decrease) if the capitalisation rate was lower (higher). Reversionary capitalisation rates for the investment properties range from 6.5% to 7.3%.

(b) Valuation processes applied to the Group and the Trust for Level 3 fair value

The fair value of investment properties is determined by independent external valuers having appropriate recognised professional qualifications and recent experience in the location and category of the investment properties being valued. The external valuers provide the fair value of the Group's and of the Trust's investment property portfolio every six months. The resultant fair value gain or loss arising from the change in valuation is assessed by the Manager after obtaining the valuation reports from the external valuers.

(c) Highest and best use

The Group's and the Trust's investment properties are currently valued at their highest and best use. The investment properties are situated within sizeable catchment populations with strong demand for shopping mall and office space.

¹ As the strata titles for Tropicana City Property are pending issuance, the sale and purchase agreement of Tropicana City Property has been assigned and charged to the licensed bank and upon issuance of the strata titles, a charge will be lodged accordingly.

Notes to the Financial Statements

5. Investment in subsidiary

	2016 RM'000	2015 RM'000
Trust		
At cost		
Unquoted shares	*	*

* Denotes RM2

CMMT holds 100.0% equity interest in CMMT MTN Berhad, a special purpose vehicle incorporated in Malaysia. Its principal activity is to raise financing on behalf of and on-lending to CMMT through the issuance of rated/unrated secured Medium Term Notes (MTN) under the Medium Term Notes Programme as set out in Note 10(b).

6. Trade and other receivables

	Group		Trust	
	2016 RM'000	2015 RM'000	2016 RM'000	2015 RM'000
Trade				
Trade receivables	8,806	9,435	8,806	9,435
Less: Allowance for impairment losses	(1,313)	(914)	(1,313)	(914)
	7,493	8,521	7,493	8,521
Non-trade				
Deposit	840	803	840	803
Interest receivable	539	486	539	475
Prepayments	160	135	114	88
Other receivables	7,003	6,422	7,003	6,422
	8,542	7,846	8,496	7,788
	16,035	16,367	15,989	16,309

Notes to the Financial Statements

6. Trade and other receivables (continued)

The ageing of the trade receivables at the end of the financial year is as follows:

	Gross amount RM'000	Allowance for impairment losses RM'000	Carrying amount RM'000
Group and the Trust			
2016			
Not past due	68	–	68
Past due 1 - 30 days	4,853	(117)	4,736
Past due 31 - 90 days	1,957	(100)	1,857
Past due more than 90 days	1,928	(1,096)	832
	8,806	(1,313)	7,493
2015			
Not past due	74	–	74
Past due 1 - 30 days	5,343	(33)	5,310
Past due 31 - 90 days	1,895	(57)	1,838
Past due more than 90 days	2,123	(824)	1,299
	9,435	(914)	8,521

The movement in allowance for impairment losses of trade receivables during the financial year is as follows:

	2016 RM'000	2015 RM'000
Group and the Trust		
At 1 January	914	559
Impairment losses recognised	602	423
Write-off against allowance for impairment losses	(203)	(68)
At 31 December	1,313	914

The Manager of CMMT believes that no additional allowance for impairment losses is necessary in respect of past due receivables as these receivables are mainly arising from tenants that have good payment records and sufficient security deposits held as collateral.

Notes to the Financial Statements

7. Amount due from/(to) subsidiary

The amount due from subsidiary of RM3,710,000 (2015 : RM7,826,000) is non-trade in nature, unsecured, and is repayable on demand. Included in the amount due from subsidiary is an interest-bearing loan from CMMT of RM3,240,000 (2015 : RM6,740,000) where the average interest rate of 3.1% (2015 : 3.5%) per annum is based on the prevailing deposit rates of a licensed bank.

The amount due to subsidiary of RM300,000,000 (2015 : RM300,000,000) is pursuant to the REIT Trustee Financing Agreement (RTFA) entered into by the Trustee on behalf of CMMT and the subsidiary on 6 December 2016 (2015 : 7 December 2012) where the funds raised from the unrated and secured MTN, as detailed in Note 10(b), were advanced to CMMT. The amount due to subsidiary is secured, subject to interest at approximately 4.3% (2015 : 4.5%) per annum which is payable semi-annually and the principal is repayable in 2019 (2015 : repayable in 2016).

8. Cash and cash equivalents

	Group		Trust	
	2016 RM'000	2015 RM'000	2016 RM'000	2015 RM'000
Deposits placed with licensed banks	158,651	153,821	155,421	146,402
Cash and bank balances	33,446	33,155	33,432	33,148
	192,097	186,976	188,853	179,550

Gurney Plaza maintains separate designated revenue account while The Mines and Tropicana City Property maintain separate designated revenue and operating accounts with a licensed bank as mentioned in Note 10. This forms part of the financing covenants and the usage of funds in these designated revenue and operating accounts are not restricted as long as no event of default has occurred on the borrowings. The balance of the designated revenue and operating accounts at the end of the financial year that is included in the cash and cash equivalents is RM110,001,000 (2015 : RM104,158,000).

Included in the Group's cash and cash equivalents are pledged deposits of RM3,240,000 (2015 : RM6,740,000). This is in relation to a separate debt service reserves account and trustee reimbursement account assigned by the subsidiary to the security trustee pursuant to the unrated and secured MTN, as set out in Note 10(b). The deposits are maintained with licensed banks and the funds are restricted in use.

Notes to the Financial Statements

9. Unitholders' capital

	Number of units 2016 '000	Number of units 2015 '000
Trust		
Approved fund size:		
At 1 January	2,530,006	2,290,371
New units pursuant to acquisition of Tropicana City Property	–	239,635
At 31 December	2,530,006	2,530,006

	Amount 2016 RM'000	Number of units 2016 '000	Amount 2015 RM'000	Number of units 2015 '000
Trust				
Issued and fully paid:				
At 1 January	2,153,529	2,024,799	1,832,286	1,778,976
Placement of new units	–	–	316,319	239,635
Units issued as part satisfaction of the Manager's management fee	9,700	6,659	8,573	6,188
Placement expenses	(685)	–	(3,649)	–
At 31 December	2,162,544	2,031,458	2,153,529	2,024,799

Notes to the Financial Statements

9. Unitholders' capital (continued)

Unitholdings of the Manager and parties related to the Manager

As at 31 December 2016, the Manager has no direct unitholdings in CMMT. However, the Directors of the Manager and parties related to the Manager held units in CMMT and the details are as follows:

	Number of units '000	Percentage of unitholdings %	Market value ² RM'000
2016			
<i>Direct unitholdings of parties related to the Manager</i>			
CMMT Investment Limited	710,973	35.00	1,087,789
Menang Investment Limited	30,538	1.50	46,723
<i>Direct unitholdings of the Directors of the Manager who held office at 31 December 2016</i>			
Mr Ng Kok Siong ¹	100	N.M.	153
Ms Low Peck Chen	12	N.M.	18
Ms Tan Siew Bee	100	N.M.	153
Dr Peter Tay Buan Huat ¹	100	N.M.	153

	Number of units '000	Percentage of unitholdings %	Market value ² RM'000
2015			
<i>Direct unitholdings of parties related to the Manager</i>			
CMMT Investment Limited	710,973	35.11	981,143
Menang Investment Limited	28,401	1.40	39,193
<i>Direct unitholdings of the Directors of the Manager who held office at 31 December 2015</i>			
Mr Ng Kok Siong ¹	100	N.M.	138
Ms Low Peck Chen	12	N.M.	17
Ms Tan Siew Bee	100	N.M.	138
Dr Peter Tay Buan Huat ¹	100	N.M.	138

^{N.M.} Not meaningful.

¹ Units held through nominees.

² The market value of the units for respective year is computed based on the closing market price of RM1.53 per unit as at 30 December 2016 and RM1.38 per unit as at 31 December 2015.

CMMT Investment Limited and Menang Investment Limited are indirect wholly-owned subsidiaries of CL who in turn is the ultimate holding corporation of the Manager.

Notes to the Financial Statements

10. Borrowings

	Group		Trust	
	2016 RM'000	2015 RM'000	2016 RM'000	2015 RM'000
Non-current				
Secured term loans				
- Fixed rate	650,000	650,000	650,000	650,000
- Floating rate	268,430	268,430	268,430	268,430
Secured revolving credit	54,600	38,200	54,600	38,200
Unrated and secured MTN	300,000	–	–	–
Less: Unamortised transaction costs	(4,922)	(5,563)	(3,845)	(5,016)
	1,268,108	951,067	969,185	951,614
Current				
Unrated and secured MTN	–	300,000	–	–
Less: Unamortised transaction costs	–	(203)	–	–
Unsecured revolving credit	43,700	7,500	43,700	7,500
	43,700	307,297	43,700	7,500
	1,311,808	1,258,364	1,012,885	959,114

(a) Secured term loans and revolving credit

CMMT had entered into three separate secured facility agreements with two licensed banks on 10 June 2010 (Secured Facility 1), 17 March 2011 (Secured Facility 2) and 26 June 2015 (Secured Facility 3).

Secured Facility 1 comprises fixed and floating rate term loan facility of RM500.0 million, subsequent to the repayment of RM300.0 million secured term loan in December 2012 and reinstatement of RM50.0 million in March 2015, and revolving credit facility of RM61.0 million. Secured Facility 2 comprises fixed and floating rate term loan facility of RM69.7 million and revolving credit facility of RM20.0 million. Both Secured Facilities 1 and 2 will mature between 2022 and 2028.

Secured Facility 3, comprises fixed and floating rate term loan of RM348.7 million, revolving credit facility of RM100.0 million and bank guarantee facility of RM10.0 million. The term loan under the Secured Facility 3 will mature in 2022.

As at 31 December 2016, the principal amounts utilised under the Secured Facilities 1, 2 and 3 were RM552.2 million (2015 : RM538.2 million), RM72.1 million (2015 : RM69.7 million) and RM348.7 million (2015 : RM348.7 million) respectively, of which total secured revolving credit utilised under these facilities was RM54.6 million (2015 : RM38.2 million).

The average effective interest rate for the Secured Facilities 1, 2 and 3 was approximately 4.5% (2015 : 4.5%) per annum.

Notes to the Financial Statements

10. Borrowings (continued)

(b) Secured Medium Term Notes Programme

The Group has a 20-year secured Medium Term Notes Programme of up to RM3.0 billion in nominal value (MTN Programme) under CMMT MTN Berhad (the Issuer), pursuant to which rated/unrated notes in series or tranches may be issued from time to time in Ringgit Malaysia. The net proceeds from the issue of the MTN (after deducting issue expenses) will be on-lent to CMMT, which in turn will utilise such proceeds to refinance its existing and/or future borrowings and/or to finance investments, capital expenditure, asset enhancement initiatives and/or working capital of CMMT. The Issuer will also be allowed to use the proceeds to refinance maturing MTN on the respective maturity dates. The security trustee of the MTN Programme is Malaysian Trustees Berhad.

On 20 December 2012, the Issuer issued a RM300.0 million four-year unrated and secured MTN (1-TM) which matured on 20 December 2016. The net proceeds were on-lent to CMMT, via a back-to-back RTFA entered into by the REIT Trustee and the Issuer, for the purpose of refinancing part of the Secured Facility 1. 1-TM bears a coupon rate of approximately 4.5% per annum which is payable semi-annually.

On 20 December 2016, the Issuer issued a RM300.0 million three-year unrated and secured MTN (2-TM) which will be maturing on 20 December 2019. The proceeds were used to redeem the outstanding 1-TM. 2-TM bears a coupon rate of approximately 4.3% per annum which is payable semi-annually.

(c) Unsecured revolving credit

On 4 January 2012, the REIT Trustee obtained an unsecured revolving credit facility (RCF 1) of RM100.0 million with Alliance Bank Malaysia Berhad, a related company of a substantial unitholder and of the Manager, for the purpose of working capital and is subject to annual review. The interest rate of RCF 1 was approximately of 4.4% (2015 : 4.5%) per annum, which is payable on a monthly basis.

On 6 April 2016, CMMT had obtained a new unsecured revolving credit facility of RM50.0 million from a licensed bank and is subject to annual review.

As at 31 December 2016, the outstanding unsecured revolving credit was RM43.7 million (2015 : RM7.5 million) at an average effective interest rate of approximately 4.0% (2015 : 4.5%) per annum.

The secured borrowings are secured by charges on investment properties as disclosed in Note 4 with an amount of RM2,823,000,000 (2015 : RM2,637,000,000).

Notes to the Financial Statements

11. Trade and other payables

	Group		Trust	
	2016 RM'000	2015 RM'000	2016 RM'000	2015 RM'000
Current				
Trade				
Trade payables	8,949	15,217	8,949	15,217
Amount due to related parties	8,779	8,636	8,779	8,636
	17,728	23,853	17,728	23,853
Non-trade				
Interest payable	4,533	4,399	4,110	3,996
Accrued operating expenses	27,586	26,724	27,339	26,707
Other payables and advances	7,301	6,751	7,299	6,748
	39,420	37,874	38,748	37,451
	57,148	61,727	56,476	61,304

Included in the amount due to related parties are an amount due to the Manager of RM8,712,000 (2015 : RM8,602,000) of which RM4,897,000 (2015 : RM4,820,000) is payable in units of CMMT as payment for the performance component of management fee for the period from 1 July 2016 to 31 December 2016, and Trustee's fee of RM67,000 (2015 : RM34,000). The relationship and transactions of the above are further disclosed in Note 25.

Notes to the Financial Statements

12. Other operating expenses

	2016 RM'000	2015 RM'000
Group and the Trust		
Property management fee and reimbursement	24,994	22,891
Marketing expenses	8,983	7,369
Quit rent and assessment	9,619	8,596
General and administrative expenses	5,083	5,086
	48,679	43,942

The property management fee is payable to the property managers, namely (1) Knight Frank Malaysia Sdn. Bhd. for all CMMT's properties for the full year under review except for Sungei Wang Plaza; and (2) Zaharin Nexcap Property Management Sdn. Bhd., the property manager for CMMT's interest in Sungei Wang Plaza with effect from 1 April 2015. Property management reimbursement includes reimbursable staff costs and other reimbursement for managing the investment properties.

The 2016 property management fee for Gurney Plaza, The Mines and East Coast Mall is based on a monthly fee of RM49,000 from 1 January 2016 till 15 April 2016 and RM56,000 from 16 April 2016 till 31 December 2016 (2015 : RM49,000) as stipulated in the property management agreement dated 17 March 2016. Property management fee for CMMT's interest in Sungei Wang Plaza is based on a monthly fee of RM18,000 (2015 : RM19,000 for the period 1 January 2015 till 31 March 2015 and RM18,000 from 1 April 2015 till 31 December 2015) while Tropicana City Property is based on a monthly fee of RM19,000 (2015 : RM19,000) based on the agreements dated 18 March 2015 and 16 July 2015 respectively.

Notes to the Financial Statements

13. Manager's management fee

	2016 RM'000	2015 RM'000
Group and the Trust		
Base management fee*	11,926	11,083
Performance fee	11,518	10,906
	23,444	21,989

* Inclusive of 6.0% service tax for the period 1 January 2015 to 31 March 2015.

Pursuant to the Deed, the Manager is entitled to a base fee of up to 1.0% per annum of the total asset value and a performance fee of up to 5.0% per annum of net property income. For the financial year ended 31 December 2016, the Manager has accounted for a base fee of 0.29% (2015 : 0.29%) per annum of the total asset value, payable quarterly in arrears, and a performance fee of 4.75% (2015 : 4.75%) per annum of net property income, payable semi-annually in units after distribution to unitholders, except for the performance fee related to East Coast Mall which was payable in cash.

In addition to the above, the Manager is also entitled to an acquisition fee of up to 1.0% of the purchase price and a divestment fee of up to 0.5% of the sale price of any authorised investment/divestment.

In the previous financial year, the Manager was paid a total of RM5,400,000 (exclusive of goods and services tax of 6.0%) as the acquisition fee for the completion of the acquisition of Tropicana City Property. The acquisition fee was capitalised as part of the acquisition costs of Tropicana City Property.

During the financial year ended 31 December 2016, the Manager was paid 6,658,900 units (2015 : 6,188,000 units) in CMMT or equivalent to RM9,700,000 (2015 : RM8,573,000), as part settlement of its management fee for the period from 1 July 2015 to 30 June 2016. The Manager disposed 3,515,700 and 3,143,200 units (2015 : 6,188,000 units) in CMMT at cost to a related party, Menang Investment Limited, on 26 April 2016 and 14 September 2016 respectively (2015 : 12 November 2015).

There were no other fees or soft commission paid to the Manager during the financial year other than as disclosed above.

14. Trustee's fee

Pursuant to the Deed, the Trustee is entitled to a fee of 0.02% per annum of the total asset value for the first RM2.0 billion and a 0.01% per annum of the total asset value thereafter, payable monthly in arrears.

Trustee's fee was at RM401,000 (2015 : RM400,000) per annum for the financial year ended 31 December 2016.

Notes to the Financial Statements

15. Finance costs

	Group		Trust	
	2016 RM'000	2015 RM'000	2016 RM'000	2015 RM'000
Interest expense on secured term loans	41,392	32,482	41,392	32,482
Interest expense on unrated and secured MTN	13,400	13,380	–	–
Interest expense on RTFA with subsidiary	–	–	13,400	13,380
Interest expense on secured and unsecured revolving credits	2,880	4,297	2,880	4,297
Amortisation of transaction costs on borrowings	1,424	1,106	1,171	852
Others	454	282	707	536
	59,550	51,547	59,550	51,547

16. Tax expense

Pursuant to the amendment of Section 61A of the Income Tax Act, 1967, effective from the Year of Assessment 2007, the total income of a REIT will be exempted from income tax provided that the REIT distributes 90.0% or more of its total income for that year of assessment. If the REIT is unable to meet the 90.0% distribution criteria, the entire taxable income of the REIT for the year would be subject to income tax.

As CMMT will distribute approximately 100.0% of its distributable income for the financial year ended 31 December 2016 to its unitholders, no provision for tax expense has been made for the current year.

Reconciliation of tax expense is as follows:

	2016 RM'000	2015 RM'000
Group and the Trust		
Profit before taxation	167,759	226,023
Income tax at Malaysian statutory tax rate of 24.0% (2015 : 25.0%)	40,262	56,506
Effect of net fair value gain of investment properties not subject to tax	(968)	(17,722)
Effect of income not subject to tax	(40,685)	(40,995)
Expenses not deductible for tax purposes	1,391	2,211
Tax expense for the financial year	–	–

Notes to the Financial Statements

17. Earnings per unit

The calculation of earnings per unit is based on the weighted average number of units during the year and profit for the year.

	2016 RM'000	2015 RM'000
Group and the Trust		
Profit for the financial year	167,759	226,023
Add: Manager's management fee	23,444	21,989
Profit for the financial year before Manager's management fee	191,203	248,012
	2016 '000	2015 '000
Issued units at the beginning of the year	2,024,799	1,778,976
Weighted average number of units issued as part of the acquisition cost of Tropicana City Property	–	114,894
Weighted average number of units issued as part satisfaction of the Manager's management fee	3,464	2,068
Weighted average number of units at the end of the year	2,028,263	1,895,938
Earnings per unit (sen)		
- before Manager's management fee	9.43	13.08
- after Manager's management fee	8.27	11.92

18. Distributions to unitholders

	2016 RM'000	2015 RM'000
Group and the Trust		
Distributions to unitholders are from the following sources:		
Gross rental income	292,948	272,810
Interest income	5,738	4,731
Other income	79,669	72,001
Less: Expenses	(207,179)	(186,589)
Less: Rollover adjustment for rounding difference	(56)	(153)
Distributable income	171,120	162,800
Distribution per unit (sen) of which:		
- taxable distribution of income (sen)	8.09	8.41
- tax exempt distribution of income (sen)	0.34	0.19
	8.43	8.60

Notes to the Financial Statements

18. Distributions to unitholders (continued)

Pursuant to the Section 109D(2) of the Income Tax Act, 1967, the applicable final withholding tax on distributions of income which is tax exempt at CMMT level is as follows:

Resident unitholders	
(a) Corporate	Tax flow through, no withholding tax
(b) Other than corporate	Withholding tax at 10.0%
Non-resident unitholders	
(c) Corporate	Withholding tax at 24.0%
(d) Institutional investors	Withholding tax at 10.0%
(e) Individuals	Withholding tax at 10.0%

19. Portfolio turnover ratio

	2016	2015
Group		
Portfolio turnover ratio (PTR) (times)	–	0.2

The calculation of the PTR is based on the average of total acquisitions and total disposals of investments in CMMT for the year to the average net asset value during the financial year.

Since the basis of calculating the PTR can vary among the REITs, there is no sound basis for providing an accurate comparison of CMMT against other REITs.

No acquisitions or disposals of investments were carried out during the financial year.

20. Management expense ratio

	2016	2015
Group		
Management expense ratio (MER) (%)	0.9	1.0

MER is calculated based on the total fees of CMMT, including Manager's management fee, Trustee's fee and other trust expenses, to the average net asset value during the financial year.

Comparison of the MER of CMMT with other REITs which may use different basis of calculation may not be an accurate comparison.

Notes to the Financial Statements

21. Capital commitments

Capital commitments in relation to capital expenditure of the existing portfolio of CMMT are as follows:

	2016 RM'000	2015 RM'000
Group and the Trust		
Contracted but not provided for	6,541	5,626

22. Operating lease

The Group and the Trust have the following commitments at the end of the financial year:

(a) Operating lease rental payable

Future minimum lease payments of the Group and of the Trust on non-cancellable operating leases are as follows:

	2016 RM'000	2015 RM'000
Group and the Trust		
Less than one year	82	66
Between one and five years	179	97
	261	163

The Group and the Trust lease photocopiers under operating leases. The leases run for a period of between three and five years with an option to renew the leases upon expiry.

(b) Operating lease rental receivable

Future minimum lease rental receivable of the Group and of the Trust on non-cancellable operating leases from investment properties are as follows:

	2016 RM'000	2015 RM'000
Group and the Trust		
Less than one year	217,446	245,697
Between one and five years	130,194	188,220
More than five years	7,930	8,129
	355,570	442,046

Notes to the Financial Statements

23. Financial instruments

23.1 Categories of financial instruments

The financial instruments of the Group and of the Trust are categorised as follows:

	Group Carrying amount		Trust Carrying amount	
	2016 RM'000	2015 RM'000	2016 RM'000	2015 RM'000
Financial assets categorised as loans and receivables:				
Trade and other receivables	15,875	16,232	15,875	16,221
Amount due from subsidiary	–	–	3,710	7,826
Cash and cash equivalents	192,097	186,976	188,853	179,550
	207,972	203,208	208,438	203,597
Financial liabilities measured at amortised cost:				
Borrowings	1,311,808	1,258,364	1,012,885	959,114
Tenants' deposits	94,346	96,932	94,346	96,932
Amount due to subsidiary	–	–	300,000	300,000
Trade and other payables	57,148	61,727	56,476	61,304
	1,463,302	1,417,023	1,463,707	1,417,350

23.2 Net gains and losses arising from financial instruments

	2016 RM'000	2015 RM'000
Group and the Trust		
Net gains/(losses) on:		
Loans and receivables		
- Allowance for impairment losses on trade receivables	(602)	(423)
- Interest income	5,738	4,731
	5,136	4,308
Financial liabilities		
- Finance costs	(59,550)	(51,547)
- Realised foreign exchange loss	(18)	(9)
- Unrealised foreign exchange loss	*	*
	(59,568)	(51,556)

* less than RM1,000

Notes to the Financial Statements

23. Financial instruments (continued)

23.3 Financial risk management

Financial risk management is integral to the whole business of the Group and Trust. The Group and Trust adopt an integrated approach to manage the financial risks arising in the normal course of business.

The Group and the Trust have identified the following financial risk exposure from its use of financial instruments:

- Liquidity risk
- Credit risk
- Market risk

The Group and the Trust have implemented risk management policies and guidelines which sets its tolerance of risk and its general risk management philosophy.

23.4 Liquidity risk

Liquidity risk is defined as the risk that the Group and the Trust will not be able to meet its financial obligations as they fall due.

The Group's and the Trust's exposures to liquidity risk arises primarily from various payables and borrowings. The Group and the Trust maintain sufficient liquid reserves in terms of cash and credit facilities to ensure, as far as possible, that it will have sufficient liquidity to meet its liabilities when they fall due. In addition, the Manager diligently monitors and observes financing covenants to ensure compliance.

The health and sentiments of the debt markets in Malaysia directly affects the liquidity position of the Group and Trust as external sources of funding are needed to fund new acquisitions or asset enhancement initiatives besides the need to refinance the existing borrowings when they mature.

At the reporting date, RM43,700,000 (2015 : RM7,500,000) of revolving credit will be subject to annual review within the next twelve months. Other than that, there is no immediate refinancing need as the tranches of the Group's and Trust's borrowings have remaining tenures ranging from about 3 to 12 years. The Group and Trust will continue to manage their capital structure proactively by spreading out its debt maturity to a manageable size and maintaining an optimal gearing level.

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

Notes to the Financial Statements

23. Financial instruments (continued)

23.4 Liquidity risk (continued)

Maturity analysis

The table below summarises the maturity profile of the Group's and of the Trust's financial liabilities as at the end of the financial year based on undiscounted contractual payments:

	Carrying amount RM'000	Contractual interest rate %	Contractual cash flows RM'000	0 - 1 year RM'000	1 - 2 years RM'000	2 - 5 years RM'000	More than 5 years RM'000
2016							
Group							
Non-derivative financial liabilities							
Bank borrowings (excluding unamortised transaction costs)	1,016,730	3.8 - 4.6	1,364,834	87,230	42,085	125,459	1,110,060
Unrated and secured MTN (excluding unamortised transaction costs)	300,000	4.3	338,610	12,870	12,870	312,870	–
Tenants' deposits	94,346	–	94,346	53,432	24,066	16,726	122
Trade and other payables	57,148	–	47,718	47,373	17	50	278
	1,468,224		1,845,508	200,905	79,038	455,105	1,110,460
Trust							
Non-derivative financial liabilities							
Bank borrowings (excluding unamortised transaction costs)	1,016,730	3.8 - 4.6	1,364,834	87,230	42,085	125,459	1,110,060
Tenants' deposits	94,346	–	94,346	53,432	24,066	16,726	122
Amount due to subsidiary	300,000	4.3	338,610	12,870	12,870	312,870	–
Trade and other payables	56,476	–	47,469	47,124	17	50	278
	1,467,552		1,845,259	200,656	79,038	455,105	1,110,460

Notes to the Financial Statements

23. Financial instruments (continued)

23.4 Liquidity risk (continued)

Maturity analysis (continued)

	Carrying amount RM'000	Contractual interest rate %	Contractual cash flows RM'000	0 - 1 year RM'000	1 - 2 years RM'000	2 - 5 years RM'000	More than 5 years RM'000
2015							
Group							
<i>Non-derivative financial liabilities</i>							
Bank borrowings (excluding unamortised transaction costs)	964,130	4.4 - 4.6	1,366,424	50,895	43,247	129,226	1,143,056
Unrated and secured MTN (excluding unamortised transaction costs)	300,000	4.5	313,380	313,380	–	–	–
Tenants' deposits	96,932	–	96,932	38,901	38,058	19,851	122
Trade and other payables	61,727	–	52,508	52,147	17	50	294
	1,422,789		1,829,244	455,323	81,322	149,127	1,143,472
Trust							
<i>Non-derivative financial liabilities</i>							
Bank borrowings (excluding unamortised transaction costs)	964,130	4.4 - 4.6	1,366,424	50,895	43,247	129,226	1,143,056
Tenants' deposits	96,932	–	96,932	38,901	38,058	19,851	122
Amount due to subsidiary	300,000	4.5	313,380	313,380	–	–	–
Trade and other payables	61,304	–	52,488	52,127	17	50	294
	1,422,366		1,829,224	455,303	81,322	149,127	1,143,472

Notes to the Financial Statements

23. Financial instruments (continued)

23.4 Liquidity risk (continued)

Maturity analysis (continued)

Included in the carrying amount of trade and other payables are as follows:

For the Group:

- (a) an amount of RM4,533,000 (2015 : RM4,399,000) for interest payable on the borrowings, was incorporated in the contractual cash flows of the bank borrowings and unrated and secured MTN; and
- (b) an amount of RM4,897,000 (2015 : RM4,820,000) for Manager's performance fee payable in units was not incorporated in the contractual cash flows.

For the Trust:

- (a) an amount of RM4,110,000 (2015 : RM3,996,000), for interest payable on the borrowings, was incorporated in the contractual cash flows of the bank borrowings; and
- (b) an amount of RM4,897,000 (2015 : RM4,820,000) for Manager's performance fee payable in units was not incorporated in the contractual cash flows.

23.5 Credit risk

Credit risk is defined as the risk of a financial loss to the Group and to the Trust if a customer or counterparty to a financial instrument fails to meet its contractual obligations. The Group's and the Trust's exposures to credit risk arises primarily from its trade and other receivables.

Credit risk is controlled by credit verification procedures before lease agreements are entered into with tenants and ongoing balance monitoring to ensure minimum credit risk exposure. In addition, there is a stringent collection policy in place to ensure that credit risk is minimised. Other than the collection of security deposits, which typically amounts to an average of three months' rent in the form of cash or bankers' guarantee, the Group and Trust also have vigilant monitoring and debt collection procedures. Debt turnover of CMMT Group as at 31 December 2016 was approximately 11 days (2015 : 11 days).

For other financial assets, the Group and the Trust minimise credit risk by dealing with restricted counterparties that meet the appropriate credit criteria and of high credit standing.

The Manager establishes an allowance for impairment that represents its estimate of incurred losses in respect of trade and other receivables. The main component of this allowance is a specific loss component that relates to the individually significant exposure. The allowance account in respect of trade and other receivables is used to record impairment losses unless the Manager is satisfied that no recovery of the amount owing is possible. At that point, the financial asset is considered irrecoverable and the amount charged to the allowance account is written off against the carrying amount of the impaired financial asset.

At the end of financial year, there was no significant concentration of credit risk.

Cash and bank balances are placed with financial institutions which are regulated.

Notes to the Financial Statements

23. Financial instruments (continued)

23.6 Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and other prices that will affect the Group's and the Trust's financial positions or cash flows.

23.6.1 Interest rate risk

The Group's and the Trust's investments in financial products and its fixed rate borrowings are exposed to a risk of change in the fair values of the instruments due to changes in interest rates. The Group's and the Trust's floating rate borrowings are exposed to a risk of change in cash flows due to changes in interest rate. Short term receivables and payables are not significantly exposed to interest rate risk. Of these instruments, the primary interest rate risk exposure of the Group and the Trust relates to interest-bearing borrowings.

In line with the Group's overall enterprise risk management framework, the Manager adopts a proactive interest rate management policy to manage the risk associated with changes in interest rates on the Group's and the Trust's loan facilities and also seeking to ensure a competitive level of ongoing cost of debt. Interest rate risk is managed on an ongoing basis with the primary objective of limiting the extent to which interest expense could be affected by adverse movements in interest rates.

To mitigate the Group's exposure to fluctuation in interest rates, the Manager has locked in a proportion of the Group's and the Trust's borrowings at fixed interest rates. As at 31 December 2016, the Group's and the Trust's borrowings at fixed rates are 72.1% (2015 : 75.2%) and 63.9% (2015 : 67.4%) respectively while the balance is on a floating rate basis.

The investments in financial products are mainly short term in nature and not held for trading or speculative purposes but are mainly placed in fixed or short term deposits with licensed banks which yield better returns than cash at bank.

Notes to the Financial Statements

23. Financial instruments (continued)

23.6 Market risk (continued)

23.6.1 Interest rate risk (continued)

Exposure to interest rate risk

The interest rate profile of the Group's and of the Trust's significant interest-bearing financial instruments, based on carrying amounts as at end of the financial year, is as follows:

	Group		Trust	
	2016 RM'000	2015 RM'000	2016 RM'000	2015 RM'000
Financial assets				
<i>Fixed rate instruments</i>				
Deposits placed with licensed banks	158,651	153,821	155,421	146,402
Amount due from subsidiary	–	–	3,240	6,740
	158,651	153,821	158,661	153,142
Financial liabilities				
<i>Fixed rate instruments</i>				
Secured term loans	650,000	650,000	650,000	650,000
Unrated and secured MTN	300,000	300,000	–	–
Amount due to subsidiary	–	–	300,000	300,000
	950,000	950,000	950,000	950,000
<i>Floating rate instruments</i>				
Secured term loans	268,430	268,430	268,430	268,430
Secured and unsecured revolving credit	98,300	45,700	98,300	45,700
	1,316,730	1,264,130	1,316,730	1,264,130

Interest rate risk sensitivity analysis

Fair value sensitivity analysis for fixed rate instruments

The Group and the Trust do not account for any fixed rate financial assets and liabilities at fair value through profit or loss. Therefore, a change in interest rates at the end of the financial year would not affect profit or loss.

Cash flow sensitivity analysis for variable rate instruments

An increase of 100 basis points (bp) in interest rate at the reporting date would have increased the finance costs by RM3,667,000 (2015: RM3,141,000) per annum. A decrease in 100 bp in interest rate would have an equal but opposite effect. This analysis assumes that all other variables remain constant.

23.6.2 Currency risk

As the assets of the Group are currently based in Malaysia, there is little or no foreign exchange exposure from operations. The Group borrows in Malaysian Ringgit from domestic banks and debt capital market hence creating a perfect currency match for the Group's and the Trust's assets and liabilities. At the end of the financial year, the Group and the Trust are not exposed to any significant foreign currency risk.

Notes to the Financial Statements

23. Financial instruments (continued)

23.7 Fair value information

The carrying amounts of cash and cash equivalents, trade and other receivables and trade and other payables approximate their fair values due to the relatively short term nature of these financial instruments.

The fair value of the floating rate borrowings approximates its carrying amount as it reprices to market interest rates for liabilities with similar risk profiles.

The fair value of the fixed rate borrowings at initial recognition approximates its carrying amount as its effective interest rate is considered to be the market rate.

The fair values of the non-derivative financial liabilities, together with the carrying amounts shown in the statements of financial position, are as follows:

	Carrying amount 2016 RM'000	Fair value 2016 RM'000	Carrying amount 2015 RM'000	Fair value 2015 RM'000
Group				
Tenants' deposits	94,346	92,089	96,932	93,505
Fixed rate secured term loans	650,000	647,534	650,000	642,251
Unrated and secured MTN	300,000	296,594	300,000	298,582
Trust				
Tenants' deposits	94,346	92,089	96,932	93,505
Fixed rate secured term loans	650,000	647,534	650,000	642,251
Amount due to subsidiary	300,000	296,594	300,000	298,582

The fair values of the non-derivative financial liabilities are categorised as Level 2.

The above fair values, which are determined for disclosure purposes, are calculated based on the present value of future cash flows discounted at the market rate of interest at the end of the financial year. Interest rates used to determine fair values are as follows:

	2016	2015
Tenants' deposits	3.0%	3.3%
Fixed rate secured term loans	4.7%	5.0%
Unrated and secured MTN	4.7%	5.0%
Amount due to subsidiary	4.7%	5.0%

Notes to the Financial Statements

24. Capital management

The Group's objectives when managing capital are to maintain a strong capital base so as to maintain investor, creditor and market confidence and to ensure optimal returns to unitholders, while maintaining flexibility in respect of future capital expenditure and acquisitions. The Manager continues to rigorously monitor the cash position and borrowings of the Group with the view of strengthening their capital structure and competitive position.

The Manager is determined to maintain an optimal gearing ratio, which is defined as total borrowings divided by total asset value, that complies with regulatory requirements and financing covenants. Under the SC's REITs Guidelines, gearing ratio of the Group should not exceed 50.0% at the time the borrowings are incurred. However, the Group's gearing ratio may exceed this limit with the sanction of its unitholders by way of an ordinary resolution. The Group has complied with the SC's requirement during the financial year. The gearing level of the Group stood at 32.4% (2015 : 31.5%).

	Note	2016 RM'000	2015 RM'000
Group			
Total asset value (after income distribution)		4,062,960	4,011,028
Total borrowings (excluding unamortised transaction costs)	10	1,316,730	1,264,130
Gearing ratio (%)		32.4	31.5

There was no change in the Group's approach to capital management during the year.

25. Related parties

Identity of and transactions with related parties

For the purposes of these financial statements, parties are considered to be related to the Group if the Group or the Trust has the ability, directly or indirectly, to control the party or exercise significant influence over the party in making financial and operating decisions, or vice versa, or where the Group or the Trust and the party are subject to common control or common significant influence. Related parties may be individuals or other entities.

Notes to the Financial Statements

25. Related parties (continued)

Identity of and transactions with related parties (continued)

During the financial year, other than those disclosed elsewhere in the financial statements, the following related party transactions were carried out in the normal course of business under normal commercial terms:

	Group		Trust	
	2016 RM'000	2015 RM'000	2016 RM'000	2015 RM'000
The Manager				
CapitaLand Malaysia Mall REIT Management Sdn. Bhd.				
- Management fee (Note 13)	23,444	21,989	23,444	21,989
- Acquisition fee (Note 13)	–	5,400	–	5,400
The Trustee				
MTrustee Berhad (formerly known as AmTrustee Berhad)				
- Trustee's fee (Note 14)	401	400	401	400
Related company of a substantial unitholder and of the Manager				
Malayan Banking Berhad				
- Interest income earned from bank accounts	1,051	1,040	1,051	1,040
- Rental income from leasing of retail space	66	64	66	64
- Bank charges	2	2	2	2
Maybank Investment Bank Berhad				
- Annual facility agent fee for the MTN Programme	50	50	–	–
- Lead Manager fee for the MTN Programme	75	–	–	–
- Placement fee for acquisition of Tropicana City Property	–	755	–	755
Singapore Telecommunication Limited				
- Leased line expenses for Local Area Network Connectivity	*	187	*	187
CapitaLand Retail Malaysia Sdn. Bhd.				
- Project management fee for asset enhancement works at CMMT's malls	704	552	704	552

* less than RM1,000

Notes to the Financial Statements

25. Related parties (continued)

Identity of and transactions with related parties (continued)

	Group		Trust	
	2016 RM'000	2015 RM'000	2016 RM'000	2015 RM'000
Related company of a substantial unitholder and of the Manager (continued)				
Alliance Bank Malaysia Berhad				
- Drawdown of revolving credit	4,500	65,200	4,500	65,200
- Repayment of revolving credit	–	83,200	–	83,200
- Interest paid/payable on revolving credit	353	1,812	353	1,812
- Commitment fees	42	24	42	24
- Rental income from leasing of retail space	34	22	34	22
Storhub Self Storage (SWP) Sdn. Bhd.				
- Rental income from leasing of retail space	717	169	717	169
Related company of a substantial unitholder				
RHB Bank Berhad				
- Interest income earned from bank accounts	846	776	594	526
- Rental income from leasing of retail space	199	259	199	259
- Bank charges	3	2	2	1
CIMB Bank Berhad				
- Drawdown of term loan and revolving credit	–	366,380	–	366,380
- Repayment of revolving credit	–	67,600	–	67,600
- Facility and arrangement fee of term loan and revolving credit	–	1,999	–	1,999
- Interest paid/payable on term loan and revolving credit	14,643	8,184	14,643	8,184
- Commitment fees	232	115	232	115
- Interest income earned from bank accounts	707	163	707	163
- Bank charges	14	1	14	1
- Rental income from leasing of retail space	214	284	214	284

Notes to the Financial Statements

25. Related parties (continued)

Identity of and transactions with related parties (continued)

	Group		Trust	
	2016 RM'000	2015 RM'000	2016 RM'000	2015 RM'000
Related company of a substantial unitholder (continued)				
CIMB Investment Bank Berhad				
- Rental income from leasing of office space and parking lots	1,074	549	1,074	549
- Corporate advisory and placement fee for acquisition of Tropicana City Property	–	1,257	–	1,257
Tenaga Nasional Berhad				
- Electricity charges	44,535	43,905	44,535	43,905
Related company of a substantial shareholder of the Trustee				
AmBank (M) Berhad				
- Rental income from leasing of space	37	36	37	36

26. Operating segments

The Group has two reportable segments, Retail and Office. For each of the segment, the Group's Chief Operating Decision Makers (CODM) review internal/management reports for the assessment of segment performance.

Segment revenue comprises mainly income generated from its tenants. Segment net property income represents the income earned by each segment after allocating property operating expenses. Segment performance is measured based on the segment net property income.

Segment result include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Unallocated expenses comprise mainly non-operating and trust expenses.

Notes to the Financial Statements

26. Operating segments (continued)

	Retail RM'000	Office RM'000	Total RM'000
Group			
Segment profit for the year ended 31 December 2016			
Gross revenue	365,564	7,053	372,617
Net property income	238,014	4,478	242,492
Interest income			5,738
Fair value gain of investment properties (net)			4,032
Unallocated expenses			(24,953)
Finance costs			(59,550)
Profit before taxation			167,759
Taxation			-
Profit for the year			167,759
Segment profit for the year ended 31 December 2015			
Gross revenue	341,417	3,394	344,811
Net property income	224,026	2,359	226,385
Interest income			4,731
Fair value gain of investment properties (net)			70,889
Unallocated expenses			(24,435)
Finance costs			(51,547)
Profit before taxation			226,023
Taxation			-
Profit for the year			226,023

No segment assets and liabilities information is prepared as the Group's CODM assess the segment performance based on the segment's net property income.

Geographical information

No geographical segment information is prepared as the Group's properties are all located in Malaysia.

27. Subsequent events

The Manager declared a final income distribution of approximately RM85,931,000 or 4.23 sen per unit on 24 January 2017, for the period from 1 July 2016 to 31 December 2016. This final income distribution will be paid on 28 February 2017. In total, CMMT will be paying approximately RM171,120,000, which is approximately 100.0% of its distributable income, to its unitholders for the financial year ended 31 December 2016. The book closure date for the final income distribution will be on 10 February 2017.

The declared final income distribution will be recognised in the immediate subsequent financial year.

Statement by the Manager

The Manager acknowledges its responsibility for the preparation of the annual financial statements of CMMT and its subsidiary (the Group). In the opinion of the Directors of the Manager, CapitaLand Malaysia Mall REIT Management Sdn. Bhd., the financial statements set out on pages 98 to 145 are drawn up in accordance with the provisions of the Deed dated 7 June 2010 (which was amended and restated on 15 September 2015) (the Deed), Securities Commission Act, 1993 and the Capital Markets and Services Act, 2007, Securities Commission Malaysia's Guidelines on Real Estate Investment Trusts, Malaysian Financial Reporting Standards and International Financial Reporting Standards so as to give a true and fair view of the financial position of the Group and of the Trust as at 31 December 2016 and of their financial performance and cash flows for the financial year then ended.

The information on the breakdown of realised and unrealised income included in the financial statements has been compiled in accordance with the Guidance of Special Matter No.1, Determination of Realised and Unrealised Profits or Losses in the Context of Disclosure Pursuant to Bursa Malaysia Securities Berhad Listing Requirements, issued by the Malaysian Institute of Accountants and the directive of Bursa Malaysia Securities Berhad.

In addition, the Directors confirm the following:

Sanctions and/or penalties

During the financial year there were no sanctions and/or penalties imposed on the Group, its Manager and/or the Directors by any of the relevant regulatory bodies.

Material contracts involving the Group and substantial unitholders

There are no material contracts involving the Group and substantial unitholders other than as disclosed in Note 25 to the financial statements.

Other significant events

There are no other significant events during the financial year and up to the date of this report.

Significant changes in the state of affairs

There have been no significant changes in the state of affairs of the Trust during the financial year and up to the date of this report other than those disclosed in the financial statements.

Circumstances which materially affect the interests of unitholders

There are no circumstances which materially affect the interests of unitholders.

Changes in material litigation

The Manager is not aware of any pending litigation which is material since 31 December 2016 up to the date of this report.

Manager's remuneration and soft commission

The Manager's remuneration is accrued and paid in accordance with the Deed. No fee or commission has been earned by the Manager in managing CMMT other than that disclosed in Note 13 to the financial statements.

During the financial year, the Manager did not receive any soft commission (i.e. goods and services) from its broker, by virtue of any transaction conducted by CMMT.

Statement by the Manager

Information on Directors

There are no family relationships among the Directors and/or major unitholders. None of the Directors has any conflict of interest with CMMT save for the Directors' interest in CMMT as disclosed in Note 9 to the financial statements. None of the Directors has been convicted of any offences, other than traffic offences, in the past ten years.

Signed on behalf of the Directors of the Manager in accordance with a resolution of the Board of Directors dated 8 February 2017.

David Wong Chin Huat
Chairman

Low Peck Chen
Chief Executive Officer

Kuala Lumpur, Wilayah Persekutuan

Date: 8 February 2017

I, Yue Pei San, the officer of CapitaLand Malaysia Mall REIT Management Sdn. Bhd., primarily responsible for the financial management of CapitaLand Malaysia Mall Trust, do solemnly and sincerely declare that the financial statements set out on pages 98 to 145, are, to the best of my knowledge and belief, correct and I make this solemn declaration conscientiously believing the same to be true, and by virtue of the provisions of the Statutory Declarations Act, 1960.

Yue Pei San

Before me:

Trustee's Report

To the Unitholders of CapitaLand Malaysia Mall Trust
(Established in Malaysia)

We have acted as Trustee of CapitaLand Malaysia Mall Trust (CMMT) for the financial year ended 31 December 2016. In our opinion and to the best of our knowledge, CapitaLand Malaysia Mall REIT Management Sdn. Bhd., the Manager of CMMT, has managed CMMT in accordance with the limitations imposed on the investment powers of the Manager and the Trustee under the Deed dated 7 June 2010 (which was amended and restated on 15 September 2015) (the Deed), the Capital Markets and Services Act, 2007, Securities Commission Malaysia's Guidelines on Real Estate Investment Trusts and other applicable laws during the financial year then ended.

We have also ensured the following:

- (a) the valuation/pricing is carried out in accordance with the Deed and other regulatory requirements; and
- (b) the creation of units is carried out in accordance with the Deed and other regulatory requirements.

We confirm that the income distributions declared and paid during the financial year ended 31 December 2016 are in line with and are reflective of the objectives of CMMT.

For and on behalf of the Trustee,
MTrustee Berhad
(formerly known as AmTrustee Berhad)

Tan Kok Cheeng
Chief Executive Officer

Date: 8 February 2017

Independent Auditors' Report

To the Unitholders of CapitaLand Malaysia Mall Trust
(Established in Malaysia)

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of CapitaLand Malaysia Mall Trust (CMMT) which comprise the statements of financial position as at 31 December 2016 of the Group and of CMMT, and the statements of profit or loss and other comprehensive income, statements of changes in net asset value and statements of cash flows of the Group and of CMMT for the year then ended, and notes to the financial statements, including a summary of significant accounting policies, as set out on pages 98 to 145.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Group and of CMMT as at 31 December 2016, and of their financial performance and their cash flows for the year then ended in accordance with Malaysian Financial Reporting Standards and International Financial Reporting Standards.

Basis for Opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the *Auditors' Responsibilities for the Audit of the Financial Statements* section of our auditors' report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and Other Ethical Responsibilities

We are independent of the Group and of CMMT in accordance with the *By-Laws (on Professional Ethics, Conduct and Practice)* of the Malaysian Institute of Accountants (By-Laws) and the International Ethics Standards Board for Accountants' *Code of Ethics for Professional Accountants* (IESBA Code), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the Group and of CMMT for the current year. These matters were addressed in the context of our audit of the financial statements of the Group and of CMMT as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Valuation of investment properties

Refer to Note 2(d) - Significant accounting policy: Investment properties and Note 4 - Investment properties.

The key audit matter

The Group owns a portfolio of investment properties comprising shopping malls and an office block located in Malaysia. Investment properties represent the single largest category of assets on the statements of financial position, at RM3,938,000,000 as at 31 December 2016.

These investment properties are stated at their fair values based on independent external valuations.

The valuation process involves significant judgement in determining the appropriate valuation methodology to be used, and in estimating the underlying assumptions to be applied. The valuations are highly sensitive to key assumptions applied in deriving at the capitalization rates i.e. a small change in the assumptions can have a significant impact to the valuation.

Independent Auditors' Report

To the Unitholders of CapitaLand Malaysia Mall Trust
(Established in Malaysia)

How the matter was addressed in our audit

We performed the following audit procedures, among others:

We assessed the Manager's processes for the selection of the external valuers, the determination of the scope of work of the valuers, and the review and acceptance of the valuations reported by the external valuers.

We evaluated the qualifications and competence of the external valuers.

We considered the valuation methodologies used against those applied by other valuers for similar property types. We also considered other alternative valuation methods. We tested the integrity of inputs of the projected cash flows used in the valuation to supporting leases and other documents. We challenged the capitalisation rates used in the valuation by comparing them against historical rates and available industry data, taking into consideration comparability and market factors. Where the rates were outside the expected range, we undertook further procedures to understand the effect of additional factors and, when necessary, held further discussions with the valuers.

We also considered the adequacy of the descriptions in the financial statements, in describing the inherent degree of subjectivity and key assumptions in the estimates. This includes the relationships between the key unobservable inputs and fair values, in conveying the uncertainties.

Information Other than the Financial Statements and Auditors' Report Thereon

The Manager is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements of the Group and of CMMT and our auditors' report thereon.

Our opinion on the financial statements of the Group and of CMMT does not cover the annual report and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements of the Group and of CMMT, our responsibility is to read the annual report and, in doing so, consider whether the annual report is materially inconsistent with the financial statements of the Group and of CMMT or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of the annual report, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Manager for the Financial Statements

The Manager is responsible for the preparation of the financial statements of the Group and of CMMT that give a true and fair view in accordance with the Deed dated 7 June 2010 (which was amended and restated on 15 September 2015), Securities Commission Act, 1993 and the Capital Markets and Services Act, 2007, Securities Commission Malaysia's Guidelines on Real Estate Investment Trusts, Malaysian Financial Reporting Standards and International Financial Reporting Standards. The Manager is also responsible for such internal control as the Manager determines is necessary to enable the preparation of financial statements of the Group and of CMMT that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Group and of CMMT, the Manager is responsible for assessing the ability of the Group and of CMMT to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Manager either intends to liquidate the Group or CMMT or to cease operations, or has no realistic alternative but to do so.

Independent Auditors' Report

To the Unitholders of CapitaLand Malaysia Mall Trust
(Established in Malaysia)

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Group and of CMMT as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements of the Group and of CMMT, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Manager's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Manager.
- Conclude on the appropriateness of the Manager's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group or of CMMT to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements of the Group and of CMMT or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group or CMMT to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements of the Group and of CMMT, including the disclosures, and whether the financial statements of the Group and of CMMT represent the underlying transactions and events in a manner that gives a true and fair view.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the financial statements of the Group. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the Manager regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the Manager with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Independent Auditors' Report

To the Unitholders of CapitaLand Malaysia Mall Trust
(Established in Malaysia)

Auditors' Responsibilities for the Audit of the Financial Statements (continued)

From the matters communicated with the Manager, we determine those matters that were of most significance in the audit of the financial statements of the Group and of CMMT for the current year and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our auditors' report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Reporting Responsibilities

The supplementary information on the breakdown of realised and unrealised profits or losses included in the statements of profit or loss and other comprehensive income of the financial statements of the Group and of CMMT is disclosed to meet the requirement of Bursa Malaysia Securities Berhad and is not part of the financial statements. The Manager is responsible for the preparation of the supplementary information in accordance with Guidance on Special Matter No. 1, Determination of Realised and Unrealised Profits or Losses in the Context of Disclosure Pursuant to Bursa Malaysia Securities Berhad Listing Requirements, as issued by the Malaysian Institute of Accountants (MIA Guidance) and the directive of Bursa Malaysia Securities Berhad. In our opinion, the supplementary information is prepared, in all material respects, in accordance with the MIA Guidance and the directive of Bursa Malaysia Securities Berhad.

Other Matter

This report is made solely to the unitholders of CMMT and for no other purpose. We do not assume responsibility to any other person for the content of this report.

KPMG PLT

(LLP0010081-LCA & AF 0758)
Chartered Accountants

Petaling Jaya,

Lam Shuh Siang

Approval Number: 3045/02/17(J)
Chartered Accountant

Date: 8 February 2017

Statistics of Unitholders

As at 31 December 2016

Issued and Fully Paid Units	2,031,458,100 units (voting rights: 1 vote per unit)
Approved Fund Size	2,530,006,240 units
Public Spread	As at 31 December 2016, the public shareholding spread of CMMT was 63.48% ¹

ANALYSIS BY SIZE OF UNITHOLDINGS

Size of Unitholdings	No. of Unitholders	% of Unitholders	No. of Units	% of Units
Less than 100	89	1.67%	1,053	0.00%
100 - 1,000	913	17.13%	669,101	0.03%
1,001 - 10,000	2,908	54.56%	15,127,110	0.74%
10,001 - 100,000	1,135	21.29%	37,153,230	1.83%
100,001 - less than 5% of approved fund size	281	5.27%	686,117,106	33.78%
5% and above the approved fund size	4	0.08%	1,292,390,500	63.62%
Total	5,330	100%	2,031,458,100	100%

THIRTY (30) LARGEST UNITHOLDERS AS PER RECORD OF DEPOSITORS

No	Name of Unitholder	Holdings	%
1	CMMT Investment Limited	710,973,600	35.00
2	AmanahRaya Trustees Berhad Amanah Saham Bumiputera	250,000,000	12.31
3	Citigroup Nominees (Tempatan) Sdn Bhd Employees Provident Fund Board	185,495,100	9.13
4	Kumpulan Wang Persaraan (Diperbadankan)	145,921,800	7.18
5	AmanahRaya Trustees Berhad Amanah Saham Malaysia	56,360,000	2.77
6	Cartaban Nominees (Asing) Sdn Bhd GIC Private Limited for Government of Singapore (C)	51,636,000	2.54
7	AmanahRaya Trustees Berhad Amanah Saham Wawasan 2020	50,000,000	2.46
8	Cartaban Nominees (Tempatan) Sdn Bhd PAMB For Prulink Equity Fund	49,764,300	2.45
9	Malaysia Nominees (Tempatan) Sendirian Berhad Great Eastern Life Assurance (Malaysia) Berhad (Par 1)	38,308,800	1.89
10	Menang Investment Limited	30,537,600	1.50
11	Citigroup Nominees (Tempatan) Sdn Bhd Exempt AN for AIA Bhd	26,136,600	1.29
12	Cartaban Nominees (Asing) Sdn Bhd GIC Private Limited for Monetary Authority of Singapore (H)	24,643,800	1.21

¹ The figures were derived at after excluding unitholdings held by CMMT Investment Limited, Menang Investment Limited and Directors of the Manager, pursuant to the definition of "public" under the Main Market Listing Requirements of Bursa Malaysia Securities Berhad.

Statistics of Unitholders

As at 31 December 2016

THIRTY (30) LARGEST UNITHOLDERS AS PER RECORD OF DEPOSITORS (continued)

No	Name of Unitholder	Holdings	%
13	Permodalan Nasional Berhad	22,628,000	1.11
14	AmanahRaya Trustees Berhad AS 1Malaysia	19,301,800	0.95
15	Malaysia Nominees (Tempatan) Sendirian Berhad Great Eastern Life Assurance (Malaysia) Berhad (Par 3)	16,418,000	0.81
16	AmanahRaya Trustees Berhad Public SmallCap Fund	14,350,000	0.71
17	CIMB Group Nominees (Tempatan) Sdn Bhd Yayaysan Hasanah (AUR-VCAM)	13,707,500	0.67
18	Valuecap Sdn Bhd	12,965,200	0.64
19	Citigroup Nominees (Asing) Sdn Bhd CBNY for DFA International Real Estate Securities Portfolio of DFA Investment Dimensions Group Inc	12,522,200	0.62
20	Citigroup Nominees (Tempatan) Sdn Bhd Kumpulan Wang Persaraan (Diperbadankan) (VCAM Equity FD)	12,050,000	0.59
21	Cartaban Nominees (Asing) Sdn Bhd Exempt AN for State Street Bank & Trust Company (West CLT OD67)	10,982,700	0.54
22	AmanahRaya Trustees Berhad Amanah Saham Bumiputera 2	10,000,000	0.49
23	Maybank Nominees (Tempatan) Sdn Bhd Maybank Trustees Berhad For Public Regular Savings Fund (N14011940100)	9,095,500	0.45
24	Tokio Marine Life Insurance Malaysia Bhd As Beneficial Owner (PF)	7,954,100	0.39
25	Cartaban Nominees (Tempatan) Sdn Bhd PAMB for Prulink Equity Income Fund	7,625,000	0.38
26	Citigroup Nominees (Tempatan) Sdn Bhd Kumpulan Wang Persaraan (Diperbadankan) (Aberdeen)	7,557,100	0.37
27	Citigroup Nominees (Tempatan) Sdn Bhd Kumpulan Wang Persaraan (Diperbadankan) (Kenanga)	7,543,100	0.37
28	Citigroup Nominees (Tempatan) Sdn Bhd Employees Provident Fund Board (Aberdeen)	6,900,000	0.34
29	Malaysia Nominees (Tempatan) Sendirian Berhad Great Eastern Life Assurance (Malaysia) Berhad (LSF)	6,565,500	0.32
30	Malaysia Nominees (Tempatan) Sendirian Berhad Great Eastern Life Assurance (Malaysia) Berhad (LEEF)	5,347,900	0.27
Total		1,823,291,200	89.75

Statistics of Unitholders

As at 31 December 2016

LIST OF DIRECTORS' INTEREST

Name	Designation	Nationality	No. of Units held through own name	No. of Units held through Nominees	Total Unitholdings
David Wong Chin Huat	Chairman / Non-Executive Independent Director	Singaporean	–	–	–
Low Peck Chen	Executive Non-Independent Director	Malaysian	12,000	–	12,000
Tan Siew Bee	Non-Executive Independent Director	Malaysian	100,000	–	100,000
Dr Peter Tay Buan Huat	Non-Executive Independent Director	Singaporean	–	100,000	100,000
Foo Wei Hoong	Non-Executive Non-Independent Director	Malaysian	–	–	–
Tuan Haji Rosli bin Abdullah	Non-Executive Independent Director	Malaysian	–	–	–
Ng Chih Kaye	Non-Executive Independent Director	Malaysian	–	–	–
Jason Leow Juan Thong	Non-Executive Non-Independent Director	Singaporean	–	–	–
Ng Kok Siong	Non-Executive Non-Independent Director	Singaporean	–	100,000	100,000
Total			112,000	200,000	312,000

Statistics of Unitholders

As at 31 December 2016

SUBSTANTIAL UNITHOLDERS

No.	Name	No. of Units held through own name	No. of Units held through Nominees	Total Unitholdings	%
1	CMMT Investment Limited	710,973,600	–	710,973,600	35.00
2	Employees Provident Fund Board	–	185,495,100	192,395,100	9.47
	Employees Provident FD BD (Aberdeen)	–	6,900,000		
	<i>Registered with:</i>				
	<i>Citigroup Nominees (Tempatan) Sdn. Bhd.</i>				
3	Amanah Saham Bumiputera	–	250,000,000	250,000,000	12.31
	<i>Registered with:</i>				
	<i>AmanahRaya Trustees Berhad</i>				
4	Kumpulan Wang Persaraan (Diperbadankan)	145,921,800	–	173,072,000	8.52
	Kumpulan Wang Persaraan (Diperbadankan) (VCAM Equity FD)	–	12,050,000		
	<i>Registered with:</i>				
	<i>Citigroup Nominees (Tempatan) Sdn. Bhd.</i>				
	Kumpulan Wang Persaraan (Diperbadankan) (Aberdeen)	–	7,557,100		
	<i>Registered with:</i>				
	<i>Citigroup Nominees (Tempatan) Sdn. Bhd.</i>				
	Kumpulan Wang Persaraan (Diperbadankan) (Kenanga)	–	7,543,100		
	<i>Registered with:</i>				
	<i>Citigroup Nominees (Tempatan) Sdn. Bhd.</i>				
Total		856,895,400	469,545,300	1,326,440,700	65.30

Notice of Annual General Meeting

CAPITALAND MALAYSIA MALL TRUST

(Established in Malaysia under the trust deed dated 7 June 2010 (as amended and restated on 15 September 2015) entered into between CapitaLand Malaysia Mall REIT Management Sdn. Bhd (819351-H) and MTrustee Berhad (formerly known as AmTrustee Berhad) (163032-V))

NOTICE IS HEREBY GIVEN that the Annual General Meeting (**AGM**) of the holders of units (**Units**) (**Unitholders**) of CapitaLand Malaysia Mall Trust (**CMMT**) will be held on Thursday, 30 March 2017 at 10.00 a.m. at The Westin Grand Ballroom, Level 2, The Westin Kuala Lumpur, 199 Jalan Bukit Bintang, 55100 Kuala Lumpur, Malaysia to transact the following businesses:

ORDINARY BUSINESS

1. To receive the report of MTrustee Berhad (formerly known as AmTrustee Berhad), as trustee of CMMT (the **Trustee**), the statement by CapitaLand Malaysia Mall REIT Management Sdn. Bhd., as manager of CMMT (the **Manager**), and the Audited Financial Statements of CMMT for the financial year ended 31 December 2016 and the Auditors' Report attached thereon.

SPECIAL BUSINESS

To consider and, if thought fit, to pass with or without any modification, the following resolution:

2. **PROPOSED AUTHORITY TO ALLOT AND ISSUE NEW UNITS PURSUANT TO CLAUSE 14.03 OF SECURITIES COMMISSION MALAYSIA'S GUIDELINES ON REAL ESTATE INVESTMENT TRUSTS (REITS GUIDELINES) (PROPOSED AUTHORITY)**

**Ordinary
Resolution 1**

"THAT pursuant to the REITs Guidelines, Main Market Listing Requirements of Bursa Malaysia Securities Berhad (**Bursa Securities**) and the approval of the relevant regulatory authorities, where such approval is required, authority be and is hereby given to the Manager to allot and issue new units in CMMT (**New Units**) from time to time to such persons and for such purposes as the Manager may in its absolute discretion deem fit and in the best interest of CMMT, provided that the number of New Units to be allotted and issued pursuant to this resolution must not exceed 406,291,620 Units, representing 20% of the existing fund size of CMMT;

AND THAT the Proposed Authority shall be effective and continue to be in force from the date of receipt of all relevant authorities' approval or the date the Unitholders pass this resolution, whichever may be the later, until:

- (a) the conclusion of the next AGM of the Unitholders at which time it shall lapse, unless by a resolution passed at the meeting, the authority is renewed; or
- (b) the expiration of the period within which the next AGM of the Unitholders is required by law to be held; or
- (c) the Proposed Authority is revoked or varied by the Unitholders in a Unitholders' meeting,

whichever occurs first (**Validity Period**);

Notice of Annual General Meeting

AND THAT the New Units to be issued pursuant to the Proposed Authority shall, upon allotment and issuance, rank pari passu in all respects with the existing Units except that the New Units will not be entitled to any distributable income, right, benefit, entitlement and/or any other distributions that may be declared before the date of allotment and issuance of such New Units;

AND THAT authority be and is hereby given to the Manager and the Trustee, acting for and on behalf of CMMT, to give effect to the aforesaid Proposed Authority with full powers to assent to any condition, variation, modification and/or amendment in any manner as the Manager and the Trustee may deem fit and in the best interest of CMMT and/or as may be imposed by the relevant authorities, and to deal with all matters relating thereto;

AND FURTHER THAT authority be and is hereby given to the Manager and the Trustee, acting for and on behalf of CMMT, to take all such steps and do all acts, deeds and things in any manner (including execute such documents as may be required) as they may deem necessary or expedient to implement, finalise, complete and give full effect to the Proposed Authority."

(Please see Explanatory Note 1)

BY ORDER OF THE BOARD

CAPITALAND MALAYSIA MALL REIT MANAGEMENT SDN. BHD.

(Company No. 819351-H)

as manager of CapitaLand Malaysia Mall Trust

Khoo Ming Siang (MAICSA No. 7034037)

Lim Lee Kuan (MAICSA No. 7017753)

Company Secretaries

Kuala Lumpur

27 February 2017

Enclosures :

- 1. Explanatory Notes**
- 2. Proxy Form**

cc : MTrustee Berhad (formerly known as AmTrustee Berhad)
Securities Commission Malaysia

Notice of Annual General Meeting

Notes:

1. *Only Unitholders whose names appear in the Record of Depositors on 23 March 2017 are entitled to attend, speak and vote at the AGM.*
2. *A Unitholder may attend the AGM in person or appoint up to two proxies to attend the AGM and vote in the Unitholder's place. A Unitholder holding 10,000 Units or less shall be entitled to appoint one proxy (whether a Unitholder or not). A Unitholder holding more than 10,000 Units shall be entitled to appoint up to two proxies (whether a Unitholder or not).*
3. *On a show of hands, every Unitholder who is present in person or by proxy/proxies has one vote.*
4. *On a poll, every Unitholder who is present in person or by proxy/proxies has one vote for every Unit held by him.*
5. *Where a Unitholder is an authorised nominee as defined under the Securities Industry (Central Depositories) Act 1991, it may appoint one proxy for each securities account that holds 10,000 Units or less standing to the credit for the said securities account and up to two proxies for each securities account that holds more than 10,000 Units standing to the credit for the said securities account.*
6. *Where the Unitholder or the authorised nominee appoints more than one proxy, the appointment will be invalid unless the instrument appointing the proxies specifies the proportions of holdings to be represented by each proxy.*
7. *Any appointment of a proxy shall be in writing in the **Proxy Form** attached herewith under the hand of the Unitholder or of his duly appointed attorney or, if the Unitholder is a corporation, either under the seal or under the hand of an officer or attorney duly authorised.*
8. *The Proxy Form appointing a proxy and the power of attorney or other authority, if any, under which it is signed or a notarially certified copy of that power or authority, must be deposited with the Manager at CapitaLand Malaysia Mall REIT Management Sdn. Bhd., Level 2, Ascott Kuala Lumpur, No. 9, Jalan Pinang, 50450 Kuala Lumpur, Malaysia, not less than 48 hours before the time appointed for holding the meeting or any adjournment thereof, by hand or post; in default of this provision, the Proxy Form shall not be treated as valid.*

Personal Data Privacy:

By submitting an instrument appointing a proxy(ies) and/or representative(s) to attend, speak and vote at the AGM and/or any adjournment thereof, a Unitholder (i) consents to the collection, use and disclosure of the Unitholder's personal data by the Manager and the Trustee (or their agents) for the purpose of processing and administering the proxies and representatives appointed for the AGM (including any adjournment thereof) and the preparation and compilation of the attendance lists, minutes and other documents relating to the AGM (including any adjournment thereof), and in order for the Manager and the Trustee (or their agents) to comply with any applicable laws, listing rules, regulations and/or guidelines (collectively, the **Purposes**), (ii) warrants that where the Unitholder discloses the personal data of the Unitholder's proxy(ies) and/or representative(s) to the Manager and the Trustee (or their agents), the Unitholder has obtained the prior consent of such proxy(ies) and/or representative(s) for the collection, use and disclosure by the Manager and the Trustee (or their agents) of the personal data of such proxy(ies) and/or representative(s) for the Purposes, and (iii) agrees that the Unitholder will indemnify the Manager and the Trustee in respect of any penalties, liabilities, claims, demands, losses and damages as a result of the Unitholder's breach of warranty.

Notice of Annual General Meeting

Explanatory Notes:

1. Ordinary Resolution 1 – Proposed Authority

At the conclusion of the forthcoming AGM to be held on 30 March 2017, the authority for the Manager to allot and issue up to 20% of CMMT's then existing fund size approved by Unitholders at CMMT's fourth AGM on 31 March 2016 will lapse (**Existing Authority**). CMMT has not issued any new Units pursuant to Clause 14.03 of the REIT Guidelines under the Existing Authority.

Ordinary Resolution 1 is a new authority for the Manager to allot and issue up to 406,291,620 Units, representing 20% of the current existing fund size of CMMT during the Validity Period.

The Proposed Authority will allow the Manager the flexibility to allot and issue New Units to raise funds to finance future investments, acquisitions and capital expenditure to enhance the value of CMMT and/or to refinance existing debt as well as for working capital purposes, subject to the relevant laws and regulations. With the Proposed Authority, delays and further costs involved in convening separate general meetings to approve such issue of New Units to raise funds can be avoided.

The Manager may, subject to relevant laws and regulations, use the net proceeds from the issuance of New Units under the Proposed Authority at its absolute discretion for other purposes.

Any allotment and issuance of New Units pursuant to the Proposed Authority will be subject to the relevant approvals of the Securities Commission Malaysia and Bursa Securities.

CAPITALAND MALAYSIA MALL TRUST

(Established in Malaysia under the trust deed dated 7 June 2010 (as amended and restated on 15 September 2015) entered into between CapitaLand Malaysia Mall REIT Management Sdn. Bhd (819351-H) and MTrustee Berhad (formerly known as AmTrustee Berhad) (163032-V))

PROXY FORM ANNUAL GENERAL MEETING

IMPORTANT: Personal Data Privacy

By submitting an instrument appointing proxy(ies) and/or representative(s), the Unitholder accepts and agrees to the personal data privacy terms set out in the Notice of Annual General Meeting dated 27 February 2017.

I/We, _____ (Name(s) and NRIC no./Passport no./
Company Registration no.) of _____ (Address)
being a unitholder/unitholders of CapitaLand Malaysia Mall Trust (CMMT), hereby appoint:

Name:	NRIC/Passport No.:	Proportion of Unitholdings	
		No. of Units	%
Address:			

and/or failing whom (delete as appropriate)

Name:	NRIC/Passport No.:	Proportion of Unitholdings	
		No. of Units	%
Address:			

or, both of whom failing, the Chairman of the Annual General Meeting, as my/our proxy/proxies to attend and to vote for me/us on my/our behalf at the Annual General Meeting of CMMT to be held on Thursday, 30 March 2017 at The Westin Grand Ballroom, Level 2, The Westin Kuala Lumpur, 199 Jalan Bukit Bintang, 55100 Kuala Lumpur, Malaysia at 10.00 a.m., and at any adjournment thereof. I/We direct my/our proxy/proxies to vote for or against the resolution to be proposed at the Annual General Meeting as indicated hereunder. If no specific direction as to voting is given, the proxy/proxies will vote or abstain from voting at his/her/their discretion, as he/she/they will on any other matter arising at the Annual General Meeting.

No.	Ordinary Resolution:	For*	Against*
	SPECIAL BUSINESS		
1	Proposed Authority		

* If you wish to exercise all your votes "For" or "Against", please indicate with a tick [✓] within the box provided. Alternatively, please indicate the number of votes as appropriate.

Dated this _____ day of _____ 2017

Total number of Units held

Signature(s) of unitholder(s) / Common Seal[^]

[^] Where the Proxy Form is executed by a corporation, it shall be either under its Common Seal or under the hand of an attorney or an officer on behalf of the corporation duly authorised, and a certified true copy (by the Company Secretary) of the power of attorney or of the board resolution of that corporation appointing such officer, shall be deposited with the Manager together with the Proxy Form.

IMPORTANT: PLEASE READ NOTES TO PROXY FORM ON REVERSE PAGE

Affix
postage
stamp

CapitaLand Malaysia Mall REIT Management Sdn. Bhd.
(Company No. 819351-H)
(as manager of CapitaLand Malaysia Mall Trust)

Level 2, Ascott Kuala Lumpur, No. 9, Jalan Pinang
50450 Kuala Lumpur

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IMPORTANT: PLEASE READ THE NOTES TO PROXY FORM BELOW

Notes to Proxy Form:

1. Only unitholders of CMMT (Unitholders) whose names appear in the Record of Depositors on 23 March 2017 are entitled to attend, speak and vote at the AGM.
2. A Unitholder may attend the AGM in person or appoint up to two proxies to attend the AGM and vote in the Unitholder's place. A Unitholder holding 10,000 Units or less shall be entitled to appoint one proxy (whether a Unitholder or not). A Unitholder holding more than 10,000 Units shall be entitled to appoint up to two proxies (whether a Unitholder or not).
3. On a show of hands, every Unitholder who is present in person or by proxy/proxies has one vote.
4. On a poll, every Unitholder who is present in person or by proxy/proxies has one vote for every Unit held by him.
5. Where a Unitholder is an authorised nominee as defined under the Securities Industry (Central Depositories) Act 1991, it may appoint one proxy for each securities account that holds 10,000 Units or less standing to the credit for the said securities account and up to two proxies for each securities account that holds more than 10,000 Units standing to the credit for the said securities account.
6. Where the Unitholder or the authorised nominee appoints more than one proxy, the appointment will be invalid unless the instrument appointing the proxies specifies the proportions of holdings to be represented by each proxy.
7. Any appointment of a proxy shall be in writing in the Proxy Form attached herewith under the hand of the Unitholder or of his duly appointed attorney or, if the Unitholder is a corporation, either under the seal or under the hand of an officer or attorney duly authorised.
8. The Proxy Form appointing a proxy and the power of attorney or other authority, if any, under which it is signed or a notarially certified copy of that power or authority, must be deposited with the Manager at CapitaLand Malaysia Mall REIT Management Sdn. Bhd., Level 2, Ascott Kuala Lumpur, No. 9, Jalan Pinang, 50450 Kuala Lumpur, Malaysia, not less than 48 hours before the time appointed for holding the meeting or any adjournment thereof by hand or post; in default of this provision, the Proxy Form shall not be treated as valid.

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General

The Manager shall be entitled to reject any Proxy Form which is incomplete, improperly completed, illegible or where the true intentions of the appointor are not ascertainable from the Proxy Form submitted. The Manager may reject any Proxy Form if the Unitholder, being the appointor, is not shown to have Units entered against his/her name in the Record of Depositors on 23 March 2017.

Corporate Information

CAPITALAND MALAYSIA MALL TRUST

REGISTERED ADDRESS

MTrustee Berhad (formerly known as AmTrustee Berhad)

(Company Number: 163032-V)
B-2-9 (2nd floor),
Pusat Perdagangan Kuchai
No. 2, Jalan 1/127
Off Jalan Kuchai Lama
58200 Kuala Lumpur
Tel: +60 3 7983 1088
Fax: +60 3 7984 9612

Stock Exchange Listing

Main Market of Bursa Malaysia
Securities Berhad
Stock Name: CMMT
Stock Code: 5180

TRUSTEE

MTrustee Berhad (formerly known as AmTrustee Berhad)

(Company Number: 163032-V)

Business Address

Level 15, Menara AmFirst
No. 1, Jalan 19/3
46300 Petaling Jaya
Selangor Darul Ehsan
Tel: +60 3 7954 6862
Fax: +60 3 7954 3712

AUDITORS

KPMG PLT

(Firm No: LLP0010081-LCA & AF 0758)
Chartered Accountants
Level 10, KPMG Tower
8, First Avenue, Bandar Utama
47800 Petaling Jaya
Selangor Darul Ehsan
Tel: +60 3 7721 3388
Fax: +60 3 7721 3399
Partner-In-Charge: Mr Lam Shuh Siang

UNIT REGISTRAR

Tricor Investor & Issuing House Services Sdn. Bhd.

(Company Number: 11324-H)
Unit 32-01, Level 32, Tower A
Vertical Business Suite, Avenue 3
Bangsar South, No. 8 Jalan Kerinchi
59200 Kuala Lumpur, Malaysia
Tel : +60 3 2783 9299
Fax : +60 3 2783 9222

THE MANAGER

REGISTERED ADDRESS

CapitaLand Malaysia Mall REIT Management Sdn. Bhd.

(Company Number: 819351-H)

Manager's Registered Office / Principal Place of Business

Level 2, Ascott Kuala Lumpur
No. 9, Jalan Pinang
50450 Kuala Lumpur
Tel: +60 3 2279 9888
Fax: +60 3 2279 9889

Website

www.cmmt.com.my

BOARD OF DIRECTORS

David Wong Chin Huat

Chairman and Non-Executive
Independent Director

Low Peck Chen

Chief Executive Officer
and Executive Non-Independent Director

Tan Siew Bee

Non-Executive Independent Director

Dr Peter Tay Buan Huat

Non-Executive Independent Director

Foo Wei Hoong

Non-Executive Non-Independent
Director

Tuan Haji Rosli bin Abdullah

Non-Executive Independent Director

Ng Chih Kaye

Non-Executive Independent Director

Jason Leow Juan Thong

Non-Executive Non-Independent
Director

Ng Kok Siong

Non-Executive Non-Independent
Director

Lee Hui Yeow

Alternate Director to Ng Kok Siong
Non-Executive Non-Independent
Director

EXECUTIVE COMMITTEE

Jason Leow Juan Thong

(Chairman)

Ng Kok Siong

Low Peck Chen

AUDIT COMMITTEE

Tuan Haji Rosli bin Abdullah
(Chairman)

Ng Chih Kaye

Ng Kok Siong

Tan Siew Bee

CORPORATE DISCLOSURE COMMITTEE

David Wong Chin Huat

(Chairman)

Jason Leow Juan Thong

Ng Kok Siong

COMPANY SECRETARIES OF THE MANAGER

Khoo Ming Siang

(MAICSA 7034037)

Level 2, Ascott Kuala Lumpur
No. 9, Jalan Pinang
50450 Kuala Lumpur

Lim Lee Kuan

(MAICSA 7017753)

10th Floor, Menara Hap Seng
No. 1 & 3 Jalan P. Ramlee
50250 Kuala Lumpur

THE PROPERTY MANAGERS

Knight Frank Malaysia Sdn. Bhd.

(Company Number: 585479-A)

Suite 10.01, 10th Floor
Centrepont South,
Mid Valley City
Lingkaran Syed Putra
59200 Kuala Lumpur
Tel: +60 3 2289 9688
Fax: +60 3 2289 9788

Zaharin Nexcap Property Management Sdn. Bhd.

(Company Number: 1144744-X)

Suite 23-5, Oval Tower Damansara
Menara Permata Damansara
No. 685, Jalan Damansara
60000 Kuala Lumpur
Tel: +60 3 7733 2122
Fax: +60 3 7733 2103

PRINCIPAL BANKERS

Alliance Bank Malaysia Berhad
CIMB Bank Berhad
HSBC Bank Malaysia Berhad
Malayan Banking Berhad
Public Bank Berhad
RHB Bank Berhad
United Overseas Bank (Malaysia) Berhad



CapitaLand Malaysia Mall REIT Management Sdn. Bhd.

(Company Reg. No.: 819351-H)

As Manager of CapitaLand Malaysia Mall Trust

Level 2, Ascott Kuala Lumpur

No. 9, Jalan Pinang

50450 Kuala Lumpur

Tel: +60 3 2279 9888

Fax: +60 3 2279 9889

Email: ask-us@cmmmt.com.my

www.cmmmt.com.my